NORTHERN TERRITORY

2026-27 Budget



Budget Paper No. 2

Budget Strategy and Outlook

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Under Treasurer's Certification

In accordance with provisions of the *Fiscal Integrity and Transparency Act 2001*, I certify that the financial projections included in the May 2026 Budget documentation are based on Northern Territory Government decisions that I was aware of or that were made available to me by the Treasurer before 30 April 2026. The projections presented here are in accordance with the Uniform Presentation Framework.



Tim McManus
Under Treasurer

30 April 2026

Chapter 1

Executive summary

Budget Paper No. 2 *Budget and Strategy Outlook* presents whole of government financial information and consolidates information from other budget papers. It also meets the requirements of the *Fiscal Integrity and Transparency Act 2001* (FITA) and the Uniform Presentation Framework (UPF) as agreed by all Australian jurisdictions.

Fiscal outlook

The 2026-27 Budget presents an improved debt growth trajectory and declining fiscal balance deficits following higher GST, and taxation and royalty revenue forecasts, partly offset by new policy commitments aimed at reducing crime, rebuilding the economy and restoring the Territory lifestyle.

Improved fiscal aggregates have however, been tempered by both severe weather and geopolitical events. During 2025-26, the Territory experienced a number of severe weather events that caused extensive damage to remote housing and infrastructure, and required the evacuation and temporary relocation of several remote communities. In response, the Territory Government established the Territory Reconstruction Coordination Committee to lead immediate recovery efforts and coordinate reconstruction activities, with a focus on long-term resilience, supported by a $100 million Flood Recovery Fund and a $30.5 million Roads Repair Package.

Conflicts in the Middle East and resultant global oil supply disruptions have caused unprecedented cost escalations in fuel and fuel-reliant industries, reminiscent of those experienced during the 1970s oil shocks. To ease cost-of-living pressures, state governments have agreed to contribute up to $400 million in GST revenue to further offset the fuel excise by 5.7 cents per litre. For the Territory, this equates to a contribution of $19.7 million in 2026-27.

Both the severe weather events and Middle East conflict present distinct challenges for the Territory, introducing risk of heightened cost pressures and increasing uncertainty around the Territory's fiscal and economic outlook. Notwithstanding these challenges, the 2026-27 Budget projects the non financial public sector fiscal balance to improve over the budget cycle with a small deficit by 2029-30. The cumulative impact of improved deficits is a reduction in the forecast growth of debt leading to improved net debt to revenue ratios across the budget cycle.

Key fiscal projections in the 2026-27 Budget include:

- general government net operating balance deficit of $42 million in 2026-27, returning to surplus from 2027-28 and across the forward estimates
- total revenue for the non financial public sector of $10.7 billion and total expenditure (including net capital investment) of $12.78 billion in 2026-27
- non financial public sector fiscal balance deficit of $1.06 billion in 2026-27, improving to a modest deficit of $5 million by 2029-30
- net debt for the non financial public sector of $12.56 billion in 2026-27, with a net debt to revenue ratio of 117%.

In accordance with section 9(1)(c) of the FITA, government must specify the key fiscal indicators it considers important and against which fiscal policy will be assessed. The government's key fiscal indicators are the general government sector net operating balance, and the non financial public sector fiscal balance, net debt and net debt to revenue ratio.

Table 1.1 provides the projections for these indicators for the 2026-27 Budget.

Table 1.1: Key fiscal indicators

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
General government sector					
Net operating balance	95	- 42	199	273	372
Non financial public sector					
Fiscal balance	- 583	- 1 058	- 407	- 239	- 5
Net debt	11 350	12 555	13 200	13 209	13 172
Net debt to revenue (%)	109	117	120	120	116

Further discussion explaining material differences between the updated financial projections in the 2026-27 Budget and those projected at the time of the 2025-26 Budget is provided in Chapter 2 *Fiscal outlook*. Assessment of expected outcomes for fiscal strategy objectives and targets is provided in Chapter 4 *Fiscal strategy statement*.

Economic outlook

The Middle East conflict is impacting the Territory economy through higher oil and fuel prices, as well as heightened global uncertainty. Brent crude oil prices increased by around 109% from an average of US$69 per barrel in 2025 to US$144 per barrel in early April 2026. Disruptions to shipping through the Strait of Hormuz, which accounts for around 20% of global oil flows, have driven significant volatility in energy markets.

Domestically, higher global oil prices have translated rapidly into fuel price increases at the bowser, placing pressure on household budgets and business operating costs. The Commonwealth, states and territories have passed on excise and GST discounts equal to 32 cents per litre to ease inflationary pressure. However, the impact on inflation and cost pressures for businesses heavily reliant on fuel will be significant. Until the Strait of Hormuz is re opened, the disruption to supply and risks to growth and inflation will continue.

For the purpose of economic modelling, it is assumed that oil prices will average around US$100 per barrel from April to September 2026, before easing to around US$70 by the end of the forward estimates. This is expected to see inflation reach 5.2% in June 2026. Further increases in oil prices would be expected to have a proportionally larger impact on growth and inflation outcomes.

Territory flood-related road closures in early 2026 disrupted major freight corridors and affected communities including Katherine, Daly River, Palumpa, Beswick, Jilkminggan and Darwin River. These disruptions are expected to temporarily constrain the movement of goods and increase transport costs for some industries. Recovery and reconstruction activities are expected to contribute to economic activity in 2025-26 and 2026-27.

Despite the fuel price shocks and impact of severe weather events, gross state product (GSP) is forecast to increase by 2.7% in 2025–26, driven by gas exports as the Barossa project transitions into production.

State final demand (SFD) is forecast to decline modestly, by around 0.8% in 2025-26, reflecting lower private investment following the completion of the Barossa project and forgone consumption and investment activity due to flooding. Household consumption is expected to slow over coming months, with discretionary spending expected to decline sharply, contributing less growth than anticipated in the 2025-26 Mid-Year Report. This is driven by higher household borrowing costs following the February and March 2026 cash rate increases, higher fuel prices, elevated inflation and weaker household confidence. Ongoing uncertainty related to the Middle East conflict may also result in households increasing precautionary savings, further weighing on consumption. Markets anticipate the possibility of additional rate increases in 2026, depending on fuel price developments and second-round inflation effects.

Territory GSP is forecast to accelerate by 5.8% in 2026–27, driven by increased output from the Ichthys and Darwin liquefied natural gas (LNG) plants operating at or near full capacity, making net exports the main driver of growth. However, services trade for both exports and imports is expected to be subdued as elevated global oil prices discourage overseas travel. Household consumption is forecast to decline as households continue to experience the effects of higher interest rates and fuel prices.

In 2027-28, GSP is forecast to grow by 1.4%. Household consumption is expected to recover as cost-of-living pressures ease, while continued investment in the Beetaloo Sub-basin supports the investment outlook. Public investment is forecast to decline from earlier elevated levels associated with major defence and infrastructure projects. Goods exports are not expected to contribute materially to growth, with LNG exports plateauing at peak levels.

Employment growth is expected to slow to 1.1% in 2025-26 and 0.6% in 2026-27 reflecting the completion of the Barossa project, and weaker consumption and domestic demand largely associated with the recent fuel prices shock. Growth in employment is anticipated to strengthen over the forward estimates, in line with domestic economic activity and population growth.

Consumer price index (CPI) growth is expected to be 5.2% in 2025-26 and 3.2% in 2026-27, reflecting higher fuel costs flowing through a broad range of goods and services. As oil prices moderate, CPI growth is forecast to ease to 1% in 2027-28, before stabilising at 2.5% in the outer years.

Wage growth is expected to moderate to 2.6% in 2025-26 before increasing to 3.7% in 2026-27, reflecting upward pressure on wages due to high inflation. Over the forward estimates, wage growth averages 3.3% per annum, which is in line with trend estimates.

The Territory's population is estimated to grow by 1.2% in 2025-26, mainly driven by continued strength in net overseas migration. Growth is expected to be slightly weaker at 1.1% in 2026-27 and 2027-28 as net overseas migration inflows ease and natural increase remains weak due to ongoing cost-of-living pressures. Growth is expected to pick up to 1.2% from 2028-29 as natural increase recovers, consistent with improved real wage outcomes.

Table 1.2 details the outlook for the Territory's key economic indicators for the 2026-27 Budget.

Table 1.2: Territory key economic indicators (%)

	2025-26e	2026-27f	2027-28f	2028-29f	2029-30f
Gross state product[1]	2.7	5.8	1.4	3.0	3.0
State final demand[1]	- 0.8	- 0.7	0.8	1.8	2.7
Employment[1]	1.1	0.6	0.9	1.6	1.6
Unemployment rate[2]	4.6	5.2	4.7	4.6	4.6
Consumer price index[3]	5.2	3.2	1.0	2.5	2.5
Wage price index[1]	2.6	3.7	3.3	3.4	3.3
Population[3]	1.2	1.1	1.1	1.2	1.2

e: estimate; f: forecast
1 Year-average percentage change.
2 Year average.
3 Year-ended percentage change.
Source: Department of Treasury and Finance, Australian Bureau of Statistics (ABS)

There is potential upside to the economic outlook, with a number of major projects on the horizon yet to reach final investment decision. The economic contributions arising from these projects are not included in the economic forecasts. Any projects that do reach final investment decision and commence during the forward estimates will have a positive impact on the Territory's macroeconomic forecasts.

The forecast profile for economic growth is reviewed and updated each year to reflect contemporary economic and fiscal outcomes, and developments. Discussion explaining material differences between the updated key economic indicators in the 2026-27 Budget is provided in Chapter 3 *Economic outlook*.

Commonwealth revenue outlook

Commonwealth revenue, at around 72% of total Territory revenue in the non financial public sector in 2026-27, is a significant component of the Territory budget. Table 1.3 sets out expected Commonwealth revenue to the Territory over the budget cycle to 2029-30.

Table 1.3: Commonwealth revenue

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Untied Commonwealth revenue	4 967	5 102	5 198	5 409	5 683
Tied Commonwealth revenue	2 493	2 607	2 528	2 477	2 436
Total Commonwealth revenue	7 460	7 709	7 726	7 886	8 119

Total Commonwealth revenue is expected to be $7.71 billion in 2026-27, comprising $5.1 billion in untied revenue from GST receipts and $2.61 billion in tied revenue from agreements with the Commonwealth to deliver specific programs. Total Commonwealth revenue is expected to grow by 5.3% to $8.12 billion by 2029-30.

GST revenue is estimated to be $5.1 billion in 2026-27, growing by around 3.7% per annum to $5.68 billion by 2029-30. Compared with the 2025-26 Budget, GST revenue is expected to be $1.45 billion higher over the budget cycle to 2029-30. This is mainly due to revised ABS population data for the Territory, higher GST relativity and growth in the national GST collections pool.

Tied payments are estimated to be $2.61 billion in 2026-27, declining to $2.44 billion in 2029-30 in line with program completion, agreement expiry, expected delivery timeframes and payment schedules. Compared with the 2025-26 Budget, tied revenue is forecast to be $593 million higher over the budget cycle to 2029-30, reflecting a range of new, extended and varied agreements including for hospitals and health services, schools, mine remediation, water infrastructure, housing and homelands.

Further detail on the Territory's GST estimates, tied payments and material variations since the 2025-26 Budget are discussed in Chapter 5 *Commonwealth revenue*.

Territory taxes and royalties outlook

Taxation and royalty revenue is one of the Territory's major own-source income streams, accounting for 43% of own-source revenue or 12% of total revenue in the non financial public sector. This revenue provides the Territory with important fiscal autonomy to support delivery of infrastructure and services. Table 1.4 outlines the projections for taxes and royalties included in the 2026-27 Budget. Revenue from these sources is expected to be $1.29 billion in 2025-26, decline slightly to $1.28 billion in 2026-27, before increasing slightly and averaging $1.32 billion per year over the forward estimates.

Taxation revenue in 2025-26 is forecast to reach $903 million before decreasing to $833 million in 2026-27, primarily due to expectations of lower stamp duty collections. Receipts are expected to steadily increase across the forward estimates in line with broader economic growth in the Territory.

Compared with the 2025-26 Budget, taxation revenue for 2025-26 is now projected to be about $155 million higher, driven by stronger-than-anticipated stamp duty on property transactions and payroll tax receipts. This improvement is partially offset by reduced forecasts for insurance taxes. Across the budget and forward estimates, taxation revenue is on average $90 million per year higher than previously expected, mainly reflecting upward revisions to payroll tax and property-related stamp duty, partially offset by lower-than-forecast insurance tax receipts.

Mining and petroleum royalties are forecast to total $388 million in 2025-26, rising to $445 million in 2026-27, and averaging around $421 million per year across the forward estimates.

Royalty revenue forecasts have been significantly revised upward since the 2025-26 Budget, primarily due to a sustained period of high commodity prices. These conditions have increased projected royalties by $42 million in 2025-26 and $185 million in 2026-27. The surge in commodity prices reflects ongoing geopolitical tensions, the easing of the United States (US) monetary policy settings and heightened global demand for safe haven assets. Higher-than-expected royalty revenues are projected across the forward estimates as these market dynamics are expected to persist, continuing to place upward pressure on commodity prices.

Upward revisions have been partly offset by increasing cost pressures facing Territory miners with persistent domestic inflation across labour, energy and services continuing to drive operating expenses higher.

Revenue estimates from new onshore gas developments that have reached final investment decision are included in the petroleum royalty outlook. Any mine commencing under the ad valorem mineral royalty scheme which commenced 1 July 2024 will be factored into estimates once final investment decisions are announced. Mines in operation prior to 1 July 2024 are grandfathered under the profit-based royalty scheme.

Table 1.4: Territory taxes and royalty components

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Taxation revenue	903	833	863	896	930
Taxes on employers	323	342	351	369	388
Taxes on property	245	144	147	149	151
Taxes on gambling	149	153	161	165	169
Motor vehicle taxes	108	112	116	119	122
Taxes on insurance	78	83	88	94	101
Mining and petroleum royalties	388	445	403	424	437
Total taxes and royalties revenue	1 291	1 278	1 266	1 320	1 367

Further discussion on material differences between updated revenue projections contained in the 2026-27 Budget and those projected in the 2025-26 Budget is provided in Chapter 6 *Territory taxes and royalties*.

Chapter 2

Fiscal outlook

Overview

The information provided in this chapter meets the requirements of section 10(1)(a) of the FITA for each fiscal outlook report to contain updated financial projections for the budget year and following three financial years, along with the revised budget estimate for the preceding budget year for the general government and non financial public sectors.

The full set of financial statements is presented in Chapter 8 *Consolidated financial statements*, with this chapter providing a comparison of projections in the 2026-27 Budget with those provided in the 2025-26 Budget and the 2025-26 Mid-Year Report.

For 2026-27, the general government net operating balance is expected to be a deficit of $42 million, and the non financial public sector fiscal balance a deficit of $1.06 billion. Net debt for the non financial public sector is estimated at $12.56 billion in 2026-27, with the net debt to revenue ratio forecast at 117%.

Total revenue in the non financial public sector is estimated to be $10.7 billion in 2026-27, increasing to $11.31 billion in 2029-30, with a total expenditure (including net capital investment) estimate of $12.78 billion in 2026-27, moderating to $12.31 billion by 2029-30.

General government sector net operating balance

The net operating balance represents total revenue less total operating expenses, with capital spending only recognised in the fiscal balance. The 2026-27 Budget projects a general government sector net operating balance deficit of $42 million in 2026-27, and increasing surpluses projected over the forward estimate period.

Table 2.1 highlights the movements in the general government sector net operating balance and compares updated projections with those published in the 2025-26 Budget and 2025-26 Mid-Year Report.

Table 2.1: General government sector – net operating balance

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
2025-26 Budget	- 265	- 101	17	52	111
2025-26 Mid-Year Report	- 68	- 210	- 76	- 57	- 1
2026-27 Budget	95	- 42	199	273	372
Variation from 2025-26 Budget	360	59	182	221	261

1 Amounts not published in the 2025-26 Budget and 2025-26 Mid-Year Report.

Since the 2025-26 Budget, net operating balance outcomes over the budget cycle are projected to improve in aggregate by $1.08 billion. This improvement mainly reflects:

- improvements in the Territory's GST revenue estimates as a result of an increase in the Territory's GST relativity, combined with upward revisions to forecast growth in the national GST collections pool and the Territory's share of national population
- additional taxation and royalty revenue

- a reduction in estimated interest expenses consistent with lower borrowing requirements facilitated by improved revenues, partially offset by
- government operating commitments detailed later in this chapter
- increased depreciation and amortisation expense largely associated with revised cost assumptions combined with new completed works
- lower Commonwealth revenue for capital purposes where expenditure is recognised in the fiscal balance only, largely relating to road projects now expected to be delivered beyond the forward estimates period.

Non financial public sector fiscal balance

The fiscal balance is influenced by the same factors affecting the general government sector net operating balance, however the fiscal balance also includes net capital investment and excludes depreciation. The fiscal balance is assessed at the non financial public sector to ensure the financial performance of government trading entities is incorporated in the fiscal aggregates.

As shown in Table 2.2, the fiscal balance is expected to remain in deficit over the budget cycle, peaking at $1.06 billion in 2026-27, and is forecast to improve over the budget and forward estimates to a modest deficit of $5 million in 2029-30. Table 2.2 highlights the movements in the non financial public sector fiscal balance and compares the updated projections with those published in the 2025-26 Budget and 2025-26 Mid-Year Report.

Table 2.2: Non financial public sector – fiscal balance

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
2025-26 Budget	- 1 308	- 897	- 529	- 531	- 454
2025-26 Mid-Year Report	- 961	- 915	- 510	- 510	- 432
2026-27 Budget	- 583	- 1 058	- 407	- 239	- 5
Variation from 2025-26 Budget	725	- 161	122	292	449

1 Amounts not published in the 2025-26 Budget and 2025-26 Mid-Year Report.

When compared with the 2025-26 Budget, fiscal balance projections are expected to improve in aggregate by $1.43 billion over the budget cycle. This improvement largely reflects the same variations affecting the net operating balance, as detailed earlier, excluding depreciation expense offset by the revised operating and capital requirements of government owned corporations and increased Territory capital investment.

Reconciliation with previous fiscal projections

Section 10(1)(f) of the FITA requires the Territory Government to explain factors and considerations that contributed to any material differences between the updated financial projections and equivalent projections published in the last fiscal outlook report.

The most recent budget fiscal outlook report published under the FITA is the 2025-26 Budget, although updated information was published in the 2025-26 Mid-Year Report. Accordingly, the analysis in the remainder of this chapter reflects policy and non-policy changes since the 2025-26 Budget. Policy variations are the result of government decisions to implement new or expand existing programs, and revenue measures. Non-policy variations are the result of influences outside government's control, such as the timing of payments or changes in external economic conditions.

Policy and non-policy changes since 2025-26 Budget

Table 2.3 summarises the effect of policy and non-policy changes on the non financial public sector's fiscal balance since the 2025-26 Budget and 2025-26 Mid-Year Report.

Table 2.3: Non financial public sector fiscal balance – policy and non-policy changes since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
2025-26 Budget	- 1 308	- 897	- 529	- 531	- 454
Policy changes	- 72	nil	nil	nil	nil
Non-policy changes	419	- 18	19	21	22
2025-26 Mid-Year Report	- 961	- 915	- 510	- 510	- 432
Policy changes	- 89	- 410	- 273	- 133	- 124
Non-policy changes	466	266	375	404	551
2026-27 Budget	- 583	- 1 058	- 407	- 239	- 5

1 Amounts not published in the 2025-26 Budget and 2025-26 Mid-Year Report.

Details of policy and non-policy changes are discussed in further detail below.

Policy changes since 2025-26 Budget

Table 2.4 outlines the effect of policy changes on the non financial public sector's fiscal balance since the 2025-26 Budget, incorporating changes published in the 2025-26 Mid-Year Report. It shows that a total of $1.1 billion was approved in new policy commitments over the budget cycle to 2029-30.

Table 2.4: Non financial public sector fiscal balance – policy changes since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Revenue measures	nil	25	25	25	25
Expenditure commitments	- 148	- 179	- 141	- 138	- 135
Savings measures	nil	12	13	12	13
Total operating commitments	- 148	- 142	- 104	- 100	- 97
Capital commitments	- 13	- 268	- 169	- 33	- 27
Total policy changes	- 161	- 410	- 273	- 133	- 124

(+) reflects an improvement; (-) reflects a worsening

Revenue measures

New revenue measures since the 2025-26 Budget have resulted in additional revenue totalling $100 million over the budget cycle to 2029-30 and reflect an increase to the payroll tax rate from 5.5% to 6.5%, from 1 July 2026, for employers and members of payroll tax groups whose Australia-wide wages are $100 million or more in a financial year. Further detail on revenue measures is provided in Chapter 6 *Territory taxes and royalties*.

Expenditure commitments

Since the 2025-26 Budget, a total of $741 million in new expenditure commitments over the budget cycle to 2029-30 have been approved. These are summarised below.

Expenditure commitments reflected in the 2025-26 Mid-Year Report:

- $40 million for local government, housing and community development priorities
- $11 million to fund the extension of the HomeGrown and FreshStart home grants
- $4 million to fund operating costs associated with developing new government ICT systems
- $4 million for community infrastructure priorities.

Key expenditure commitments approved in the 2026-27 Budget include:

- reducing crime:
  - $48 million over 2025-26 to 2028-29 and $15.8 million per annum ongoing from 2029-30 to establish a 212 full-time police public safety officer workforce
  - $22.3 million over 2025-26 to 2027-28 and $8.8 million per annum ongoing from 2028-29 to meet costs associated with the new Northern Territory Police Force Consent Agreement 2025
  - $15 million over 2025-26 and 2026-27 to support the procurement process of a new Darwin correctional facility
  - $6.3 million over 2026-27 and 2027-28, and $1.5 million per annum ongoing from 2028-29 to implement electronic rostering for youth justice and community corrections workforce
  - $4 million per annum ongoing from 2026-27 to support the appointment of two local court judges and to fund demand pressures of higher courts
  - $2.5 million per annum ongoing from 2026-27 to support increased use of electronic monitoring devices
  - $1 million per annum ongoing from 2026-27 to support well-being initiatives in the Northern Territory Police Force and Northern Territory Fire and Emergency Service workforce
- rebuilding the economy:
  - $19.7 million in 2026-27 to ease cost-of-living pressures through the Territory Governments' contribution towards reducing the fuel excise
  - $4.4 million over 2026-27 to 2028-29 to provide grants to Territory businesses under the Safer Businesses, Stronger Economy and Better Lifestyle package
  - $2 million per annum in 2026-27 and 2027-28 for programs to unlock capital and accelerate growth through trade and investment attraction
  - $2 million per annum in 2026-27 and 2027-28 to support land release in Alice Springs, Katherine and Tennant Creek
  - $1.5 million in 2026-27 to continue centre-run air services
  - $1.4 million per annum in 2026-27 and 2027-28 to support development of the Beetaloo Sub-Basin
  - $1 million per annum ongoing from 2026-27 to support competitive agriculture and fisheries through bio security and supply chain integrity

- restoring our lifestyle:
  - $130 million in 2025-26 to address health and hospital demand pressures, partially offset by draw down of $100 million Treasurer's Advance capacity set aside in the 2025-26 Budget
  - $60 million in 2025-26 for McArthur River Mine settlement provision
  - $25.8 million over 2025-26 to 2030-31 towards the regulated utility tariff subsidy to support cost-of-living pressures by constraining growth in regulated utility price increases
  - $22.8 million to support applications to provide new social and affordable housing under Round 3 of the Housing Australia Future Fund
  - $18.3 million per annum ongoing from 2026-27 to open and operate a new 32-bed multipurpose modular ward at the Royal Darwin Hospital
  - $10 million per annum ongoing from 2026-27 to support expansion of contracted road ambulance services
  - $10 million per annum ongoing from 2026-27 for the continued operation of the Top End Aeromedical Retrieval Service
  - $10 million per annum in 2025-26 and 2026-27 to deliver statutory out of home care for children and young people
  - $10 million per annum ongoing from 2026-27 set aside in Treasurer's Advance for costs associated with Foundational Supports co-contributions for non-NDIS community services for people with disabilities and their families
  - $5 million per annum ongoing from 2026-27 to maintain parks and reserves within the Territory
  - $3.3 million per annum in 2026-27 and 2027-28 to support safeguarding our fisheries
  - $3 million per annum for three years from 2026-27 to secure Australian Football League matches across the Territory
  - $3 million per annum ongoing from 2026-27 to support essential operations of Territory Government-owned sport, recreation, community and cultural assets
  - $2.8 million per annum in 2026-27 and 2027-28, and $3.8 million per annum ongoing from 2028-29 to support continuation of major events
  - $1 million per annum in 2026-27 and 2027-28 for international cricket matches to be held in the Territory
  - $1 million per annum ongoing from 2026-27 for a community infrastructure grant program to support capital upgrades to non-Territory Government-owned sport, recreation, community and cultural facilities.

Savings measures

The 2026-27 Budget incorporates savings measures totalling $50 million over the budget cycle to 2029-30 and relates to an increase in the budget repair measure applied to agency budgets from 1% to 1.5% in 2026-27.

Capital commitments

The following outlines total additional capital commitments of $510 million over the budget cycle to 2029-30 since the 2025-26 Budget.

Capital commitments reflected in the 2025-26 Mid-Year Report:

- $7 million to support expansion of parks
- $2 million for design works for a Palmerston secondary special education school
- $1 million for capital costs associated with developing new government ICT systems.

Key capital commitments approved in the 2026-27 Budget include:

- $430 million over the budget cycle to 2029-30 to progress works on the infrastructure program including delivery of new Katherine and Darwin work camps, a Palmerston secondary special education school and to fund road repairs and replacement
- $30 million in 2026-27 to progress works on the Northern Marine Complex, including the Darwin ship lift project
- $10 million per annum ongoing from 2026-27 to increase the capital equipment program to replace medical equipment across Territory hospitals and health facilities.

Non-policy changes since 2025-26 Budget

Table 2.5 highlights the effect of non-policy changes on the non financial public sector's fiscal balance since the 2025-26 Budget and incorporates changes published in the 2025-26 Mid-Year Report.

Table 2.5: Non financial public sector fiscal balance – non-policy changes since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
GST revenue	396	377	238	209	228
Taxation and royalties	197	248	144	229	241
Interest variations[1]	15	33	37	48	63
Government owned corporations	- 198	- 146	- 25	- 61	13
Leases	- 15	15	8	- 6	6
Revised timing of Darwin ship lift project	257	- 124	nil	nil	nil
Timing and agency-related adjustments	234	- 155	- 8	6	22
Total non-policy changes	885	249	394	425	573

(+) reflects an improvement; (-) reflects a worsening

1 Excludes interest variations affecting government owned corporations as these are included with all other variations affecting government owned corporations.

Non-policy changes since the 2025-26 Budget have resulted in a $2.53 billion net improvement to the non financial public sector fiscal balance across the budget cycle to 2029-30. Key variations include:

- increased GST revenue forecasts totalling $1.45 billion, largely a result of an increase in the Territory's GST relativity, combined with upwards revisions to forecast growth in the national GST collections pool and the Territory's share of national population
- additional taxation and royalty revenue totalling $1.06 billion, predominantly due to higher anticipated royalty revenue following revised estimations from miners and higher than expected growth in commodity prices; additional stamp duty on conveyances due to higher residential sale volumes and prices combined with a small number of large one-off commercial transactions; and additional payroll tax due to strength in private sector wages and employment
- improved net interest variations totalling $196 million across the budget cycle, reflecting a reduction in estimated interest expenses consistent with lower borrowing requirements facilitated by improved revenues combined with higher than expected return on investments
- revised revenue, operating costs and capital investment assumptions for government owned corporations in their updated statements of corporate intent (SCIs), resulting in a net $417 million reduction over the budget cycle. This reduction is primarily due to lower than expected gas sales due to shortfalls in supply
- revised timing of leases relating to office accommodation across the budget cycle
- variations to the Northern Marine Complex, including the Darwin ship lift project, resulting in a net improvement of $133 million across the budget cycle due to the acceleration of $133 million of expenditure recognised in 2024-25 (as reported in the 2024-25 Treasurer's Annual Financial Report), combined with revised timing of payments from 2025-26 to 2026-27 in line with estimated construction milestones
- timing and agency-related adjustments, resulting in a projected net improvement of $99 million across the budget cycle to 2029-30. Key variations include:
  - lower expected claims expense within the Motor Accidents (Compensation) (MAC) Commission
  - higher dividend and income tax equivalent income expected to be received from the Northern Territory Treasury Corporation (NTTC)
  - revised timing of expenditure commitments to reflect funding delivery schedules and contractual payments to suppliers. These timing variations have no net effect on the projected fiscal balance over the budget cycle, partially offset by
  - unspent Commonwealth funds in 2024-25 carried over into 2025-26 and forward years
  - higher fleet maintenance costs and capital acquisitions.

2026-27 Budget and forward estimates

The analysis in this section addresses the requirements of section 10(1)(b) of the FITA that each fiscal outlook report is to provide an account of the fiscal and economic assumptions on which the updated financial projections are based. Accordingly, this section provides a summary of the assumptions used and material variations by revenue and expenditure categories.

Revenue changes since 2025-26 Budget

Table 2.6 shows the composition of Territory revenue in the non financial public sector for the 2025-26 revised estimate, 2026-27 budget and forward estimates. Total revenue is expected to be $10.7 billion in 2026-27, increasing to $11.31 billion by 2029-30, with annual growth across the forward estimates averaging 2.1%.

Table 2.6: Non financial public sector – revenue components

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Taxation revenue	903	833	863	896	930
GST revenue	4 967	5 102	5 198	5 409	5 683
Current grants	1 972	2 055	1 878	1 910	1 883
Capital grants	575	585	674	586	571
Sales of goods and services	1 256	1 353	1 631	1 471	1 458
Interest income	156	151	155	160	163
Dividend and income tax equivalent income	48	76	84	80	79
Mining and petroleum royalties	388	445	403	424	437
Other revenue	138	100	98	102	102
Total revenue	10 403	10 702	10 983	11 037	11 308

Table 2.7 compares the revised revenue projections for the 2026-27 Budget with those published in the 2025-26 Budget and 2025-26 Mid-Year Report.

Table 2.7: Non financial public sector – variation in revenue since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
2025-26 Budget	10 042	10 051	10 297	10 550	10 656
2025-26 Mid-Year Report	10 659	10 089	10 334	10 564	10 659
2026-27 Budget	10 403	10 702	10 983	11 037	11 308
Variation from 2025-26 Budget	361	651	686	487	652

1 Amounts not published in the 2025-26 Budget and 2025-26 Mid-Year Report.

As shown in Table 2.7, when compared with the 2025-26 Budget, total revenue in the 2026-27 Budget is expected to be higher across all years by an average $567 million per annum. Table 2.8 identifies the variations in revenue components since the 2025-26 Budget.

Table 2.8: Non financial public sector – variations in revenue components since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Taxation revenue	155	88	90	91	92
GST revenue	396	377	238	209	228
Current grants	49	303	166	185	268
Capital grants	- 104	- 180	12	- 71	27
Sales of goods and services	- 230	- 149	74	- 116	- 166
Interest income	14	5	5	6	6
Dividend and income tax equivalent income	3	16	24	21	24
Mining and petroleum royalties	42	185	79	163	174
Other revenue	38	4	- 1	- 1	- 1
Total variation	361	651	686	487	652

(+) reflects an improvement; (-) reflects a worsening

Taxation revenue

Taxation revenue represents the Territory's primary source of income that government can directly influence. It comprises payroll tax, stamp duty on conveyances, taxes on gambling, taxes on insurance, and motor vehicle fees and taxes. It represents about 8.1% of total revenue over the budget cycle.

Table 2.6 shows taxation revenue is expected to be $903 million in 2025-26, moderate to $833 million in 2026-27 and then grow to $930 million by 2029-30. Growth from 2026-27 represents average growth of 3.7% per annum in line with expected economic activity.

As shown in Table 2.8, taxation revenue is projected to increase by $155 million in 2025-26, and an average $90 million per annum from 2026-27 when compared to the 2025-26 Budget. The higher increase in 2025-26 largely reflects a small number of large one-off commercial transactions, with ongoing increases largely attributable to improved stamp duty on conveyances due to higher residential sales volumes and prices; and improved taxes on employers (payroll tax) due to strength in private sector wages and employment.

Refer to Chapter 6 *Territory taxes and royalties* for detailed information on the economic and other assumptions used to forecast taxation revenue.

GST revenue

GST revenue is the Territory's largest revenue transfer from the Commonwealth and represents about 48% of total revenue across the budget cycle. The primary factors that influence the amount of GST revenue the Territory receives are: growth in national GST collections pool; GST relativities as assessed by the Commonwealth Grants Commission (CGC); and the Territory's share of the national population.

As shown in Table 2.6, GST revenue is projected to increase from $4.97 billion in 2025-26 to $5.68 billion in 2029-30. From 2026-27, GST revenue is expected to grow by around 3.7% per annum.

When compared with the 2025-26 Budget, Table 2.8 shows the Territory's GST revenue is expected to increase by a total of $1.45 billion over the budget cycle to 2029-30, averaging $290 million per annum, mainly reflecting an increase to the Territory's share of the national population, higher forecast growth in the GST collections pool combined with an increase in the Territory's GST relativity from 5.15112 in 2025-26 to 5.24149 in 2026-27.

Refer to Chapter 5 *Commonwealth revenue* for detailed information on the economic and other assumptions used to forecast GST revenue.

Current and capital grants

Each year there are significant changes in tied Commonwealth funding estimates as funding agreements commence, are renewed or cease, or the timing of delivery is revised. Similar to the approach with major projects, tied funding is generally not included in the estimates unless a funding agreement has been signed with the Commonwealth. Tied funding agreements generally do not affect the Territory's fiscal balance as revenues are matched with corresponding expenditure.

As shown in Table 2.6, current grant revenue is expected to fluctuate moderately over the budget cycle, but remains broadly stable at an average $1.94 billion per annum. When compared with the 2025-26 Budget, Table 2.8 shows current grants revenue is forecast to increase over the budget cycle by a total of $971 million, largely due to additional Commonwealth funding of $628 million under the National Health Reform agreement; $66 million for one-off hospital and health-related services in 2026-27; $41 million for operating expenditure relating to mine remediation; $31 million for Restoring Funding for Northern Territory Homelands; $11 million for operating expenditure relating the National Water Grid Fund; and $11 million for Central Australia Plan: A Better, Safer Future for Central Australia.

Table 2.6 shows capital grants revenue is expected to be $575 million in 2025-26, peaking at $674 million in 2027-28, before moderating to an average of $578 million per annum over the remainder of the forward estimates. Revenue for capital projects is recognised when spent and not when the cash is received in accordance with accounting standards, therefore annual fluctuations largely reflect the timing of delivery of capital projects and includes national roads, National Water Grid Fund: Manton Dam return to service and remote housing.

As presented in Table 2.8, capital grants revenue is expected to be $316 million lower across the budget cycle to 2029-30 when compared to the 2025-26 Budget. This net reduction mainly reflects revised timing of Commonwealth-funded road projects into future years beyond the forward estimates as a result of land tenure delays, partially offset by increased funding of $34 million for mine remediation and $31 million for National Water Grid Fund.

Sales of goods and services

Sales of goods and services includes fees and charges, rent and tenancy income collected by various government agencies, and represents around 13% of total revenue over the budget cycle. The most significant component relates to gas sales, and electricity, water and sewerage charges collected by government owned corporations.

As shown in Table 2.6, sales of goods and services revenue is expected to increase from $1.26 billion in 2025-26 to $1.46 billion by 2029-30, with an average annual growth of 3.3% from 2026-27 largely in line with CPI forecasts.

When compared with the 2025-26 Budget, Table 2.8 shows a net reduction in sales of goods and services revenue across the budget cycle, mainly due to lower than expected gas sales due to shortfalls in supply to Power and Water Corporation.

Interest income

Interest income includes returns on short-term and fixed-interest investments combined with realised gains on Conditions of Service Reserve investments, and represents around 1.4% of total estimated revenue over the budget cycle. Table 2.6 shows interest income is expected to be $156 million in 2025-26, moderate slightly to $151 million in 2026-27 before increasing each year over the forward estimates by an average of 2.7% per annum. As shown in Table 2.8, interest income is projected to increase by $14 million in 2025-26 and then by an average of $6 million per annum from 2026-27 when compared with the 2025-26 Budget mainly due to higher than expected returns on investments.

Dividend and income tax equivalent income

Dividend and income tax equivalent income recognised in the non financial public sector comprises estimated payments by NTTC, and is expected to increase from $48 million in 2025-26 and remain broadly stable from 2026-27 averaging $80 million per annum. The variations outlined in Table 2.8 mainly reflect anticipated NTTC profitability in line with the revised timing and value of government borrowing requirements.

Mining and petroleum royalties

Mining and petroleum royalty forecasts are largely based on advice from mining companies and petroleum producers and related company estimates of commodity price movements, production levels and the value of the Australian dollar. This is combined with the Department of Treasury and Finance's internal commodity price and market outlook. Mining and petroleum royalties represent around 3.9% of total estimated revenue over the budget cycle.

As presented in Table 2.6, royalties are expected to be $388 million in 2025-26, increasing to $445 million in 2026-27, and average $421 million per annum for the remainder of the forward estimates. When compared with the 2025-26 Budget, Table 2.8 shows royalties have been revised upwards in all years across the budget cycle, totalling $643 million. Higher royalty forecasts reflect sustained higher commodity prices, with year-to-year fluctuations driven by production estimates.

Other revenue

Other revenue includes miscellaneous revenue, such as reimbursements and research funding from non-government organisations. In 2025-26, other revenue is projected to be $138 million, $38 million higher when compared with the 2025-26 Budget, predominantly due to one-off insurance reimbursements relating to damage to the Darwin ship lift facility as a result of Cyclone Fina, a GST refund from the Australian Taxation Office relating to the provision of disability housing, combined with the transfer of 44 homelands housing dwellings to the Territory. From 2026-27, other revenue is expected to remain relatively stable around $101 million per annum over the budget cycle.

Expenditure changes since 2025-26 Budget

Table 2.9 sets out the Territory's expenditure projections in the non financial public sector for the 2025-26 revised estimate, 2026-27 Budget and forward estimates.

Table 2.9: Non financial public sector – expenditure components

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Employee and related expenses	4 163	4 236	4 288	4 397	4 534
Depreciation and amortisation	1 059	1 055	1 038	1 027	1 024
Other operating expenses	2 805	3 006	2 986	2 976	2 970
Interest expenses	679	773	862	914	959
Current grants	1 259	1 333	1 311	1 347	1 302
Capital grants	254	228	56	32	32
Subsidies and personal benefit payments	71	83	83	85	86
Total expenses	10 288	10 714	10 624	10 778	10 908
Net capital investment	1 743	2 068	1 744	1 460	1 402
Total expenditure	12 031	12 782	12 368	12 238	12 310

As shown in Table 2.9, total expenditure is projected to peak in 2026-27 at $12.78 billion and remain largely stable over the forward estimates averaging $12.31 billion per annum.

Table 2.10 compares revised expenditure projections for the 2026-27 Budget with those published in the 2025-26 Budget and 2025-26 Mid-Year Report.

Table 2.10: Non financial public sector – variation in expenditure since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Total expenses					
2025-26 Budget	10 069	10 049	10 222	10 385	10 503
2025-26 Mid-Year Report	10 464	10 197	10 352	10 507	10 620
2026-27 Budget	10 288	10 714	10 624	10 778	10 908
Variation from 2025-26 Budget	219	665	402	393	405
Net capital investment					
2025-26 Budget	2 119	1 743	1 422	1 513	1 445
2025-26 Mid-Year Report	2 122	1 784	1 443	1 512	1 440
2026-27 Budget	1 743	2 068	1 744	1 460	1 402
Variation from 2025-26 Budget	- 376	325	322	- 53	- 43

1 Amounts not published in the 2025-26 Budget and 2025-26 Mid-Year Report.

Total expenses are expected to be $10.71 billion in 2026-27, increasing on average by 0.6% per annum over the forward estimates. When compared with the 2025-26 Budget, total operating expenses are on average $417 million per annum higher, reflecting new government policy decisions as detailed earlier in this chapter, increased depreciation and amortisation expenses, government owned corporation's expense assumptions and expenditure associated with delivering new tied Commonwealth funding agreements. Table 2.11 identifies the variations in expense components since the 2025-26 Budget.

Table 2.11: Non financial public sector – variations in expense components since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Employee and related expenses	122	166	106	142	207
Depreciation and amortisation	162	161	159	156	164
Other operating expenses	- 77	225	144	129	78
Interest expenses	nil	- 11	5	3	- 15
Current grants	- 43	21	- 25	- 40	- 32
Capital grants	58	98	8	- 2	- 2
Subsidies and personal benefit payments	- 3	5	5	6	6
Total expenses	219	665	402	393	405

Parameters

Included in the total expense variations are adjustments to agency budgets as a result of parameters applied to Territory-funded expenses. Parameter factors are reviewed each budget, taking into consideration the latest policy and economic developments, for the purpose of providing agencies with additional financial capacity to deliver services at current pricing levels, offset by measures to repair the budget. The main parameters used to adjust forward estimates are:

- wages – inflator
- CPI – inflator
- budget repair measure (formerly known as efficiency dividend) – deflator.

The wages indexation factor of 3% is applied from 2026-27 and across the forward estimates, consistent with government's announced Public Sector Wages Policy 2025–2028 and is unchanged from the 2025-26 Budget.

The CPI parameter for the budget year is generally adjusted to match the year-on-year change in the Darwin CPI for the latest December quarter to better reflect actual price trends. The CPI factor for 2026-27 was increased from 2.4% to 3.3% to align with the December 2025 quarter annual Darwin CPI growth. Given the volatility and uncertainty of CPI forecasts following global oil supply disruptions, CPI parameters for the forward estimates remain unchanged at 2.5% per annum thereafter.

An additional growth parameter of 1.4% is applied to all hospital-related expenditure in recognition of growth in demand for health services, remaining unchanged from the 2025-26 Budget.

A budget repair measure is applied to agency budgets for operational costs, employee costs, and grants and subsidies premised on improving the budget position. The budget repair measure for 2026-27 was increased from 1% to 1.5%, remaining unchanged at 1% per annum thereafter.

For the following agencies and functions, a two-thirds discount is applied to the budget repair measure to recognise that a majority of their costs relate to frontline services, which are substantially fixed in nature:

- Department of Children and Families
- Department of Corrections
- Department of Education and Training
- hospital services function of the Department of Health
- Northern Territory Fire and Emergency Service
- Northern Territory Police Force.

For grants and subsidies budgets, a composite indexation factor is applied based on 75% of the wages factor and 25% of the CPI factor, less the applicable budget repair measure for that year.

Repairs and maintenance expenditure is indexed consistent with the factor applied to grants and subsidies, to keep pace with the increasing cost of service delivery.

Government owned corporation forward estimates are based on forecasts provided by the corporations during development of their SCIs. The forecasts reflect future expectations in revenue, contracted and regulated costs, capital investments, operational efficiencies and other factors agreed by the shareholding minister and each respective board.

Due to the concurrent development of the Territory budget and SCIs, the final approved SCIs for 2026-27 may differ from the estimates contained in the 2026-27 Budget.

Employee and related expenses

Table 2.9 shows estimated employee and related expenses, which includes superannuation expenses, continues to account for about 41% of total expenses and represent the Territory's largest expenditure category. Employee and related expenses are expected to increase from $4.16 billion in 2025-26 to $4.53 billion by 2029-30. Growth in employee and related expenses to 2027-28 is expected to remain subdued at 1.5% per annum before resuming average growth of around 2.8% per annum from 2028-29. The restrained growth to 2027-28 largely reflects the cessation of time-limited Commonwealth funding for Comprehensive Primary Health Care Delivery, hospital and related health services and the National Critical Care and Trauma Response Centre, with growth from 2027-28 largely reflecting year-on-year parameter indexation.

When compared to the 2025-26 Budget, Table 2.11 shows employee and related expenses have increased across all years by an average $149 million per annum due to new policy commitments largely relating to health and hospital demand pressures; operation of the new 32-bed modular ward at the Royal Darwin Hospital; establishment of a police public safety officer workforce; and costs associated with the Northern Territory Police Force Consent Agreement 2025, combined with ongoing expenditure associated with additional Commonwealth funding under the National Health Reform agreement.

Depreciation and amortisation

Depreciation and amortisation expenses represent the consumption of physical and intangible asset values over their expected useful life constituting around 10% of total expenses. These expenses will vary over the budget cycle as new assets are purchased or constructed, and assets reach the end of their useful life, or are revalued in line with accounting standards. Table 2.9 shows depreciation and amortisation expenses are expected to average around $1.04 billion per annum across the budget cycle.

As highlighted in Table 2.11, when compared to the 2025-26 Budget depreciation and amortisation expenses have increased by around $160 million per annum, largely associated with revised cost assumptions relating to public housing and roads, combined with new completed works.

Other operating expenses

Other operating expenses largely comprise government's repairs and maintenance program, energy costs, property-related costs, medical supplies, ICT and communication charges, and motor accident compensation and related payments, and represent around 28% of total expenses. As shown in Table 2.9, other operating expenses are expected to be $2.81 billion in 2025-26, peak at $3.01 billion in 2026-27 and remain largely constant over the forward estimates, averaging $2.98 billion per annum. The peak in 2026-27 largely reflects the delivery of one-off and time-limited programs. The stability of other operating expenses over the forward estimates is largely driven by ceasing Commonwealth funding agreements over the forward estimates period, offset by annual parameter indexation.

Compared to the 2025-26 Budget, Table 2.11 shows that while other operating expenses are lower in 2025-26, they are on average $100 million per annum higher across the budget cycle. The variations reflect the revised timing of expenditure commitments from 2025-26 into 2026-27, new policy commitments largely relating to increased funding for contracted road ambulance services; aeromedical retrieval services; delivery of statutory out of home care for children and young people; Foundational Supports co-contributions combined with ongoing expenditure associated with new Commonwealth funding and reclassification of contract road ambulance services from current grants to other operating expenses.

Interest expenses

Interest expenses include interest on loans, bonds and advances and interest components on lease and service concession liabilities, and comprise around 8% of total expenses. Table 2.9 shows interest expenses for the 2026-27 Budget are projected to increase from $679 million in 2025-26 to $959 million in 2029-30. As shown in Table 2.11, when compared to the 2025-26 Budget, interest expenses have reduced by a net amount of $18 million across the budget cycle. The modest change reflects a $161 million net reduction over the budget cycle from lower general government sector borrowing requirements driven by improved revenues, largely offset by a $143 million increase in government owned corporation interest expenses due to higher borrowings and interest rates.

Current grants

Current grants represent around 12% of total expenses and primarily comprise Territory and Commonwealth-funded grants to schools, non–government health service providers, cultural and sporting organisations, local government councils, and delivery of children and family programs by non-government organisations. Table 2.9 shows current grant expenses are expected to be largely stable at around $1.3 billion per annum across the budget cycle. When compared to the 2025-26 Budget, Table 2.11 shows that except for 2026-27, current grants are lower in all years, largely due to reclassification of contracted road ambulance services from current grants to other operating expenses. Increased current grants in 2026-27 largely reflects the Territory Government's contribution of $19.7 million for fuel excise relief, combined with the revised timing of programs from 2025-26.

Capital grants

Capital grants comprise payments to local government councils and non-government organisations for the purpose of acquiring or constructing new physical assets or upgrading existing physical assets. Capital grants tend to be ad hoc in nature and range between 1% to 2% of total expenses over the budget cycle.

As highlighted in Table 2.9, capital grant expenses are projected to be elevated in 2025-26 and 2026-27 at an average of $241 million per annum, before declining to an average of $32 million per annum from 2028-29. Elevated expenditure over 2025-26 and 2026-27 reflects the payment profile of Commonwealth-funded programs including Restoring Funding for Northern Territory Homelands; Housing Australia Future Fund and Social Housing Accelerator grant programs. This is combined with new time-limited policy commitments since the 2025-26 Budget including the extension of HomeGrown and FreshStart home grants; local government, housing and community development priority grants; and grants to fund new social and affordable housing.

Subsidies and personal benefit payments

Subsidies and personal benefits are payments aimed at reducing all or part of the costs of an activity and include debts owing to the Territory that are waived or extinguished, and constitute around 1% of total expenses. From 2026-27, subsidies and personal benefit payments are estimated to remain largely constant, averaging $84 million per annum and comprise payments for early childhood and out of home care services, back-to-school payments, payments under the Territory senior's recognition and carer's concession schemes, and regulated utility tariff subsidies paid to private sector retailers. Table 2.11 shows, when compared to the 2025-26 Budget, subsidies and personal benefits have increased by an average of $4 million per annum largely due to subsides paid to external electricity retailers to support cost-of-living pressures to constrain growth in regulated utility price increases.

Net capital investment

Net capital investment comprises purchases and sales of non financial assets, such as vehicles, ICT and equipment, and includes the construction of assets under the Territory's capital works program. As shown in Table 2.9, net capital investment is expected to peak in 2026-27 at $2.07 billion, before declining to $1.4 billion by 2029-30.

As shown in Table 2.10, estimated net capital investment in 2025-26 is $376 million lower when compared with the 2025-26 Budget, before increasing in both 2026-27 and 2027-28 by an average of $324 million per annum, and annual reductions of around $48 million in 2028-29 and 2029-30. The variations largely reflect additional Territory-funded capital initiatives including the delivery of new Katherine and Darwin work camps and a Palmerston secondary special education school, offset by the revised timing of payments for the Northern Marine Complex, including the Darwin ship lift project, from 2025-26 into 2026-27. This is combined with the revised timing of Commonwealth-funded road projects into future years beyond the forward estimates.

Key fiscal indicators – balance sheet

The key measures for the balance sheet are net debt and the resulting net debt to revenue ratio. Table 2.12 shows net debt is projected to be $12.56 billion in 2026-27, increasing to $13.17 billion by 2029-30. The net debt to revenue ratio is projected to be 117% in 2026-27, improving to 116% in 2029-30.

When compared with the 2025-26 Budget, net debt is projected to be lower in each year across the budget cycle and be $1.17 billion lower by 2029-30. This reduction is in line with the cumulative effect of improvements to projected fiscal balance deficits. Net debt to revenue ratios are similarly lower in all years by around 13 percentage points per annum when compared to the 2025-26 Budget due to the same factors affecting the reduction in net debt.

Table 2.12: Non financial public sector – variation in net debt and net debt to revenue ratio since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Net debt					
2025-26 Budget	12 191	13 107	13 506	13 966	14 342
2025-26 Mid-Year Report	11 712	12 738	13 137	13 579	13 933
2026-27 Budget	11 350	12 555	13 200	13 209	13 172
Variation from 2025-26 Budget	- 841	- 552	- 306	- 757	- 1 170
Net debt to revenue (%)					
2025-26 Budget	121	130	131	132	135
2025-26 Mid-Year Report	110	126	127	129	131
2026-27 Budget	109	117	120	120	116
Variation from 2025-26 Budget	- 12	- 13	- 11	- 12	- 19

1 Amounts not published in the 2025-26 Budget and 2025-26 Mid-Year Report.

Factors affecting net debt are the net result of policy and non-policy changes. Policy changes outlined earlier in this chapter include government's operational and capital commitments, partially offset by savings and revenue measures. Non-policy changes include GST, taxation and royalty revenue, the effect of renewed and extended leases of office accommodation, and timing of Commonwealth and agency payments, partially offset by operating and capital results of government owned corporations. Table 2.13 summarises the effect of policy and non-policy changes on net debt since the 2025-26 Budget.

Table 2.13: Non financial public sector – cumulative changes to net debt since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Policy changes	161	571	844	977	1 101
Non-policy changes	- 1 002	- 1 123	- 1 150	- 1 734	- 2 271
Net cumulative change	- 841	- 552	- 306	- 757	- 1 170

(+) reflects a worsening; (-) reflects an improvement

Table 2.14 provides details on the cumulative factors contributing to the projected variation in net debt over the forward estimates since the 2025-26 Budget.

Table 2.14: Non financial public sector – detailed cumulative changes to net debt since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Revenue measures	nil	- 25	- 50	- 75	- 100
Expenditure commitments	148	327	468	606	741
Savings measures	nil	- 12	- 25	- 37	- 50
Capital commitments	13	281	450	483	510
GST revenue	- 396	- 773	- 1 012	- 1 220	- 1 449
Taxation and royalties	- 197	- 445	- 589	- 818	- 1 059
Interest variations[1]	- 15	- 48	- 85	- 132	- 196
Government owned corporations	198	344	370	431	417
Leases	15	nil	- 8	- 2	- 8
Revised timing of Darwin ship lift project	- 257	- 133	- 133	- 133	- 133
Timing and agency-related adjustments[2]	- 351	- 68	308	142	155
Net cumulative changes	- 841	- 552	- 306	- 757	- 1 170

(+) reflects a worsening; (-) reflects an improvement

1 Excludes interest variations affecting government owned corporations as these are included with all other variations affecting government owned corporations.

2 Includes items discussed in Table 2.5 combined with the use of Commonwealth capital funding received in 2024-25, now spent over the budget cycle.

Chapter 3

Economic outlook

Overview

The information provided in this chapter meets the requirements of sections 10(1)(b) and 10(1)(c) of the FITA that each fiscal outlook report contains an account of the economic assumptions and analysis of the effects of their changes on the updated financial projections. This chapter also addresses the requirements under section 10(1)(f) of the FITA and provides explanations of material differences between the updated economic projections and those published in the 2025-26 Budget.

This chapter provides a summarised assessment of the Territory's economic outlook. More detailed commentary is in the Northern Territory Economy book, the online Industry Outlook publication and on the website at nteconomy.nt.gov.au.

Table 3.1: Territory key economic indicators (%)

	2025-26e	2026-27f	2027-28f	2028-29f	2029-30f
Gross state product[1]	2.7	5.8	1.4	3.0	3.0
State final demand[1]	- 0.8	- 0.7	0.8	1.8	2.7
Employment[1]	1.1	0.6	0.9	1.6	1.6
Unemployment rate[2]	4.6	5.2	4.7	4.6	4.6
Consumer price index[3]	5.2	3.2	1.0	2.5	2.5
Wage price index[1]	2.6	3.7	3.3	3.4	3.3
Population[3]	1.2	1.1	1.1	1.2	1.2

e: estimate; f: forecast
1 Year-average percentage change.
2 Year average.
3 Year-ended percentage change.
Source: Department of Treasury and Finance, ABS

Economic growth

Gross state product and state final demand

In early 2026, the Territory was affected by widespread flooding, with Katherine experiencing the worst floods since 1998. Other affected regions include the Top End, Big Rivers, East Arnhem, Barkly and Central Australia. The impact on communities and businesses has been significant and is still in the process of being assessed. The Territory Government has committed $100 million of the capital works program for the Flood Recovery Fund.

Territory GSP in 2025-26 is forecast to grow by 2.7%. This is driven by growth in exports with the Barossa project moving into the production phase, partially offset by a 0.8% decline in SFD as private investment moderates, following the completion of upgrades at the Darwin LNG plant and recommencement of production.

The Middle East conflict is driving up oil and energy prices globally, with Brent crude oil prices increasing by around 109% from an average of US$69 per barrel in 2025 to peak at US$144 per barrel on 7 April 2026. The price of unleaded 91 petrol in Darwin peaked at 264.2 cents per litre on 31 March 2026 (prior to the fuel excise cut), an increase of 84.9 cents per litre from the pre-conflict price of 179.3 cents per litre on 27 February. Diesel prices in Darwin peaked at 328.4 cents per litre on 9 April, up 144.5 cents per litre from the pre-conflict price of 183.9 cents per litre. Price increases reflect disruptions to shipping in the Strait of Hormuz, through which around 20% of global oil flows, and due to production shutdowns and refinery closures.

Oil and fuel price volatility is affecting supply chains, bringing inflationary risks that, if sustained is expected to result in the Reserve Bank of Australia (RBA) increasing interest rates to slow growth. The situation remains highly fluid and the full economic impact will depend on the extent and duration of the conflict. Economic modelling in these forecasts assume the price of oil will average US$100 per barrel from April to September 2026 before easing to around US$70 per barrel by the end of the forward estimates. In line with this scenario, higher oil prices are expected to have an immediate impact on inflation, increasing Darwin's CPI by 5.2% in 2025-26.

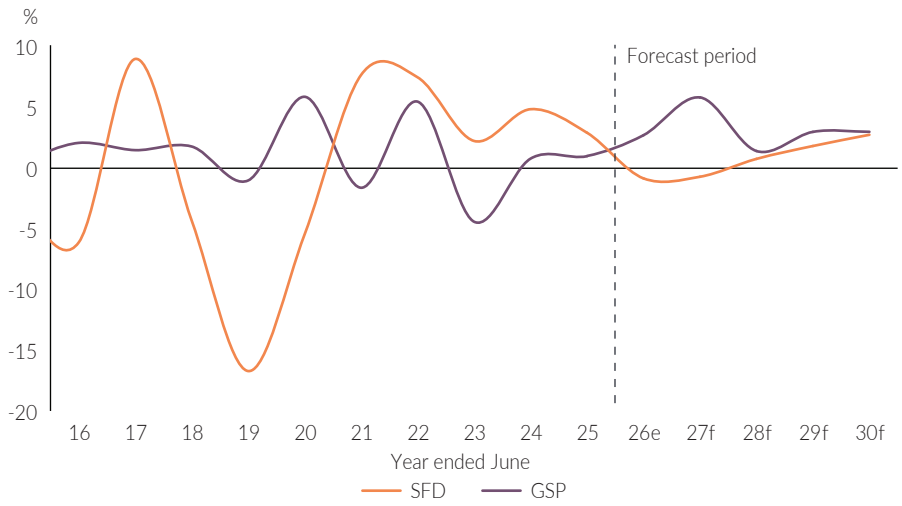
Higher fuel and fertiliser prices will also weigh on demand. Importantly, the impact from higher fuel prices will be felt differently across sectors depending on whether they are net energy importers or exporters. For industries, impacts will depend on the overall energy intensity of production. The most directly exposed sectors are transport and logistics, and tourism, and to a lesser extent mining, agriculture and construction. Over the medium term, a renewed global focus on energy security could accelerate investment in energy production in Australia, including in the Beetaloo Sub-basin, which would have a positive and offsetting impact on Territory GSP. In early 2026, Santos and INPEX separately announced plans to explore options in the Beetaloo Sub-basin. This is expected to help shield the Territory economy from some of the impacts of the Middle East conflict.

Higher fuel prices will strengthen trade and income growth in net energy exporting economies like the Territory, while the opposite is true for net energy importers.

Household consumption growth is expected to contribute only modestly to growth in 2025-26 as higher interest rates temper discretionary demand following the February and March 2026 cash rate increases. Markets anticipate further interest rate increases in 2026, which would further weigh on growth. Petrol and diesel prices will also impact discretionary spending (Chart 3.1).

A severe downside risk will arise if the Middle East conflict leads to permanent damage to oil infrastructure, resulting in a sustained reduction in global supply. Persistently higher fuel prices will significantly increase costs for energy-intensive industries, disrupt supply chains, and weaken output and investment, materially worsening economic outcomes relative to the forecast.

Chart 3.1: Territory gross state product and state final demand[1]



e: estimate; f: forecast; GSP: gross state product; SFD: state final demand
1 Year-average percentage change.
Source: ABS, *Australian National Accounts: State Accounts, National Income, Expenditure and Product, Balance of Payments and International Investment Position, Australia*; Department of Treasury and Finance

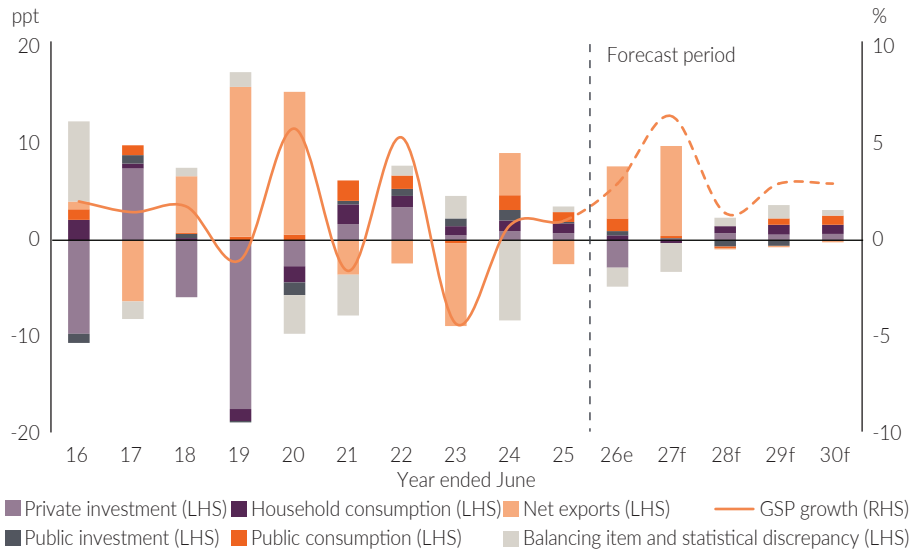
In 2026-27, Territory GSP is forecast to grow by 5.8%, as the Ichthys and Darwin LNG plants operate at or near full capacity, making net exports the principal driver of growth. However, services trade for both exports and imports, is expected to be heavily impacted as higher fuel prices discourage overseas travel. Household consumption is forecast to decline and detract 0.9 percentage points from growth, as households feel the effects of higher interest rates and fuel prices (Table 3.1 and Chart 3.2).

In 2027-28, GSP is forecast to grow by 1.4%, driven by a recovery in household consumption as cost-of-living pressures are assumed to ease, alongside continued investment in the Beetaloo Sub-basin. Gas production from the Beetaloo Sub-basin is anticipated to ramp up and could contribute to exports and east coast supply depending on the path of investment.

Over the forward estimates, the economy is assumed to return to trend growth of around 3%, supported by a 4.3% expansion in private investment and 2.6% growth in household consumption. Public investment is expected to ease from recent elevated levels towards long-term average levels of activity. The medium-term outlook reflects population growth stabilising at around 1.2%. There may be an upside to growth if the Territory is able to increase population through overseas skilled migration to ease general skill shortages.

The Territory economic growth projections do not factor in potential projects yet to reach final investment decision. Some of these projects may reach final investment decision during the forecast period, which would result in increased economic activity and growth.

Chart 3.2: Contributions to Territory gross state product growth



e: estimate; f: forecast; GSP: gross state product; LHS: left-hand side; ppt: percentage points; RHS: right-hand side
Source: Department of Treasury and Finance; ABS, *Australian National Accounts: State Accounts, National Income, Expenditure and Product, Balance of Payments and International Investment Position, Australia*

Household consumption

Household consumption is estimated to increase by 0.8% in 2025-26 before contracting by 2.1% in 2026-27. The Middle East conflict is resulting in fuel and freight cost increases that quickly feed into domestic supply chains. Households will feel the impact of higher interest rates and fuel prices, and likely decrease discretionary spending.

Nevertheless, over the forward estimates, growth is expected to trend upwards, consistent with the forecast of solid employment and real wages growth and easing cost-of-living pressures.

Private investment

Private investment is estimated to contract by 15.8% in 2025-26, as construction of the Barossa project drops out of the private investment expenditure base. However, new activity, such as the Beetaloo Sub-basin pilot gas drilling and testing, and the Sturt Plateau pipeline and compression plant, are expected to offset some of the decline. In the near term, repairing infrastructure in flood-affected areas and replacing damaged plant and equipment, particularly in the agricultural and pastoral sectors, will add to private investment.

Private sector dwelling investment is forecast to increase by 20.3% in 2025–26, building on momentum from late 2025. However, the February and March 2026 increases in the cash rate to 4.1% are expected to moderate new housing commitments in 2026-27 and 2027-28. Higher fuel prices will also increase construction costs.

Private investment is expected to contribute positively to GSP growth from 2027-28. This is consistent with moderate growth in the capital stock related to new projects, expanding existing capacity and spending to offset asset depreciation to maintain productive capacity of existing capital (equipment, buildings and structures). In the forward estimates, investment is assumed to return to long-run trend estimates with a possible increase associated with gas production in the Beetaloo Sub-basin.

Recent fuel price shocks are expected to increase the attractiveness of investing in Australia and Territory energy projects. Sustained higher energy prices and the sovereign stability of Australia will support increased investment in the Beetaloo Sub-basin.

Public consumption

Public consumption is forecast to grow by 3.8% in 2025-26, reflecting ongoing growth in demand for health and community-related services, as well as unexpected expenditure for the emergency flood response in early 2026.

Public consumption growth is expected to be 0.5% in 2026-27, with increases to frontline service delivery and the revised timing of various programs from 2025-26 to 2026-27. Commonwealth spending is expected to be constrained by fiscal pressures. Public consumption is expected to decline by 0.3% in 2027-28 before expenditure returns to around trend growth in the final year of the forward estimates.

Public investment

Public investment activity is estimated to remain strong over the near term, growing by 5.6% in 2025-26 and 1.2% in 2026-27. This reflects ongoing activity on large infrastructure projects such as the Northern Marine Complex, including the Darwin ship lift project, and new infrastructure works in education and corrections from 2026-27. Infrastructure reconstruction and repairs related to flooding will require public investment, although the full extent of the damage is still being assessed.

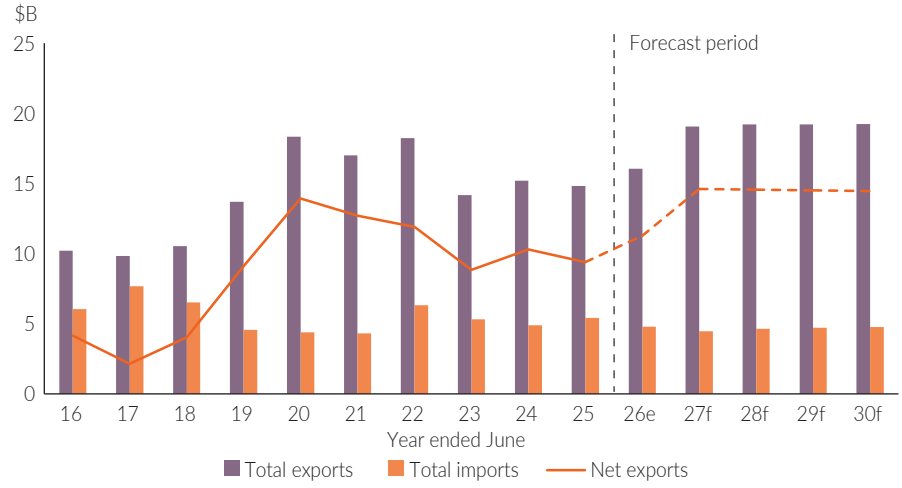
Public investment growth is expected to ease over the forward estimates, declining by 8.7% in 2027-28 and 8.8% in 2028-29 as large projects, including several defence projects, are completed. Despite the decline in public investment, there is a large pipeline of work to support activity in the outer years.

International trade

The Territory's trade surplus is forecast to increase in 2025-26 and 2026-27 before stabilising over the forward estimates (Chart 3.3). The increase in exports in 2025-26 is driven by exports from Darwin LNG and manganese exports resuming from Groote Eylandt Mining Company. The growth in exports in 2026-27 reflects both the Ichthys and Darwin LNG plants operating at or near full capacity and lithium exports resuming from the Finniss mine. Export growth is expected to stabilise from 2027-28 as these facilities reach full production.

Imports are estimated to decline by 12.6% in 2025-26, as work associated with the Barossa project is completed. In 2026-27, imports are expected to continue to decline, driven by weaker household consumption and less inbound overseas travel due to higher fuel prices. Thereafter, the Territory's imports are forecast to grow in line with investment activity and economic growth.

Chart 3.3: Territory net exports



e: estimate; f: forecast
Source: ABS, *Australian National Accounts: State Accounts*; Department of Treasury and Finance

External economic environment

National and international factors influence the Territory economy through financial markets, exchange rates, commodity prices, population and trade flows, tourist visitation and availability of workers to meet the Territory's labour requirements. Monetary policy set by the RBA influences household consumption, business confidence and investment decisions in the Territory. The international economic backdrop is highly uncertain and likely to have direct and indirect impacts on the national and Territory economies.

Disruptions to energy production and shipping through the Strait of Hormuz have driven sharp increases in oil, gas, fertiliser and plastics prices, heightened financial market volatility and increased geopolitical uncertainty. If sustained, higher energy prices are expected to raise inflation, weaken real incomes and dampen global growth, potentially requiring tighter monetary policy to keep inflation expectations anchored. The International Monetary Fund's *World Economic Outlook*, released in April 2026, assumes in its reference forecast, that the Middle East conflict remains contained, with disruptions easing, and regional production and trade flows normalising by mid-2026. Under this assumption, global economic growth is forecast to be 3.1% in 2026 and 3.2% in 2027. This represents a downward revision of 0.2 percentage points for 2026, relative to the January 2026 outlook.

The Organisation for Economic Co-operation and Development (OECD) estimates the conflict will reduce global economic growth by 0.25 percentage points by the September quarter 2026, compared to the December 2025 outlook, with G20 headline inflation estimated to be 1 percentage point higher by the September quarter 2026, before easing back to the baseline forecast by the June quarter 2027.

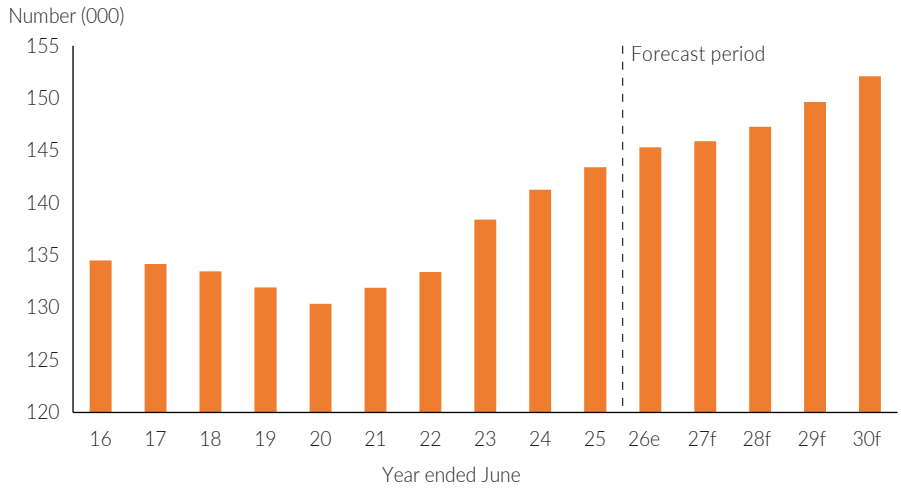
The risk to growth depends on the extent that increased fuel prices affect consumer prices and the response of central banks to contain inflationary expectations. The RBA will meet on 5 May 2026 and markets are expecting a 25-basis point increase in the cash rate. The longer the Middle East conflict continues, the greater the risk that inflation exceeds expectations and central banks respond by increasing interest rates.

Labour market

Employment growth is forecast to moderate in the near term, slowing to 1.1% to 145,000 employed in 2025-26 (Chart 3.4). This largely reflects the completion of construction on the Barossa project, partly offset by maintenance works at the Ichthys LNG plant in mid-August to November 2025 and ongoing elevated public investment activity. Employment growth is forecast to ease to 0.6% in 2026-27 and 0.9% in 2027-28, as the recent oil price shock reduces discretionary spending and tourism, and as recent interest rate increases continue to affect demand. There are risks to employment in the agricultural sector as recent floods and higher fuel and fertiliser costs impact production and investment. Overall, a period of weaker domestic demand will proportionately reduce labour demand and put upward pressure on unemployment.

The unemployment rate is expected to ease to 4.6% in 2025-26 before rising to 5.2% in 2026-27, reflecting weaker tourism activity, a decline in household consumption and weaker private investment. The uncertainty surrounding the duration of the Middle East conflict and its impacts have contributed to a decline in consumer and business confidence, and is a key risk to the labour market and unemployment outlook. The unemployment rate is expected to moderate over the forward estimates as conditions stabilise.

Chart 3.4: Territory employment



e: estimate; f: forecast
Source: ABS, *Labour Force, Australia*; Department of Treasury and Finance

Prices and wages

CPI growth is expected to be 5.2% in 2025-26, impacted by higher energy prices. The significant increase also reflects an upward trend in underlying inflation over 2025-26 and the end of rebates from the Commonwealth energy bill relief fund. Oil prices are expected to remain elevated in the short term and elevate production costs for a broad range of goods and services. CPI growth is forecast to be 3.2% in 2026-27. As oil prices moderate, forecast CPI growth eases to 1% in 2027-28 before stabilising at 2.5% over the outer years.

The surge in oil prices had an immediate impact on goods prices and will contribute to higher prices over the year. Services inflation could also increase as higher cost of living puts upward pressure on wages, although the current cycle of tighter monetary policy will also reduce domestic demand and temper inflation expectations.

The situation in the Middle East remains highly volatile and underpins key risks to inflation projections. The conflict could easily drive significant risk to prices and inflation expectations, which could lead to further interest rate increases.

Wage growth is expected to moderate to 2.6% in 2025-26 before strengthening by 3.7% in 2026-27. Over the forward estimates, wage growth is in line with trend estimates, averaging 3.3% per annum.

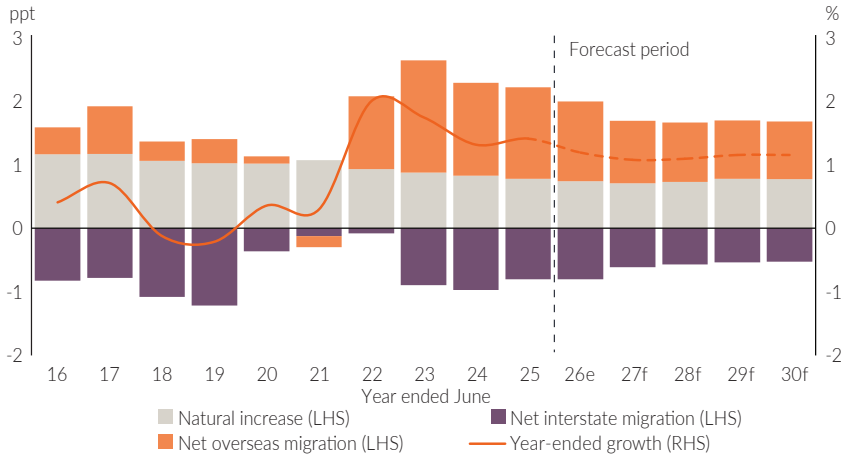
Population

The Territory's population is estimated to grow by 1.2% in 2025-26 (Table 3.1), driven by net overseas migration inflows and natural increase, partly offset by net interstate migration outflows. This is a slight upgrade from the 1% forecast in the 2025-26 Budget, mainly due to the ongoing strength of overseas migration inflows of skilled and temporary student visa holders, partly offset by weaker than expected natural increase and net interstate migration outcomes.

Population growth is forecast to be 1.1% in 2026-27 as overseas migration arrivals ease and natural increase remains weak among ongoing cost of living pressures and broader social norms that are weighing on family formation decisions. Population growth is forecast to remain at 1.1% in 2027-28 as migration flows continue towards long-term levels. Population growth in 2027-28 is down slightly from the 1.2% growth forecast in the 2025-26 Budget, mainly due to revised assumptions on the timing and strength of recovery in natural increase.

Population growth is expected to increase to 1.2% in 2028-29 and 2029-30 as natural increase recovers and migration holds steady (Chart 3.5).

Chart 3.5: Territory population growth and percentage point contribution by component



e: estimate; f: forecast; LHS: left-hand side; ppt: percentage point; RHS: right-hand side
Source: ABS, *National, state and territory population*; Department of Treasury and Finance

The ABS has updated the methodology for estimating interstate migration for national, state and territory population estimates. The updated methodology was backcast to apply to population statistics from September quarter 2021 and resulted in large changes in interstate outcomes in the Territory and upward revisions to the Territory's population since the 2025-26 Budget.

Chapter 4

Fiscal strategy statement

Overview

Information provided in this chapter meets requirements under sections 9(1)(d) and 9(1)(e) of the FITA to provide an assessment of expected outcomes for key fiscal indicators and explain how government's fiscal objectives and strategic priorities relate to principles of sound fiscal management. This section also complies with section 10(1)(g) of the FITA that states each fiscal outlook report is to contain an explanation of the factors and considerations contributing to any material differences between updated financial projections and government's fiscal objectives and targets.

Government's fiscal strategy

A fiscal strategy is an essential element of budget planning and accountability, and provides the basis against which policy decisions can be assessed at a whole of government level. The strategy articulates government's fiscal objectives and targets.

Section 5(1) of the FITA requires the Territory Government to publish a fiscal strategy based on principles of sound fiscal management, where government must:

- formulate and apply spending and taxing policies, having regard to the effect of these policies on employment, economic development and growth of the Territory economy
- formulate and apply spending and taxing policies to give rise to a reasonable degree of stability and predictability
- ensure funding for services is provided by the current generation
- prudently manage financial risks faced by the Territory (having regard to economic circumstances), including the maintenance of Territory debt at prudent levels.

Section 9(1)(c) of the FITA requires government to specify the key fiscal indicators it considers important and against which fiscal policy will be set and assessed. The key fiscal indicators on which the fiscal strategy is premised include the general government sector's net operating balance and the non financial public sector's fiscal balance, net debt and net debt to revenue ratio. The fiscal strategy also comprises other fiscal measures that support the key fiscal indicators.

2026-27 Budget fiscal strategy

The fiscal strategy objectives and targets in the 2026-27 Budget remain unchanged from those established in the 2025-26 Budget. The government's fiscal strategy is focused on debt management and reduction. The targets represent the outcomes required to restore the Territory to a financially sustainable position, taking into account current fiscal and economic conditions and performance relative to comparable jurisdictions. Jurisdictional comparisons provide a benchmark for assessing the economic and fiscal conditions, and pressures faced by each state government.

As the Territory releases its budget ahead of all the states, the state average is premised on lagging budget data for each state. Accordingly, the Territory may present higher projected outcomes until state budgets are released. State averages updated for 2026-27 Budget projections will be published in the 2025-26 Treasurer's Annual Financial Report where actual performance against targets are assessed.

Detailed assessment of expected outcomes for fiscal strategy objectives and key fiscal targets follows.

Assessment of the fiscal strategy

Principle 1: Spending and taxing policies for employment, economic prosperity and development of the Territory

Ongoing objective: Maintain a competitive tax environment that encourages investment, creates jobs and attracts business to the Territory

Target: Territory taxation effort for the last assessed year by the Commonwealth Grants Commission to be equal or lower than the state average of 100%

Taxing policies can significantly influence private business investment and employment decisions. Consequently, competitive taxing policies play a critical role in pursuing the FITA principle of maintaining employment, economic development and growing the Territory economy.

Relative tax competitiveness is complex to assess due to inherent differences in respective economies and taxation regimes across jurisdictions. A nationally recognised measure of the competitiveness of each jurisdiction's tax system is taxation effort, as assessed by the CGC. This measure is a lagging indicator as the CGC updates information annually based on the actual outcome of the previous year.

Taxation effort assesses the extent to which a jurisdiction's actual revenue collections are above or below its assessed capacity to raise revenue if it imposed national average tax settings. A ratio above 100 indicates a state is collecting more revenue than it would if it applied state average policy settings, whereas a ratio below 100 indicates it collects less revenue than it would if it applied state average policies. This fiscal strategy objective and target aims to maintain taxation at levels competitive with other jurisdictions to encourage increased levels of business activity in the Territory.

Table 4.1 shows the Territory is the lowest taxing jurisdiction with an assessed taxation effort of 82.5% for 2024-25, the latest year assessed by the CGC. Accordingly, this fiscal strategy target has been achieved as the Territory's taxation effort is below the state average of 100%.

Table 4.1: Taxation effort by jurisdiction, 2024-25

	NSW	Vic	Qld	WA	SA	Tas	ACT	NT	Average	Target met
	%	%	%	%	%	%	%	%	%	
Total taxation effort	99.4	112.4	90.8	91.5	94.3	85.1	137.5	82.5	100	yes

Source: CGC 2026 Update

The Territory generally demonstrates below-average taxation effort as it does not impose land tax and levies lower than average motor vehicle taxes. The Territory's taxation effort in 2024-25 marginally increased from the updated assessment for 2023-24 of 81.3%, largely due to higher stamp duty collections between years. It is anticipated the Territory's taxation effort for 2025-26 will increase following sustained improvement in stamp duty collections in 2025-26.

Principle 2: Spending and taxing policies for stability and predictability of service provision

Objective and target: Maintain a general government sector net operating balance surplus (excluding capital revenue) in every year over the budget cycle to provide stability and predictability of government service provision and lower reliance on debt for service provision

The stability and predictability of a government's revenue-raising effort and expenditure base are assessed by credit rating agencies to determine the fiscal flexibility of a government to deliver on its future objectives, respond to changing needs and support long-term financial strength.

The general government sector net operating balance reflects total government revenue less total operating expenses and is reported by all jurisdictions as a measure of sustainable service provision. While capital revenue is recognised in the net operating balance, capital spending is not. Unlike most states, a higher proportion of the Territory's tied funding received from the Commonwealth is for capital purposes due to the Territory's high infrastructure requirements to support its geographically dispersed population. This fiscal strategy measure adjusts the net operating balance to exclude capital revenue to more appropriately reflect the net cost of delivering core public services. It aims to fund government services from operating revenues, reducing reliance on debt to fund service provision, and surpluses giving rise to stability and predictability of current and future government service provision, a key principle of the FITA.

A positive balance reflects that government is generating sufficient revenue to fund its operating activities, with surpluses providing capacity to fund capital investment. Negative balances provide no capacity to fund capital investment beyond depreciation levels without further borrowings. While short-term deficits may be appropriate during periods of economic downturn, persistent negative balances indicate structural deficit.

Table 4.2 shows that while the general government sector net operating balance is projected to be a surplus from 2027-28, after excluding capital revenue, the adjusted net operating balance is estimated to be a deficit in each year across the budget cycle, therefore not meeting this fiscal strategy objective and target. Although this measure has not been met, the adjusted net operating balance deficit is estimated to improve each year across the budget cycle, indicating this measure will likely be met over the medium to long term.

Furthermore, excluding annual depreciation expense, a non-cash item averaging $770 million per annum would result in an adjusted net operating balance surplus in all years. This indicates the Territory can fully fund its operating expenses and can contribute to capital investment from revenues, reducing reliance on borrowings.

Table 4.2: General government sector – net operating balance (excluding capital revenue)

	2026-27	2027-28	2028-29	2029-30
	Budget	Forward estimate		
	$M	$M	$M	$M
Net operating balance	- 42	199	273	372
Less: capital revenue	520	600	523	517
Adjusted net operating balance	**- 562**	**- 401**	**- 250**	**- 145**
Target on track	no	no	no	no

Principle 3: Funding for current services is to be provided by the current generation

Objective and target: Interest expense as a percentage of revenue at the non financial public sector to be equal or lower than the average of the states in each year over the budget cycle to lower the Territory's reliance on debt to fund service provision

Interest burden is a measure used by credit rating agencies to assess a jurisdiction's ability to service its debt. The relative share of revenue consumed by interest payments is important in determining whether a jurisdiction can continue to fund its service provision at current levels.

High interest expense relative to revenue indicates an over reliance on borrowed funds and provides less capacity to fund service provision as funds are redirected to interest payments. A low interest expense to revenue ratio indicates the Territory can effectively finance its debt and has greater capacity to fund or increase service provision, as less funds are set aside for interest payments.

This fiscal strategy objective and target compares the Territory's reliance on borrowed funds with the average of the states to take into consideration financial market conditions affecting all states. It aims to lower the Territory's reliance on debt to fund service provision, supporting the FITA principle of not passing debt onto future generations, in addition to facilitating stability and predictability of government service provision.

As shown in Table 4.3, the Territory's interest expense to revenue ratio is expected to be on average 0.8 percentage points above the state average in each year over the budget cycle, therefore not meeting this fiscal strategy target.

Table 4.3: Non financial public sector – interest expense to revenue ratio

	2026-27	2027-28	2028-29	2029-30
	Budget	Forward estimate		
	%	%	%	%
2026-27 Budget	**7.2**	**7.8**	**8.3**	**8.5**
State average	6.4	7.1	7.5	n/a
Variation	0.8	0.7	0.8	n/a
Target on track	no	no	no	n/a

n/a: not available at the time of publishing the 2026-27 Budget

The higher ratio relative to state peers is largely influenced by:

- the Territory's credit rating, at Aa3 (stable), being equal lowest with Tasmania of all semi-government entities, combined with issuing longer dated bonds, resulting in higher returns paid to investors to compensate for higher perceived risk
- Territory bonds are not as liquid as state counterparts as they cannot be easily sold in secondary markets, with investors expecting higher returns
- the Territory's small population base and high reliance on Commonwealth funding constraining revenue growth.

Furthermore, as the Territory releases its budget ahead of all the states, the state average is premised on lagging budget data for each state and therefore does not reflect any new borrowings or recent financial market impacts.

Principle 4: Financial risks and Territory debt managed at prudent levels

Objective: To ensure the Territory's debt levels remain serviceable when compared to revenue and at prudent levels

Target: The Territory's net debt to revenue ratio at the non financial public sector be equal or lower than the average of the states in any year over the budget cycle

This fiscal strategy objective and target aims at maintaining the Territory's debt at prudent levels. During periods of low economic growth and constrained revenues, it may be prudent to raise higher levels of debt to maintain government expenditure and support the economy. When there is strong revenue growth and private sector investment, lower borrowings are justified as they present an opportunity to reduce debt. Consequently, prudent debt management is difficult to explicitly define and requires borrowings to be assessed in the context of prevailing economic and fiscal conditions.

The net debt to revenue ratio is a recognised measure of a jurisdiction's ability to repay borrowings, with a higher ratio indicating a lower ability to repay debt and a lower ratio indicating a stronger ability to repay debt. The net debt to revenue ratio is calculated as gross debt liabilities less select liquid financial assets as a proportion of total revenue for the non financial public sector.

This fiscal strategy objective and target compares the Territory's debt servicing capacity relative to the average of the states, representing the benchmark of the economic and fiscal conditions affecting all states, to assess whether debt is being managed prudently.

As shown in Table 4.4, the non financial public sector's net debt to revenue ratio is projected to be 117% in 2026-27, reducing to 116% by 2029-30, and above the state average in all years. Therefore, this fiscal strategy objective and target is not met. When compared to the state average, the variation declines indicating the Territory's ratio is likely to converge with the state average over the medium term. The Territory's higher net debt to revenue ratio is influenced by the same factors affecting the interest expense to revenue ratio as detailed earlier.

While this fiscal strategy measure was not met, when compared on an individual state basis against lagging state budget projections, the Territory is expected to have the third highest net debt to revenue ratio for 2026-27, with Victoria being the highest at 176% followed by New South Wales at 121%. By 2028-29, the Territory is expected to have the third lowest net debt to revenue ratio, with five states reporting ratios in excess of the Territory's projected ratio of 120%.

Table 4.4: Non financial public sector – net debt to revenue ratios

	2026-27	2027-28	2028-29	2029-30
	Budget	Forward estimate		
	%	%	%	%
2026-27 Budget	**117**	**120**	**120**	**116**
State average	107	113	117	n/a
Variation	10	7	3	n/a
Target on track	no	no	no	n/a

n/a: not available at the time of publishing the 2026-27 Budget

Ongoing objective: Maintain or improve the Territory's credit rating to lower risks of higher borrowing costs and improve the Territory's credit strength

Target: Territory's credit rating of Aa3 (stable) or better

Excessive debt can restrict government's capacity to maintain appropriate service levels through increased borrowing costs and impact investor confidence, resulting in negative effects on the Territory economy.

Moody's Investors Service (Moody's) assigns long-term issuer and debt ratings to the NTTC, the entity that issues debt on behalf of the Territory and its government owned corporations. NTTC's debt is guaranteed by the Territory and the rating reflects the Territory's credit quality.

Credit ratings provide an independent assessment of a government's fiscal strength and ability to fulfil its financial commitments and repay debt. Higher ratings indicate a strong fiscal and economic position, and result in the ability to borrow at lower interest rates. Lower ratings indicate credit challenges, such as revenue or policy weaknesses and increasing debt levels, and result in higher interest rates on borrowings to compensate investors for elevated credit risk. Negative outlooks reflect a potential downgrade within the next six months to two years.

This fiscal strategy objective and target aims at maintaining or improving the Territory's credit strength and attractiveness to potential investors, lowering the risk of higher borrowing costs and improving overall debt composition. The Territory's credit rating was last reviewed in April 2026 by Moody's on the 2025-26 Mid-Year Report, resulting in an unchanged credit rating for the Territory at Aa3 with a stable outlook. Accordingly, this fiscal strategy target has been met. Moody's is expected to reassess the Territory's credit rating, based on the 2026-27 Budget projections, in the last quarter of 2026.

Objective: Ensure government owned corporations are commercially sustainable

Target: Power and Water Corporation and Territory Generation to maintain an average return on assets equal to or greater than 6% over the budget cycle, Jacana Energy to maintain an average operating margin equal to or greater than 2.5% over the budget cycle

Government owned corporations operate on a commercial basis with the ability to recover most of their costs through charging consumers for the use of services. The Territory's government owned corporations are Power and Water Corporation, Territory Generation and Jacana Energy. Government owned corporations are governed under the *Government Owned Corporations Act 2001* and make up most of the public non financial corporation sector.

The Territory's debt levels and fiscal targets are materially impacted by the financial performance of government owned corporations. Maintaining commercially sustainable government owned corporations reduces reliance on government support, increases returns to government that can be used to fund service delivery or retire debt, reducing the impact on the Territory's debt levels.

Return on assets is a financial ratio that indicates how profitable an entity is relative to its assets and is a widely used commercial measure to assess how efficiently an entity uses its assets to generate returns. Return on assets is calculated as earnings before interest and tax, excluding impairment losses, profit or losses from the sale of fixed assets, capital contributions and grants, gifted assets and interest income, as a proportion of its average opening and closing asset base. A high ratio indicates greater efficiency, with an entity generating greater returns with a smaller capital investment. A low ratio indicates an entity is generating less returns relative to its assets.

Operating margin is a financial ratio that indicates the returns an entity generates relative to its costs. Given Jacana Energy does not utilise or hold assets to generate revenue, this measure is more appropriate in assessing its commercial sustainability.

Consequently, this fiscal strategy objective and target aims to strengthen government owned corporation commercial sustainability, increase accountability for financial performance and reduce their reliance on government support. It satisfies the FITA principles of ensuring funding for services is provided by the current generation and prudent debt management.

As detailed earlier in Chapter 2 *Fiscal outlook*, given the concurrent development of the Territory budget and the SCIs, the fiscal strategy targets reported in final SCIs may differ from those reported in this chapter. At the time of drafting, SCIs were not finalised.

Table 4.5 shows all three government owned corporations are expected to meet this fiscal strategy objective and target.

Table 4.5: Government owned corporations – return on assets/operating margin

	2026-27	2027-28	2028-29	2029-30		Target
	Budget	Forward estimate			Average	on track
	%	%	%	%	%	
Power and Water Corporation – return on assets ≥ 6%	4.1	9.3	5.5	6.5	**6.3**	yes
Territory Generation – return on assets ≥ 6%	5.5	6.8	7.8	6.5	**6.7**	yes
Jacana Energy – operating margin ≥ 2.5%	2.6	3.1	3.0	3.2	**3.0**	yes

Chapter 5

Commonwealth revenue

Overview

The information provided in this chapter meets the requirements of sections 10(1)(b), 10(1)(c) and 10(1)(f) of the FITA in respect of Commonwealth revenues. It includes the Territory's current forecasts of Commonwealth revenues and assumptions on which they are based, and explanations of material differences from those published in the 2025-26 Budget.

Table 5.1 sets out the components of total Territory revenue for the non financial public sector for the 2025-26 revised budget, 2026-27 budget and forward estimates. It shows the Territory expects to receive $7.71 billion in Commonwealth revenue in 2026-27, comprising untied revenue of $5.1 billion and tied revenue of $2.61 billion. In 2026-27, Commonwealth revenue is estimated to represent about 72% of total Territory revenue.

Table 5.1: Non financial public sector – components of total revenue

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Untied Commonwealth revenue	4 967	5 102	5 198	5 409	5 683
Tied Commonwealth revenue	2 493	2 607	2 528	2 477	2 436
Total Commonwealth revenue	7 460	7 709	7 726	7 886	8 119
Other non-Commonwealth grants[1]	53	34	23	19	18
Territory own-source revenue	2 889	2 958	3 233	3 132	3 171
Total revenue	10 403	10 702	10 983	11 037	11 308

1 Includes grants from the private sector, non-government entities and other states, territories and local governments.

Analysis of variations in Commonwealth revenue over the budget and forward estimates is provided later in this chapter.

Table 5.2 compares the revised projections for total Commonwealth revenue from those published in the 2025-26 Budget and shows total Commonwealth revenue has been revised upwards in all years.

Table 5.2: Non financial public sector – variation in total Commonwealth revenue since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
2025-26 Budget	7 139	7 224	7 322	7 569	7 605
2026-27 Budget	7 460	7 709	7 726	7 886	8 119
Variation from 2025-26 Budget	321	485	404	317	514

1 Amounts not published in the 2025-26 Budget.

Table 5.3 presents variations in untied and tied Commonwealth revenue forecasts compared with the 2025-26 Budget.

Untied funding comprises GST revenue and is forecast to be higher in all years compared to the 2025-26 Budget due to a larger Territory population following data revisions, an increased Territory relativity outcome in 2026-27 and growth in the national GST collections pool.

Tied Commonwealth revenue is expected to increase from 2026-27 compared to the 2025-26 Budget, largely reflecting additional funding for the following agreements: National Health Reform, National Water Grid Fund, Remote Housing Northern Territory and Restoring Funding for Northern Territory Homelands. The 2025-26 revised estimate is $76 million lower than the 2025-26 Budget largely due to hospital pricing and activity funding outcomes, and revised project delivery timing.

Table 5.3: Non financial public sector – variations in Commonwealth revenue components since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Untied Commonwealth revenue – GST revenue	396	377	238	209	228
Tied Commonwealth revenue	- 76	108	166	109	286
National federation funding agreements	- 23	83	129	182	260
Federation funding agreement schedules	- 33	55	13	- 38	4
National specific purpose payments[1]	- 7	7	3	3	nil
Other tied Commonwealth revenue[2]	- 12	- 37	21	- 38	21
Total variation	321	485	404	317	514

1 The National Skills Agreement, which commenced on 1 January 2024 and replaced the National Agreement for Skills and Workforce Development specific purpose payment (SPP), is continuing to be paid as an SPP.
2 Includes Disaster Recovery Funding Arrangements and Commonwealth own-purpose expenses.

Fuel excise relief 2026

In April 2026, states and territories agreed to a $400 million cost of living relief measure by not benefiting from additional GST from higher fuel prices. This funds an additional 5.7 cents per litre reduction in fuel excise from 1 April to 30 June 2026 on top of the Commonwealth's 26.3 cents per litre reduction in the same period. Each state and territory's contribution to the fuel excise relief program is based on its GST share. For the Territory, the contribution is $19.7 million.

The relief is to be effected by a payment from states and territories to the Commonwealth in 2026-27 to fund a reduction in the fuel excise in 2025-26, rather than a direct reduction in GST as the fuel excise is the fastest and most direct way to lower prices. This results in an intergovernmental payment to the Commonwealth and corresponding GST revenue payment of $19.7 million in 2026-27, with no expected net impact on the Territory's fiscal position.

GST revenue

Overview

GST revenue is the largest revenue transfer from the Commonwealth to the Territory, accounting for around 66% of Commonwealth payments and about 48% of total Territory revenue in 2026-27.

GST revenue is dependent on four parameters:

- national GST collections pool
- Territory's share of the national population
- Territory's GST relativity
- impact of GST distribution changes that commenced in 2021-22.

The Territory's GST revenue forecasts are detailed in Table 5.4, which shows GST revenue is expected to be higher in all years compared with the 2025-26 Budget.

Table 5.4: Territory GST revenue

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
2025-26 Budget	4 571	4 725	4 960	5 200	5 455
2026-27 Budget	4 967	5 102	5 198	5 409	5 683
Variation from 2025-26 Budget	396	377	238	209	228
Annual change in 2026-27 Budget forecast (%)		2.7	1.9	4.1	5.1

1 Amounts not published in the 2025-26 Budget.

Table 5.5 details the contribution of each GST parameter to the revised Territory GST revenue forecast since the 2025-26 Budget. It shows the largest increase is due to population revisions, which impact GST revenue in all years. A higher relativity outcome contributes additional GST from 2026-27 and GST pool forecasts are slightly larger across all years.

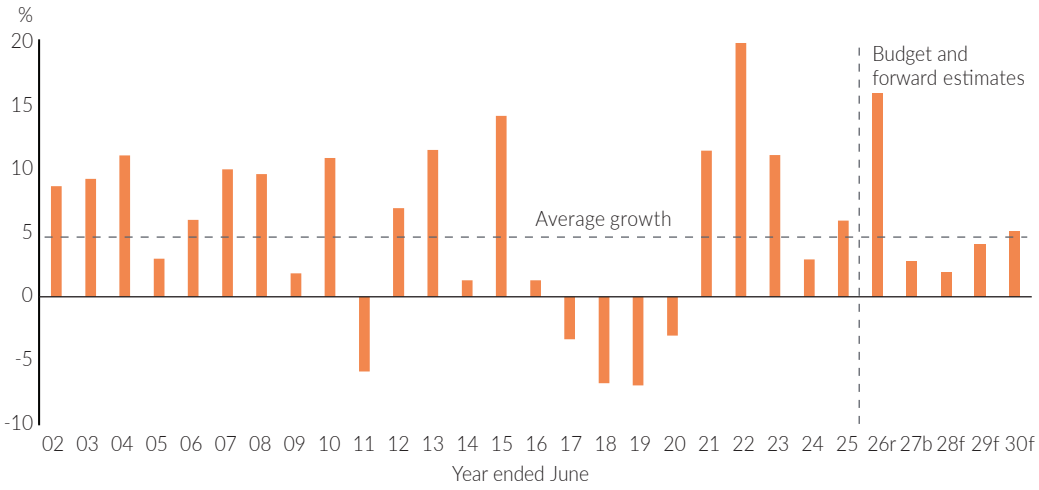
Table 5.5: GST revenue variations by parameter since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Change caused by:					
GST collections pool	82	57	43	44	46
GST relativity[1]	- 5	138	52	11	15
Population share	133	139	146	157	170
Payment timing[2]	180	7	nil	nil	nil
No-worse-off guarantee	4	29	- 8	- 8	- 9
Interactions[3]	2	7	5	5	6
Total variation	396	377	238	209	228

1 Relativity differences in 2025-26 are due to updated population data impacting final relativity calculations.
2 Payment timing reflects differences between Territory forecasts, Commonwealth budget GST advances and final entitlements, which are reconciled through balancing adjustments.
3 Interactions are the combined impacts of GST collections pool, population and relativity, which are different to these changes in isolation.

Chart 5.1 shows actual annual GST revenue growth for the Territory from 2001-02 to 2024-25 and estimates across the budget cycle to 2029-30. It highlights the volatility of Territory GST revenue, mainly due to fluctuations in the Territory's relativity and national GST collections pool, with actual annual growth rates ranging from -6.9% to 19.7%. Since the introduction of GST, the Territory's GST revenue has averaged annual growth of about 5%.

Chart 5.1: Territory GST revenue annual growth[1]

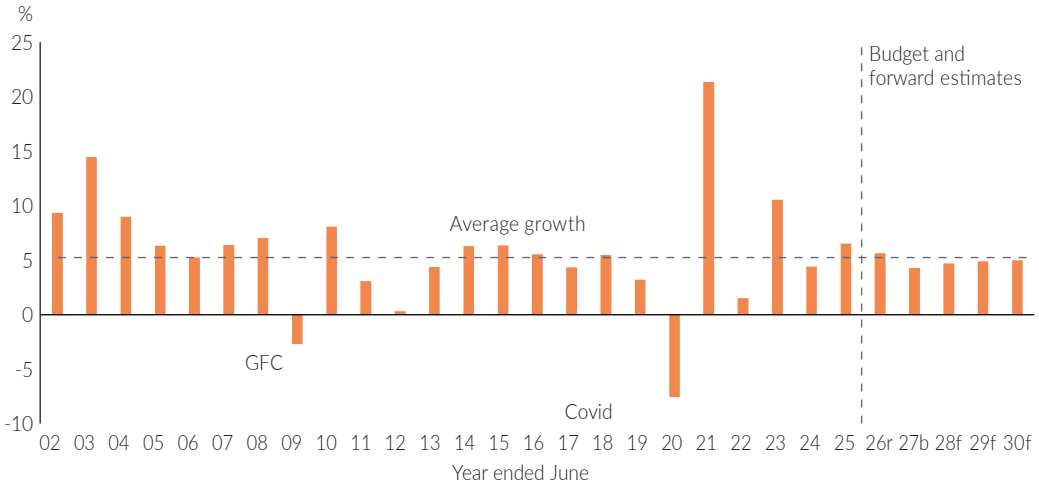


b: budget; f: forecast; r: revised
1 GST revenue amounts include balancing adjustments for the over or under payment of GST revenue to the Territory from preceding financial years. Includes no-worse-off guarantee payments from 2022-23. Excludes GST top-up payment in 2017-18 and 2019-20.
Source: Commonwealth *Final Budget Outcome* 2001-02 to 2024-25, Department of Treasury and Finance estimates for 2025-26 to 2029-30

GST collections pool

The national GST collections pool determines the total amount of GST revenue available to be distributed to states and territories. It is heavily influenced by the broader performance of the national economy. Chart 5.2 shows the actual growth in the GST collections pool since 2001-02 to 2024-25, and estimates across the budget cycle to 2029-30.

Chart 5.2: Growth in the GST collections pool



b: budget; f: forecast; GFC: global financial crisis; r: revised
Source: Commonwealth *Final Budget Outcome*, 2001-02 to 2024-25, Department of Treasury and Finance estimates for 2025-26 to 2029-30

In 2025-26, the Territory expects the GST collections pool to increase by 5.6% from 2024-25. This is 0.3 percentage points higher than the 2025-26 Budget forecast. The GST collections pool is expected to grow by 4.3% in 2026-27.

The GST collections pool is mostly driven by national consumption and private dwelling investment. As GST is imposed on the nominal price of goods and services, collections are dependent on both the volume of consumption and investment, as well as the price of goods and services. GST is also impacted by the proportion of consumption related to non-taxable goods and services, such as fresh food, rent, and health and education services.

Compared to the 2025-26 Budget, the 2025-26 revised budget for GST pool growth reflects stronger than expected actual GST collections outcomes in 2024-25 and 2025-26 year to date, supported by strength in national consumption in line with employment and wages outcomes, and elevated inflation contributing to higher prices and nominal tax collections. While interest rates increased in February and March 2026, this, along with household debt levels, restrain the national consumption growth outlook.

Accordingly, compared to historical averages, the 2026-27 Budget forecasts slightly lower GST pool growth rates from 2026-27, though overall pool outcomes are expected to be higher compared to the 2025-26 Budget due to a higher base. The impact of the Middle East conflict on Australian consumption and the GST pool remain uncertain. Further discussion on risks affecting GST revenue is provided in Chapter 7 *Risks and contingent liabilities* and *Northern Territory Economy* book.

GST relativity

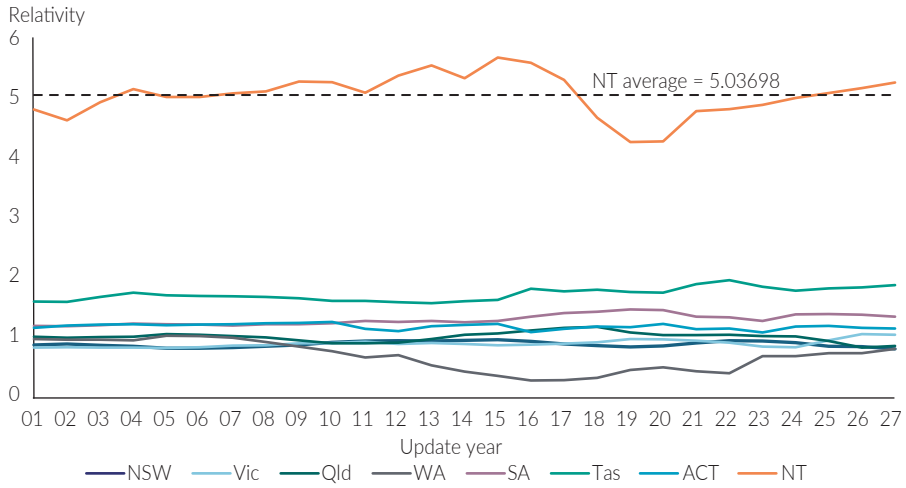
The GST relativity is a key parameter used to determine a state's GST revenue. The relativity determines whether a state will receive more or less than its population share of the GST collections pool.

GST relativities are determined annually by the Commonwealth Treasurer based on CGC recommendations. The CGC calculates relativities based on data over a three-year rolling period to derive a distribution of GST revenue that allows all states to provide services and infrastructure to a similar standard across the nation, having regard to differences in each jurisdiction's revenue-raising capacities, cost of service delivery and underlying service delivery needs, and subject to GST distribution reforms that commenced from 2021-22.

The CGC's assessed revenue-raising capacity and expenditure needs for the Territory differ from actual revenue or expenditure incurred by the Territory. The CGC does not make recommendations on how states should allocate budgets, nor does it consider all factors affecting the cost of delivering services in each state or territory. The Territory has consistently been assessed as requiring significantly more than its population share in GST funding to provide a national average level of government services due to high demand and service costs in the Territory.

Every five years, the CGC reviews the methods used to determine state and territory relativities, which are otherwise updated annually. The CGC 2026 Update recommended increasing the Territory's GST relativity to 5.24149 in 2026-27, from 5.15112 in 2025-26. Chart 5.3 illustrates the Territory's relativity over time and its greater volatility compared to other states.

Chart 5.3: Territory GST relativity, 2000-01 to 2026-27



Source: Commonwealth Grants Commission

There are many reasons for the increase in the Territory's relativity in the 2026 Update. The main positive influences are the increased Territory capital investment needs following population revisions and cessation of covid-related business support payment programs, which temporarily increased relativities in New South Wales and Victoria, and decreased those in other jurisdictions. The positive influences were partly offset by data revisions for remote health and the Territory receiving a higher share of Commonwealth payments, particularly for National Water Grid Fund projects, which are assessed as reducing the Territory's overall fiscal need.

The 2026-27 Budget GST forecasts adopt the 2026 Update's actual relativities for 2026-27. The Territory's GST relativity forecasts for the forward estimates are generally based on a three-year average relativity held constant over the forecast period. However, from 2027-28, an adjustment has been included to account for historically atypical mining data rolling out of the three-year GST assessment period. This reflects an expectation that unusually high mineral prices and volumes in 2022-23, particularly for coal, are unlikely to persist, impacting relativity calculations from the 2027 Update. All other things being equal, this is expected to increase GST relativities in New South Wales and Queensland, and reduce GST in other states except Western Australia.

Population share

A jurisdiction's national population share affects its GST revenue. Shares are influenced by the level of population growth in each state and territory relative to national population growth.

The Territory uses its own estimates of Territory population growth, given its local knowledge regarding major projects and other events that may affect migration levels. Estimates of other states' populations are based on projections prepared by the ABS. Chapter 4 of the *Northern Territory Economy* book provides more detail on the Territory's population characteristics and forecast growth patterns.

In its June 2025 release of December quarter 2024 population data, the ABS amended population estimation methodologies and revised all states' population data, retrospectively applied from the 2021 Census. The Territory's revisions were proportionately the largest of any jurisdiction, adding around 6,600 persons between the ABS September and December 2024 releases, compared to an increase of around 90,000 persons nationally. The Territory's national population share increased from an expected 0.93% in the 2025-26 Budget to 0.95% in the 2026-27 Budget.

As set out at Table 5.5, this is expected to significantly increase the Territory's GST in all years from 2025-26. Population data revisions also contributed to the higher Territory relativity in 2026-27 as population is used to determine service costs and needs.

The Territory's forecast share of the national population for GST purposes is otherwise largely stable at around 0.95% across the forward estimates.

Payment timing

Annual GST payments to the states are made in line with Commonwealth budget forecasts. As the Commonwealth budget is prepared prior to final GST entitlements being determined, the amount paid by the Commonwealth as a GST advance may be more or less than a state's actual entitlement, which is determined in the Commonwealth's *Final Budget Outcome*. Any differences between the Commonwealth's GST advances and the *Final Budget Outcome* entitlements are reconciled through balancing adjustments in the subsequent year's GST payments to the states and territories.

The Territory adopts the most recent Commonwealth forecast of GST advances plus the *Final Budget Outcome* balancing adjustment when forecasting current year GST revenue as this reflects the most likely payment outcome. Balancing adjustments change the financial year in which the revenue is received but do not impact overall GST revenue entitlements.

The Territory's *Final Budget Outcome 2024-25* balancing adjustment, paid in 2025-26, was an additional $147.9 million, compared to a forecast decrease of $19 million in the Territory 2025-26 Budget. The increase was primarily due to Territory population data revisions, as well as higher end-of-year GST national collections pool outcomes. In the 2026-27 Budget, the Territory's 2025-26 GST revenue is aligned to the Commonwealth *2025-26 Mid-Year Economic and Fiscal Outlook* and *Final Budget Outcome*. As the Commonwealth forecast is slightly lower than the Territory 2026-27 Budget, further payment timing adjustments are made to reflect the difference.

In 2026-27, GST forecasts also include a payment timing adjustment of $19.7 million to reflect expected additional GST from higher fuel prices from April to June 2026. An amount equivalent to this revenue will be paid to the Commonwealth in exchange for lower 2025-26 fuel excise, effectively returning this revenue to households through lower fuel prices.

In total, the Territory expects a modest increase of $6.6 million from payment timing adjustments in 2026-27.

GST distribution changes

GST relativities are calculated by the CGC in accordance with horizontal fiscal equalisation (HFE). The principle of HFE is to provide each state with the fiscal capacity to deliver the same or similar standard of services and associated infrastructure if each made the same effort to raise revenue from own sources and operated at the same level of efficiency.

Changes to the way GST revenue is distributed came into effect in 2021-22 under the Commonwealth's *Treasury Laws Amendment (Making Sure Every State and Territory Gets Their Fair Share of GST) Act 2018*. The changes fundamentally alter HFE principles with the effect that most states, excluding Western Australia, would be funded to a lower standard of services and infrastructure without the Commonwealth's no-worse-off guarantee payments.

From 2026-27, the GST distribution reforms include:

- a minimum relativity of the lower of New South Wales or Victoria
- a further relativity floor of 0.75
- Commonwealth-funded top-ups to the GST pool of $981 million in 2024-25, ongoing annually and indexed in line with GST pool growth
- a temporary no-worse-off guarantee to the end of 2029-30.

To date, the reforms have exclusively benefitted Western Australia, which would otherwise have had a relativity well below the minimum floor due to exceptionally high own-source revenue capacity associated with mining royalties.

The Territory and other states are currently protected from the negative impacts of the reforms due to the Commonwealth's temporary no-worse-off guarantee payments. The Territory forecasts $212 million in no-worse-off guarantee payments from 2025-26 to 2029-30, compared to $205 million over this period in the 2025-26 Budget. The changes reflect updated relativity, pool and population forecasts set out in this chapter.

The GST distribution changes are currently under review by the Productivity Commission, with a final report due by the end of 2026.

Tied Commonwealth revenue

The majority of tied Commonwealth funding to the Territory is provided under the Intergovernmental Agreement on Federal Financial Relations (IGA FFR) through national federation funding agreements and Federation Funding Agreement (FFA) schedules. Tied funding is also provided outside the IGA FFR through Commonwealth own-purpose expense (COPE) funding arrangements.

National federation funding agreements are bespoke, complex arrangements that contain significant policy intent and act as sources of longer-term funding.

FFAs cover five sectors, including:

- health
- education and skills
- infrastructure
- environment
- affordable housing, community services and other agreements.

Funding arrangements are detailed in FFA schedules.

In 2025-26 and 2026-27, the Territory expects to receive $2.49 billion and $2.61 billion, respectively, in tied Commonwealth funding payments. A further $7.44 billion is expected to be received over the forward estimates. Table 5.6 sets out tied Commonwealth revenue components for the Territory.

Table 5.6: Tied Commonwealth revenue components

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
National federation funding agreements	1 128	1 295	1 409	1 536	1 554
Better and Fairer Schools Agreement	583	644	711	785	809
National Health Reform Agreement	486	592	639	690	746
National Agreement on Social Housing and Homelessness	57	58	59	60	
National Mental Health and Suicide Prevention Agreement	2				
Federation funding agreement schedules	1 167	1 126	946	817	780
Land Transport Infrastructure Projects	200	316	388	353	375
Remote Housing Northern Territory	199	192	201	193	199
Northern Territory Remote Aboriginal Investment	114	125	123	116	127
National Legal Assistance Partnership/National Access to Justice Partnership	62	63	65	66	67
National Water Grid Fund	78	60	74	58	9
Comprehensive Primary Health Care Delivery	48	49	51		
Restoring Funding for Northern Territory Homelands	82	55			
Hospital and related health services	51	66			
Mine remediation	76	1			
National Critical Care and Trauma Response Centre	22	19			
Central Australia Plan: A Better, Safer Future for Central Australia	3	38			
Social Housing Accelerator	28	9			
Other federation funding agreement schedules	204	133	44	31	3
National specific purpose payments/National Skills Agreement[1]	31	39	34	29	
Other tied Commonwealth revenue[2]	168	147	139	95	101
Total tied Commonwealth revenue	2 493	2 607	2 528	2 477	2 436

1 The National Skills Agreement, which commenced on 1 January 2024 and replaced the National Agreement for Skills and Workforce Development specific purpose payment (SPP), is continuing to be paid as an SPP.
2 Includes Disaster Recovery Funding Arrangements and COPEs.

Year-on-year variances in tied funding payments mostly reflect program completions, agreement expiry, expected delivery timeframes and payment schedules. Unlike national federation funding agreements, FFA schedules and other tied Commonwealth revenue arrangements can include shorter term, program-specific funding commitments with less ongoing funding certainty.

Table 5.7 shows the variance in tied funding payments forecasts compared to the 2025-26 Budget.

Table 5.7: Tied Commonwealth revenue – variations since 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
National Health Reform Agreement	- 19	87	134	185	241
Mine remediation	74	1			
Hospital and related health services		66			
Remote Housing Northern Territory	26	14	16		- 3
National Water Grid Fund	- 62	3	34	58	9
Restoring Funding for Northern Territory Homelands	16	15			
Barkly Regional Deal	6	8			
Medicare urgent care clinics	8	3	3		
Central Australia Plan: A Better, Safer Future for Central Australia	- 12	23			
Preschool Reform Agreement		5	4		
Land Transport Infrastructure Projects	- 74	- 117	- 65	- 97	
Other agreements[1]	- 39		40	- 37	39
Total variation	- 76	108	166	109	286

1 Includes all other minor variations across tied funding agreements, including national agreements, FFAs, SPPs and COPEs.

Variances in 2025-26 and 2026-27 are mainly due to revisions to project timing, release of funding in line with milestone completion or other revisions to individual projects. Changes over the forward estimates are generally driven by new or extended agreements being entered into since the last publication. Significant changes from 2025-26 to 2029-30 since the 2025-26 Budget include:

- $628 million in additional funding for the National Health Reform Agreement, reflecting the outcome of national health and disability funding negotiations in early 2026, which included a new five-year addendum to hospital funding from 1 July 2026 to 30 June 2031
- $75 million for mine remediation. Variances are reported annually for this agreement as current-year funding is published while future payments are generally not for publication to encourage competitive tender processes
- $66 million in 2026-27 for hospital and related health services as part of the National Health Reform Agreement negotiation outcomes. This provides funding to reflect the additional hospital costs faced by small states until costs can be reviewed by the Independent Health and Aged Care Pricing Authority (IHACPA). This funding will be extended if IHACPA's advice on a small jurisdiction weighting is not delivered before the end of 2026-27
- $53 million variation to the Remote Housing Northern Territory agreement due to revised timing of Commonwealth funding and construction milestones
- $42 million under the National Water Grid Fund including for Galiwin'ku network upgrade and water quality planning strategy, Gove peninsula water supply upgrade – Gunyangara (phase 2), Upper King managed aquifer recharge stage 2B – recharge trial, and Alice Spring aquifer protection study. The variance also reflects revised timing of construction milestones and funding for some existing projects

- $31 million variation to the Restoring Funding for Northern Territory Homelands agreement due to revised timing of Commonwealth funding and construction milestones
- $14 million variation for the Barkly Regional Deal reflecting revised timing of Commonwealth funding and construction milestones
- $14 million in new funding for the updated Medicare urgent care clinic agreement that was signed in October 2025
- $11 million variation for the Central Australia Plan: A Better, Safer Future for Central Australia agreement reflecting revised timing of Commonwealth funding and construction milestones
- $9 million variation for the two-year Preschool Reform Agreement extension agreed in November 2025
- the increases are partly offset by a $353 million decrease in Land Transport Infrastructure Projects funding relating to revised timing of investment road projects into future years beyond the forward estimates.

The Territory budget typically incorporates Commonwealth funding when agreements are signed, with agreements under development or negotiation generally excluded. Where agreements contain sufficiently specific performance obligations, revenue is recognised by the Territory as services are delivered. Where agreements do not contain sufficiently specific performance obligations, the Territory recognises revenue upon receipt of funds. Accordingly, timing variations will occur between revenue recognised by the Territory and payments specified in individual funding agreements.

The following provides more information on the key agreements in Table 5.6.

National federation funding agreements

Better and Fairer Schools Agreement

The Territory expects to receive $3.5 billion over the budget cycle to 2029-30 for government and non-government schools.

The Better and Fairer Schools Agreement (BFSA) commenced in January 2025, replacing the National School Reform Agreement. The agreement is the Commonwealth's main schooling funding arrangement for states and territories and contains a range of national priorities and reform directions, which aim to improve education outcomes. Funding is largely calculated based on student enrolments and agreed contributions to the national Schooling Resource Standard.

The Territory and Commonwealth governments have bilaterally agreed to achieving a Schooling Resource Standard of 100% for Territory government schools over the life of the BFSA. The BFSA contains a funding schedule to achieve a Territory contribution of 60% and a Commonwealth contribution of 40% by 2029. BFSA funding projections generally reflect the bilateral BFSA schedule, as well as projected changes in the Schooling Resource Standard and student enrolments.

National Health Reform Agreement

The Territory expects to receive $3.2 billion over the budget cycle to 2029-30 for public hospitals.

The National Health Reform Agreement (NHRA) is the Commonwealth's primary funding mechanism for public hospitals and is determined based on hospital activity and price outcomes. NHRA funding is subject to five-yearly addenda, which are periodically renegotiated.

In January 2026, the Commonwealth and all states and territories concluded negotiations on a suite of health and disability reforms that included a new five-year addendum for hospital funding from 1 July 2026 to 30 June 2031. The new addendum increased state and territory hospital funding growth from up to 6.5% annually to 10.25% in 2026-27 and 8% in the remaining years to 2030-31.

The health funding package also provides $66 million to the Territory in 2026-27 through a separate FFA schedule to reflect the additional hospital costs faced by small states, until costs can be reviewed by IHACPA. This funding will be extended if IHACPA's advice on a small jurisdiction weighting is not delivered before the end of 2026-27.

The increased hospital funding outcome is part of a broader suite of health and disability reforms, which includes new disability support services known as Foundational Supports to commence from October 2026. The first phase of Foundational Supports is the Thriving Kids program, which aims to support children aged 8 years and under with autism and or developmental delay and low to moderate support needs, jointly funded by the Commonwealth, states and territories.

The commencement of Foundational Supports corresponds with National Disability Insurance Scheme (NDIS) sustainability reforms, which aim to reduce annual NDIS expenditure growth to 6% or lower, and revised maximum annual state and territory NDIS funding contribution indexation from 1 July 2028, from 4% to the lesser of 8% or actual NDIS scheme cost growth.

National Agreement on Social Housing and Homelessness

The Territory expects to receive $234 million to 2028-29 to help people who are experiencing or at risk of homelessness, and support effective operation of the Territory's social housing and homelessness service sectors.

Federation funding agreement schedules

National Partnership Agreement on Land Transport Infrastructure Projects

Across the budget cycle to 2029-30, the Territory expects to receive $1.6 billion for land transport infrastructure projects.

The agreement contributes to a national transport system that is safe, sustainable, drives economic growth and supports a competitive infrastructure market. The agreement has several components, including roads of strategic importance, black spot projects, heavy vehicle safety, bridges renewal, and the developing Northern Australia roads program. The agreement is routinely revised in line with project delivery outcomes.

Remote Housing Northern Territory

The Territory expects to receive $984 million over the budget cycle to 2029-30 to deliver and manage remote housing to reduce overcrowding.

The Remote Housing Northern Territory agreement commenced in 2024 and is a $4 billion jointly funded Commonwealth and Territory 10-year commitment to deliver up to 270 homes each year in remote communities across the Territory, or 2,700 homes over the life of the arrangement. The agreement operates under a formal partnership with the Aboriginal community sector.

Northern Territory Remote Aboriginal Investment

The Territory expects to receive $605 million across the budget cycle to 2029-30 to invest in Aboriginal self-determination to close the gap.

In February 2025, the Territory and Commonwealth governments signed a new six-year partnership agreement with Aboriginal Peak Organisations Northern Territory to strengthen remote services from 2025-26, supported by FFA schedules from December 2025 for remote policing, alcohol harm reduction, early learning and access to education, aboriginal interpreter services, child and family, and oral and hearing health services. In addition to funding to the Territory, some funding is provided directly by the Commonwealth to support the Aboriginal community sector.

National Access to Justice Partnership

The Territory expects to receive $323 million across the budget cycle to 2029-30 under the National Access to Justice Partnership Agreement (NAJP) to provide a range of community legal services.

The NAJP commenced on 1 July 2025 and provides funding for essential legal services to people unable to afford private legal services, services for women and children experiencing family and domestic violence, and culturally appropriate legal services to Aboriginal and Torres Strait Islander people.

National Water Grid Fund

The Territory expects to receive $279 million across the budget cycle to 2029-30. The fund aims to develop nationally important water infrastructure projects that support primary industries and unlock potential, promote growth and sustainability of regional economies, build resilience, and improve water reliability and security.

The fund includes support for community bores, the Manton Dam return to service project and project development for the Adelaide River off-stream water storage, as well as water-related studies, strategies and plans.

Comprehensive Primary Health Care Delivery

The Territory expects to receive $148 million across 2025-26 to 2027-28. The agreement was signed in October 2024 and provides funding for the delivery of culturally appropriate primary health care services to Aboriginal and Torres Strait Islander people in the Territory.

Restoring funding for Northern Territory Homelands

The Territory expects to receive $82 million in 2025-26 and $55 million in 2026-27 to deliver housing and essential infrastructure on Territory homelands.

Mine remediation

The Territory has budgeted to receive $76 million in 2025-26 and $1 million in 2026-27 to deliver mine remediation projects. Future funding for mine remediation is generally not for publication to allow competitive tender processes.

National Critical Care and Trauma Response Centre

The Territory expects to receive $22 million in 2025-26 and $19 million in 2026-27 to support the continued operation and development of the national critical care and response centre as Australia's centre of excellence for health disaster response.

Central Australia Plan: A Better, Safer Future for Central Australia

The Territory expects to receive $3 million in 2025-26, and $38 million in 2026-27 under A Better, Safer Future for Central Australia investment package.

The Central Australia Plan is focused on improving community safety and cohesion, job creation and better health services. It includes funding for on-country learning to support improved student enrolment, engagement, wellbeing and learning outcomes, and a community infrastructure package to support projects that improve regional development, economic, social and cultural outcomes.

Social Housing Accelerator

The Territory has budgeted $28 million in 2025-26 and $9 million in 2026-27 to deliver additional social housing in the Territory. This reflects the recognition of revenues in line with project delivery timeframes following an upfront payment in 2022-23.

Other federation funding agreement schedules

The Territory expects to receive $415 million across the budget cycle to 2029-30 under a number of other FFA schedules including funding for health, education, housing, and environmental services and programs.

The decline in other FFA funding over the budget and forward estimates is mostly due to the expiry of agreements, some of which are expected to be renegotiated.

National Skills Agreement (specific purpose payments)

The Territory expects to receive $133 million from 2025-26 to 2028-29 to support vocational education and training.

The National Skills Agreement includes payment streams for baseline vocational education and training sector services, as well as TAFE centres of excellence, vocational education and training workforce, national TAFE networks, closing the gap, improved completions, foundational skills, and data and evidence reporting.

Other tied Commonwealth revenue

The Territory receives other tied revenue from the Commonwealth, including COPE and contingent payments. COPEs are primarily payments made by the Commonwealth directly to a Territory agency to provide specific services or for on-passing to non-government or local government organisations. Contingent payments include funding under Disaster Recovery Funding Arrangements.

The Territory expects to receive $650 million across the budget cycle to 2029-30 for other tied Commonwealth agreements. The forecast decline over the forward estimates is largely attributable to the expiry of health-related COPE agreements, some of which are currently under negotiation and expected to be renewed.

Disaster Recovery Funding Arrangements payments are likely to vary following major Territory flooding events in early 2026 as the size of in-scope claims becomes quantified. This includes immediate support to impacted households and businesses, and longer-term reconstruction projects.

Other Commonwealth commitments for the Territory

The Commonwealth has announced a number of funding arrangements for the Territory that are still under negotiation and have not yet been incorporated in the Territory's budget as business cases and agreements are still to be finalised. These agreements include:

- $1.5 billion to support the construction of common-user marine infrastructure within the Middle Arm Sustainable Development Precinct
- $440 million to support the development of regional logistic hubs.

Chapter 6

Territory taxes and royalties

Overview

In accordance with sections 10(1)(c) and 10(1)(f) of the FITA, this chapter includes forecasts of the Territory's tax and royalty revenues, and explanations for material variations between the current forecasts and those published in the 2025-26 Budget. It also compares Territory taxes and royalties with those in other jurisdictions to demonstrate that Territory tax policies are consistent with the FITA principles of sound fiscal management. In accordance with section 10(1)(d), this chapter also contains an overview of the Territory's forecast tax expenditure as a result of concessions and exemptions for 2026-27 to 2029-30.

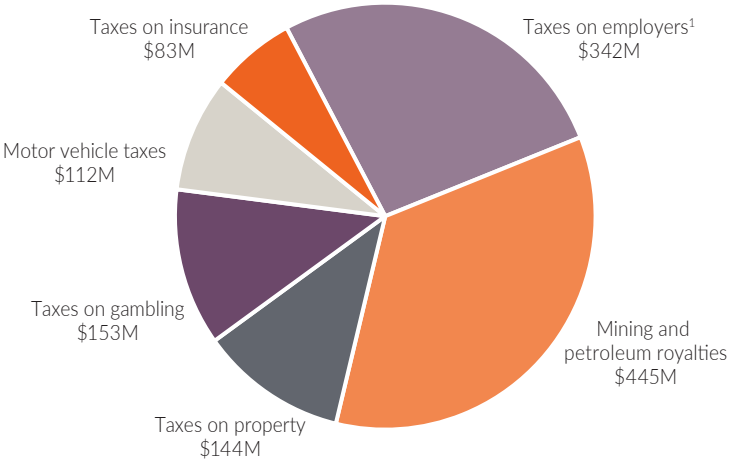
The Territory raises own-source revenue from a range of sources including taxes, mining and petroleum royalties, fees and charges, rent and tenancy income, interest and dividend revenue, and profit and loss on the disposal of assets. Taxation and royalty revenue represents the largest source of own-source revenue, expected to account for 43% of total own-source revenue, or 12% of total non financial public sector revenue in 2026-27.

The Territory's revenue sources are generally similar to those of other states, except for land tax, which the Territory does not impose. However, unlike most jurisdictions, the Territory relies heavily on Commonwealth funding. In 2026–27, its own-source revenue is projected to be only 28% of non financial public sector revenue, compared with an average of around 60% in other states. This higher reliance on Commonwealth payments reflects the Territory's limited capacity to raise revenue, driven by its small population of just over 264,000 people and relatively narrower industry base and private sector.

Analysis of Territory taxes and royalties

In 2026-27, revenue from taxes and royalties is estimated to total $1.28 billion. The main contributors are mining and petroleum royalties at $445 million (35%), taxes on employers (payroll tax) at $342 million (27%), taxes on gambling at $153 million (12%) and taxes on property (stamp duty) at $144 million (11%). Chart 6.1 illustrates the components of tax and royalty estimates for 2026-27.

Chart 6.1: Territory taxes and royalties, 2026-27



1 Excludes internal payroll tax payments within the non financial public sector.

Table 6.1 provides forecasts for Territory taxes and royalties by category for current and future financial years. Revenue from taxes and royalties is expected to decrease slightly from $1.29 billion in 2025-26 to $1.28 billion in 2026-27, then average $1.32 billion per annum over the forward estimates.

Table 6.1: Territory taxes and royalties components

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Taxation revenue	903	833	863	896	930
Taxes on employers	323	342	351	369	388
Taxes on property	245	144	147	149	151
Taxes on gambling	149	153	161	165	169
Motor vehicle taxes	108	112	116	119	122
Taxes on insurance	78	83	88	94	101
Mining and petroleum royalties	388	445	403	424	437
Total taxes and royalties revenue	1 291	1 278	1 266	1 320	1 367

Table 6.2 compares the updated forecasts for total tax and royalty revenue with the forecasts included in the 2025-26 Budget. The variations are largely due to stronger than expected growth in mining and petroleum royalties, and receipts from stamp duty and payroll taxes.

Table 6.2: Territory taxes and royalties – variation from 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
2025-26 Budget	1 094	1 005	1 097	1 065	1 102
2026-27 Budget	1 291	1 278	1 266	1 320	1 367
Variation from 2025-26 Budget	197	273	169	255	265

1 Amounts not published in the 2025-26 Budget.

Table 6.3 highlights the variation in tax and royalty forecasts from the 2025-26 Budget by category. Analysis of significant variations is provided later in this chapter.

Table 6.3: Territory taxes and royalties – variations in revenue components from 2025-26 Budget

	2025-26	2026-27	2027-28	2028-29	2029-30[1]
	Revised	Budget	Forward estimate		
	$M	$M	$M	$M	$M
Taxation revenue	155	88	90	91	92
Taxes on employers	46	65	59	60	61
Taxes on property	105	19	19	18	19
Taxes on gambling	4	7	14	15	15
Motor vehicle taxes	5	5	6	6	7
Taxes on insurance	- 6	- 7	- 8	- 8	- 9
Mining and petroleum royalties	42	185	79	163	174
Variation from 2025-26 Budget	197	273	169	255	265

1 Amounts not published in the 2025-26 Budget.

Revenue initiatives in 2026-27

Payroll tax rate increase for entities paying wages of $100 million or greater

From 1 July 2026, a higher payroll tax rate of 6.5% will apply to employers with Australia-wide wages of $100 million or greater per annum. This includes both employers who are at or exceed the $100 million threshold in their own right, and employers who, while individually below the threshold, are members of a payroll tax group whose aggregated Australia-wide wages are $100 million or greater in a financial year. Employers and groups below the $100 million threshold will continue to pay payroll tax at 5.5%.

The introduction of the higher rate ensures the largest employers contribute a greater share of payroll tax revenue, while maintaining existing tax-free threshold and deduction arrangements for all employers and groups with Australia-wide wages below $100 million. Based on the composition of the current payroll tax base, this change is estimated to raise about $25 million in additional revenue per annum from 2026-27.

Taxation revenue

The Territory's taxation revenue is derived from taxes on employers (payroll tax), property (stamp duty), gambling activity, insurance and motor vehicles. Taxation revenue for 2025-26 is expected to total $903 million, before easing to $833 million in 2026-27, largely reflecting anticipated rebalancing of stamp duty collections. Over the forward estimates, taxation revenue is projected to strengthen steadily, supported by stable growth across all tax categories in line with the broader economic conditions in the Territory.

As shown in Table 6.3, total taxation revenue is expected to be $155 million higher in 2025-26 and $88 million higher in 2026-27 than forecast in the 2025-26 Budget, primarily due to stronger than anticipated payroll tax and stamp duty receipts.

Taxes on employers

Payroll tax

Payroll tax is payable in the Territory when the total annual Australian wages of an employer (or group of employers) exceed $2.5 million. Payroll tax is currently imposed at a rate of 5.5% on taxable Territory wages, after an allowable annual deduction of up to $2.5 million. From 1 July 2026, if an employer's (or payroll tax group's) total Australia-wide wages are $100 million or greater, a higher rate of 6.5% will apply.

The amount of the allowable deduction is based on a sliding scale starting at $2.5 million and reducing by $1 for every $2 in wages paid by an employer over $2.5 million. This means an employer paying wages of $4.5 million receives a deduction of $1.5 million, whereas an employer paying wages of $7.5 million or more receives no deduction and payroll tax is calculated on the total taxable Territory wages paid by that employer.

As shown in Table 6.1, payroll tax revenue is expected to total $323 million in 2025-26, $46 million higher than forecast in the 2025-26 Budget, reflecting stronger than expected domestic activity and employment outcomes. Payroll tax is expected to increase to $342 million in 2026-27, reflecting the impact of the increased payroll tax rate for employers who have Australia-wide wages of $100 million or more per annum. Steady growth is expected from 2027-28 in line with broader economic activity.

Taxes on property

Conveyance and related duty (stamp duty)

Tax on property in the Territory consists of conveyance and related duty, more commonly known as stamp duty. Stamp duty is imposed on direct and indirect conveyances of dutiable property in the Territory. Dutiable property includes land and chattels acquired with land.

The rate of stamp duty in the Territory depends on the dutiable value of the property. For property with a dutiable value not exceeding $525,000, duty is calculated using a formula. For property with a dutiable value greater than $525,000, duty is imposed at fixed rates based on the value of the property being conveyed, as outlined in Table 6.4.

Table 6.4: Stamp duty rates on property valued greater than $525,000

	Stamp duty rate
Value range of property being conveyed:	%
Exceeds $525,000 but less than $3,000,000	4.95
$3,000,000 to less than $5,000,000	5.75
$5,000,000 or greater	5.95

The Territory's stamp duty regime is different to other states, which levy stamp duty based on marginal rates. A comparison of the Territory's stamp duty regime with other states is provided later in this chapter.

As reported in Table 6.1, stamp duty revenue is estimated at $245 million in 2025-26, before reducing to $144 million in 2026-27 and averaging around $149 million per annum over the forward estimates. The elevated outcome in 2025-26 reflects very significant investor activity and the extended homeowner grants program, partially offset by the effect of a higher cash rate. Stamp duty revenue also remains sensitive to the timing and scale of large commercial transactions.

Table 6.3 shows stamp duty revenue in 2025-26 is estimated to be $105 million higher than forecast in the 2025-26 Budget. This upward revision reflects increased duty receipts from several large commercial transactions in the year, as well as stronger than expected price growth in the residential property market. From 2026-27 through the forward estimates, stamp duty revenue is estimated to be $19 million higher on average than forecast in the 2025-26 Budget.

Taxes on the provision of goods and services

Taxes on gambling

Gambling taxes in the Territory consist of community gaming machine tax, bookmaker tax, lotteries tax, community benefit levy, casino/internet tax, betting exchange tax and wagering tax. Gambling tax revenue is a consistent and relatively stable contributor to Territory own-source revenue.

As shown in Table 6.1, gambling taxes are forecast to total $149 million in 2025-26, increasing to $153 million in 2026-27, before rising steadily over the forward estimates. This reflects the progressive implementation of a uniform 50% tax rate for internet gaming licensees, with transitional arrangements ending on 30 June 2027. Table 6.5 provides the revenue forecast for gambling taxes by category.

Table 6.5: Gambling tax components

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$000	$000	$000	$000	$000
Community gaming machine tax	55 824	57 613	59 459	61 365	63 331
Bookmaker tax	32 748	33 236	33 745	34 274	34 826
Lotteries tax	17 896	17 896	17 896	17 896	17 896
Community benefit levy	17 797	18 397	19 020	19 668	20 341
Casino/internet tax	22 171	22 497	28 218	28 544	28 871
Betting exchange tax	2 900	2 980	3 060	3 140	3 220
Wagering tax	25	25	25	25	25
Total	149 361	152 644	161 423	164 912	168 510

Community gaming machine tax is levied on gross profits (that is, net player losses) from electronic gaming machines in Territory clubs and pubs. In 2025-26, revenue is estimated to total $55.8 million, exceeding the 2025-26 Budget forecast by $7 million. In 2026-27, revenue is expected to increase to $57.6 million and steadily increase by $1.9 million per annum over the forward estimates in line with overall population growth and economic activity.

Bookmaker tax is expected to total $32.8 million in 2025-26, which is $0.2 million higher than forecast in the 2025-26 Budget. Revenue is expected to increase by $0.5 million per annum ongoing from 2026-27.

Lotteries tax revenue is expected to total $17.9 million in 2025-26, around $1.99 million lower than forecast in the 2025-26 Budget. From 2026-27, revenue is expected to total $17.9 million and remain steady across the forward estimates.

Revenue from the community benefit levy largely correlates with community gaming machine tax receipts. The community benefit levy is expected to yield revenue of around $17.8 million in 2025-26, which is $2 million higher than in the 2025-26 Budget. Receipts of $18.4 million are expected in 2026-27, with steady growth over the forward estimates.

Casino/internet tax revenue is expected to total $22.2 million in 2025-26, around $2.8 million lower than the 2025-26 Budget. In 2026-27, revenue is expected to increase to $22.5 million with receipts forecast to average $28.5 million over the forward estimates due to policy changes to internet gaming tax settings being fully implemented.

Betting exchange tax revenue is expected to total $2.9 million in 2025-26, in line with the 2025-26 Budget forecast. Revenue is expected to grow steadily with average receipts of $3.1 million from 2026-27 over the forward estimates.

Wagering tax revenue is expected to total $25,000 in 2025-26 and remain steady across the forward estimates. This is $4,000 lower than forecast in the 2025-26 Budget, reflecting an ongoing shift in gambling practices and behaviours as wagering activity increasingly takes place online and physical betting venues close.

Taxes on insurance

Territory insurance tax presently consists of stamp duty on general insurance policies. Stamp duty on general insurance is calculated at a rate of 10% of the premium paid on all general insurance products relating to property or risk in the Territory. Where the policy also relates to a risk or property outside the Territory, the premium is apportioned.

Table 6.1 shows that insurance duty is estimated to total $78 million in 2025-26, around $6 million lower than forecast in the 2025-26 Budget. Receipts are expected to total $83 million in 2026-27 and grow by around 7% per annum over the forward estimates. When compared to the 2025-26 Budget, insurance duty is expected to be lower in all years. While this outcome is lower than expected, growth in recent years has been strong and is expected to remain above historical trends due to premium growth and the effects of inflation.

Taxes on use of goods and performance of activities

Motor vehicle taxes

Motor vehicle taxes comprise stamp duty on initial registration and transfer of motor vehicles, motor vehicle registration fees and the passenger service levy.

As reported in Table 6.1, motor vehicle taxes are expected to total $108 million in 2025-26 and grow to $112 million in 2026-27. Revenue is expected to increase moderately across the forward estimates, reaching $122 million by 2029-30, largely reflecting continued growth in motor vehicle registration fee revenue and passenger service levy collections.

Stamp duty, which forms part of the total collections from motor vehicle taxes, is levied on the purchase price of a vehicle at a rate of $3 per $100 or part thereof. In 2025-26, motor vehicle stamp duty revenue is estimated to total $35.1 million. Revenue is expected to increase to $35.3 million in 2026-27 and continue to grow moderately over the forward estimates, reaching $37.2 million by 2029-30.

Motor vehicle registrations comprise heavy and light vehicle registrations. Fees for registering motor vehicles are set out in *Motor Vehicles (Fees and Charges) Regulations 2008*. Light vehicle registration fees are calculated by reference to a differential rate scale based on the engine capacity of the vehicle. Fees are defined in revenue units, with the monetary value of a revenue unit indexed on 1 July each year in accordance with the *Revenue Units Act 2009*. Heavy vehicle registration fees are set based on vehicle type, tonnage and axles.

In 2025-26, revenue from motor vehicle registration fees is estimated at $69.6 million. Revenue is expected to increase to $73.4 million in 2026-27 and continue to grow over the forward estimates, reaching $81.7 million by 2029-30. The higher estimates for 2025-26 and 2026-27 primarily reflect a stronger revenue base than previously forecast.

From its inception in July 2022 to February 2026, government has exempted $2.2 million in stamp duty for certificates of registration for electric vehicles. This initiative ceases on 30 June 2027.

A passenger services levy of $1 is imposed on every trip taken in a taxi, minibus, private hire car or rideshare vehicle. In 2025-26, revenue from the passenger services levy is estimated to total $3 million. Revenue is expected to increase to $3.1 million in 2026-27 and continue to grow over the forward estimates, reaching $3.4 million by 2029-30.

Mining and petroleum royalties revenue

The Territory levies royalties on the extraction of mineral commodities from mining activities and onshore petroleum production. Mining and petroleum royalties are a charge for resource extraction, payable to the Territory as the owner of the resources.

Royalties are currently levied in the Territory on gold, silver, bauxite, iron ore, manganese, lead, zinc, ilmenite, magnetite, oil and gas. Royalties have also been imposed in the past on commodities such as copper, lithium, limestone, vermiculite and mineral sands, and the Territory is highly prospective for several other minerals, including phosphate and rare earths.

Mineral royalties are payable in accordance with the *Mineral Royalty Act 1982* and *Mineral Royalties Act 2024*. New mines now pay royalties under the 2024 Act, however mines producing during the 2023 calendar year are grandfathered under the 1982 Act.

The 2024 Act imposes an ad valorem royalty featuring four categories of rates, 7.5%, 5%, 3.5% and 2.5%, assigned to minerals depending on cost intensity/complexity/value-add through processing in the Territory.

The 1982 Act imposes a royalty based on 20% of the net value or profit from mining activities after deductions for allowable costs. A minimum royalty rate of 1% to 2.5% applies to the gross production value of commodities extracted where the operator would otherwise pay less than that amount under the net value calculation.

For petroleum royalties, the Territory imposes an ad valorem royalty of 10% on the value of production at the wellhead, which is generally consistent with other Australian jurisdictions. The wellhead value is important for royalty purposes as it is the point at which ownership of the resource transfers from the Territory to the producer. As most petroleum is not sold at the wellhead, the value is calculated by recognising certain post wellhead costs incurred in transforming the raw product to its first saleable point.

Mining and petroleum royalty projections use a range of information from mining companies and petroleum producers, including estimates of commodity price movements, production levels and the value of the Australian dollar, as well as the Department of Treasury and Finance's internal commodity price and market outlook.

As shown in Table 6.1, mining and petroleum royalties are expected to total $388 million in 2025-26, increasing to $445 million in 2026-27 and average $421 million over the forward estimates.

As shown in Table 6.3, royalty revenue has been revised upwards by $42 million in 2025-26 and by $185 million in 2026-27. Sustained high commodity prices are expected to support royalty revenue in 2026-27, with global forecasts indicating prices will remain at or near historic highs into the year due to significant geopolitical tensions, strong safe-haven demand, central bank purchases and expectations of further US Federal Reserve rate cuts. Persistent domestic cost inflation, particularly in labour, energy and services, has kept Territory mine operating costs elevated. At the same time, the sustained rise in gold prices have supported increased profitability and the Territory's expected royalty revenue.

Interstate tax comparison

The composition of the Territory's taxes is broadly similar to other jurisdictions, with the main difference being the rates, exemptions and thresholds set by each state. The Territory is also the only jurisdiction that does not impose a land tax. The ability of states to determine their own tax policy promotes competition between jurisdictions and provides autonomy in calibrating tax systems to achieve a jurisdiction's specific fiscal, economic and social aims.

There are various approaches to measuring tax competitiveness. Two common approaches are CGC measures of taxation effort and capacity, and the representative taxpayer model.

Commonwealth Grants Commission

Revenue effort

The Commonwealth Grants Commission (CGC) assesses each jurisdiction's revenue-raising effort annually. Revenue effort is the ratio of the revenue a jurisdiction actually raises to the amount of tax revenue the Commission assesses it could raise if national average tax rates were applied to that jurisdiction's tax base.

An average revenue effort is assessed at 100%. A jurisdiction with an above-average revenue effort will score more than 100%, while a below-average effort scores less than 100%.

Table 6.6 provides a comparison of the CGC's assessment of taxation and own-source revenue-raising effort in 2024-25, being the most recent year for which an assessment is available. Total own-source revenue effort includes taxation and mining revenue, contributions by trading enterprises (government owned corporations) and user charges for selected government services, including waste management levies, road charges and registry services.

Table 6.6: Revenue effort by jurisdiction, 2024-25

	NSW	Vic	Qld	WA	SA	Tas	ACT	NT
	%	%	%	%	%	%	%	%
Total taxation effort	99.4	112.4	90.8	91.5	94.3	85.1	137.5	82.5
Total own-source revenue effort	96.2	108.6	98.7	93.9	99.6	90.4	145.6	110.5

Source: CGC 2026 Update

The Territory continues to record the lowest taxation effort. This largely reflects the absence of land tax and lower than average motor vehicle taxes. However, the Territory's total own-source revenue effort remains above the national average, largely reflecting the Territory's mineral royalty arrangements.

The Territory's total taxation and total own-source revenue efforts in 2024-25 were 82.5% and 110.5%, compared with the updated assessment for 2023-24 of 81.3% and 109.4% respectively. The increase in taxation effort coincided with higher stamp duty effort, which rose from 121.3% in 2023-24 to 132.0% in 2024-25. The Territory's stamp duty effort remained well above the benchmark average. Total own-source revenue effort also increased over the period, alongside stronger mining revenue effort, which rose from 128.1% to 134.5%.

Revenue capacity

The states and territories have limited capacity to expand own-source revenue. Under the Australian Constitution, they are unable to impose excise or customs duties, while the Commonwealth has long assumed responsibility for income tax.

Over the budget cycle, the Territory's taxation and royalty own-source revenue averages 12% of total revenue for the non financial public sector.

State and territory taxation policy must balance a number of competing objectives, including raising sufficient revenue to fund government services, minimising the tax burden and imposition of red tape for taxpayers, cultivating conditions for business growth, and creating a tax environment that is competitive with other jurisdictions and attracts private investment.

Although all jurisdictions face similar constraints in raising own-source revenue, the Territory's capacity to raise revenue is further limited by its relatively small resident and business tax base. This is illustrated in Table 6.7, which reports the CGC's assessments of revenue-raising capacity for major state and territory taxes and royalty revenue. Revenue-raising capacity measures the per capita amount a jurisdiction could raise if national average policy settings were applied to its tax base, relative to the national average per capita revenue raised. This measure removes the effects of jurisdictional policy choices, such as the Territory's decision not to impose land tax. A ratio close to 100 indicates the Territory's actual revenue-raising capacity for that tax category matches the state average (for example, payroll tax).

Table 6.7: Assessed revenue-raising capacity, 2024-25

	NSW	Vic	Qld	WA	SA	Tas	ACT	NT
	%	%	%	%	%	%	%	%
Total taxation revenue	112.5	97.4	93.7	104.3	82.2	71.7	79.4	77.2
Land tax	155.7	104.4	59.1	56.4	62.4	44.8	39.9	47.5
Payroll tax	101.3	95.8	96.2	134.3	76.7	71.5	90.5	103.0
Stamp duty	119.2	92.7	100.5	95.3	71.0	56.5	84.3	45.4
Insurance tax	103.5	95.1	101.0	92.2	127.5	78.8	74.7	79.2
Motor vehicle tax	90.6	100.7	106.4	116.1	102.1	106.1	71.0	89.4
Mining and petroleum revenue	46.4	3.2	163.5	431.5	30.4	25.6	0.0	113.9

Source: CGC 2026 Update

The Territory is assessed as having a relatively low capacity to raise taxation revenue, particularly from land tax and stamp duty, where the Territory's capacity is significantly below the national average of 100%. This reflects the Territory's geographical composition, a relatively small number of very high value commercial and residential properties, a resident population of just over 264,000 and the large proportion of the Territory's land that is not held in private ownership.

Representative taxpayer model

The representative taxpayer model compares the amount of tax payable in each jurisdiction by a representative household or firm. This approach takes into account differences in the circumstances of each state by applying each state's tax rate to a representative or average base.

Land tax

This category comprises taxes on land ownership, including any metropolitan land planning, development, and fire and emergency service levies. Land taxes are generally based on the assessed unimproved value of the land.

Land tax is an important source of revenue for other states, generating more than $20 billion in 2024-25. It is levied on the landowner's total holdings of commercial land and residential investment property, although land used for primary production is generally exempt. Land tax rates are usually progressive, and most jurisdictions apply tax-free thresholds.

The Territory does not impose a land tax. However, in its 2026 Update, the CGC assessed the Territory's potential land tax revenue at about $91 million per annum if average state policy was applied.

Payroll tax

Table 6.8 compares payroll tax rates and thresholds for each jurisdiction. The Territory's annual payroll tax threshold is the highest in Australia, which means most small local businesses are excluded from the tax base. The Territory's payroll tax rate is slightly above the national average.

Table 6.8: State and territory payroll tax rates and annual thresholds for 2025-26

	NSW	Vic[1]	Qld[2]	WA[3]	SA[4]	Tas[5]	ACT[6]	NT[7]	Average
Threshold ($M)	1.20	1.00	1.30	1.00	1.50	1.25	2.00	2.50	1.47
Rate (%)	5.45	4.85	4.75	5.50	4.95	4.00	6.85	5.50	5.23

1 Rate is 1.2125% for regional employers. Mental health and wellbeing surcharge and covid debt temporary surcharge of 0.5% each apply where an employer's Australian wages exceed $10 million, with an additional 0.5% each where Australian wages exceed $100 million. The surcharges, totalling 1% and 2% respectively, only apply to wages in excess of those thresholds.
2 Rate discount of 1% applies to regional employers. Rate is 4.75% for wages between $1.3 million and $6.5 million, and 4.95% for wages over $6.5 million. The tax-free threshold reduces as an employer's wages increase, with no deduction provided for employers with wages over $6.5 million. Mental health levy surcharge of 0.25% applies where an employer's Australian wages exceed $10 million, with an additional 0.5% surcharge where an employer's Australian wages exceed $100 million. The surcharges, totalling 0.25% and 0.75%, respectively, only apply to wages in excess of those thresholds.
3 Threshold reduces as an employer's wages increase, with no deduction for employers with wages over $7.5 million.
4 Rate increases from 0% to 4.95% for employers with wages between $1.5 million and $1.7 million. A maximum deduction of $600,000 is available to employers.
5 Rate is 4% for wages between $1.25 million and $2 million, and 6.1% for wages over $2 million.
6 From 1 July to 31 December 2025, employers with wages above $50 million and $100 million have a surcharge rate of 0.5% and 1%, respectively, apply to all Australian Capital Territory wages. From 1 January 2026, the same surcharge rates apply but are capped at $150 million, the rate for employers with more than $150 million in wages is 8.75%. Surcharges apply to all Australian Capital Territory taxable wages. The government has announced further changes to payroll tax rates applying from 1 July 2026.
7 Threshold reduces as an employer's wages increase, with no deduction for employers with payrolls over $7.5 million.
Source: State legislation and information available at 4 March 2026

Table 6.9 provides the effective payroll tax rate at various wage levels in each jurisdiction after taking account of tax-free thresholds and headline tax rates. For businesses with wages of $5 million and below, the Territory has a competitive payroll tax regime with effective tax rates below the national average, and no tax payable where taxable wages are $2.5 million or less. For large businesses with annual wage costs greater than $50 million, the Territory's effective payroll tax rate is lower than those in the Australian Capital Territory, Tasmania and Victoria, and is broadly comparable to Western Australia. A new tax rate of 6.5% will apply from 1 July 2026 for employers and payroll tax groups with Australia-wide wages of $100 million or greater.

Table 6.9: Effective state and territory payroll tax rates at various annual payroll levels for 2025-26

Annual payroll	NSW	Vic	Qld	WA	SA	Tas	ACT	NT	Average
$M	%	%	%	%	%	%	%	%	%
1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
2	2.2	2.4	1.9	3.2	3.5	1.5	0.0	0.0	1.8
3	3.3	3.2	3.1	4.2	4.0	3.0	2.3	1.4	3.1
4	3.8	4.2	3.7	4.8	4.2	3.8	3.4	3.1	3.9
5	4.1	4.9	4.0	5.1	4.4	4.3	4.1	4.1	4.4
10	4.8	4.9	4.9	5.5	4.7	5.2	5.5	5.5	5.1
20	5.1	5.4	5.1	5.5	4.8	5.6	6.2	5.5	5.4
50	5.3	5.7	5.2	5.5	4.9	5.9	6.6	5.5	5.6
100	5.4	5.8	5.2	5.5	4.9	6.0	7.2	5.5	5.7
150	5.4	6.1	5.4	5.5	4.9	6.0	7.7	5.5	5.8

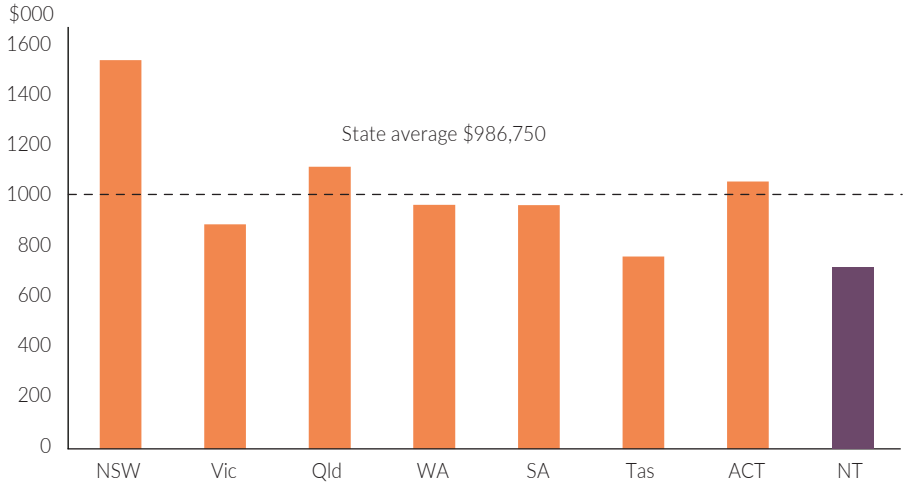
Note: This table presents payroll tax settings at 1 July 2025. Australian Capital Territory's payroll tax settings changed from 1 January 2026 and is expected to change again from 1 July 2026. In the Territory, a payroll tax rate of 6.5% will apply from 1 July 2026 for employers, and payroll tax groups, with Australia-wide wages of $100 million or greater.
Source: State legislation and information available at 4 March 2026

Stamp duty on residential conveyances

Stamp duty receipts on residential properties are affected by house prices, transaction volumes, stamp duty rates and availability of stamp duty concessions.

The Territory's below-average capacity to raise stamp duty revenue as shown in Table 6.7 is mainly due to having the lowest median house and unit prices, being well below the state average. Chart 6.2 compares the median house price of each capital city.

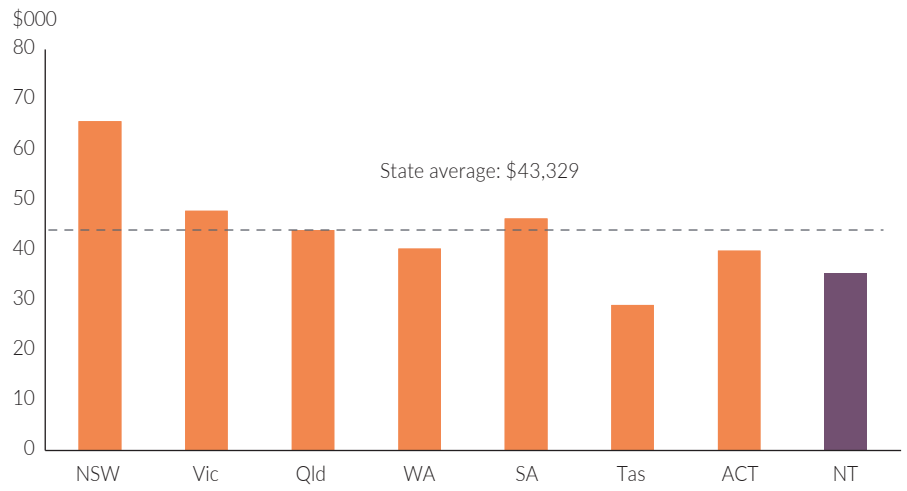
Chart 6.2: Median capital city house prices, December quarter 2025



1 The state average is 39% higher than the Darwin median house price.
2 Comparisons with previous years may not be reliable due to changes in the data source.
Source: ABS for December quarter 2025

Chart 6.3 compares the amount of stamp duty payable on the purchase of a residential property in each jurisdiction based on the median house price in that jurisdiction's capital city, excluding stamp duty concessions. The comparison shows the amount payable in the Territory is generally comparable to jurisdictions such as Tasmania, Western Australia and the Australian Capital Territory. However, the Territory's overall property tax impost is lower than other jurisdictions as the Territory does not impose a land tax.

Chart 6.3: Stamp duty payable on purchase of a median-priced house in each capital city, exclusive of any concessions



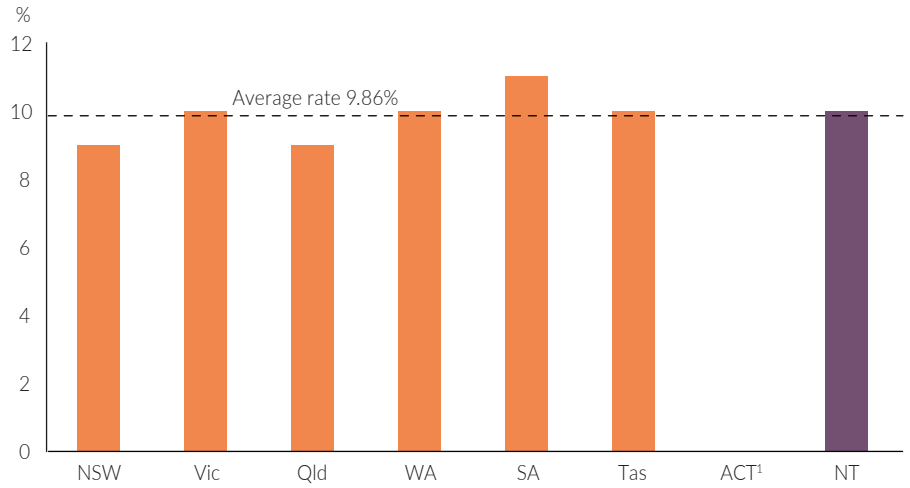
1 Comparisons with previous years may not be reliable due to changes in the data source.
Source: ABS for December quarter 2025; state legislation and information available at 10 March 2026

Insurance duty

All states impose taxes on general insurance premiums at rates between 9% and 11%, with New South Wales, Queensland and Tasmania imposing special rates on particular classes of general insurance. The only exception is the Australian Capital Territory where insurance duty was abolished on 1 July 2016. The Australian Capital Territory, Victoria, Western Australia and the Northern Territory do not collect taxes on life insurance policies.

As shown in Chart 6.4, compared with the other states (excluding the Australian Capital Territory), the Territory is an average-taxing jurisdiction.

Chart 6.4: Average state tax rate on general insurance premiums

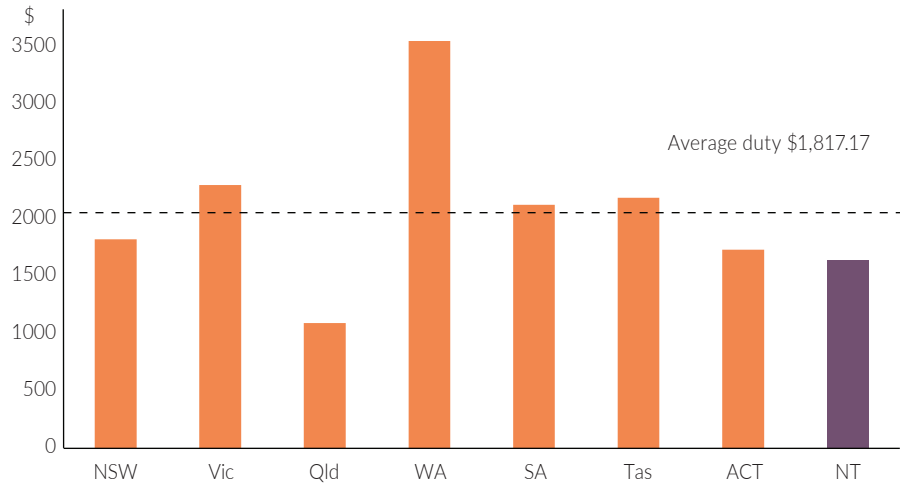


1 The Australian Capital Territory does not impose insurance duty.
Source: State legislation and information available at 2 March 2026

Stamp duty on motor vehicles

Chart 6.5 compares stamp duty payable for a new motor vehicle, represented by a 4-cylinder 2026 Toyota Camry SL sedan 2.5L automatic valued at $53,990 (excluding government and dealer delivery costs). The chart shows stamp duty payable in the Territory is below the national average and second-lowest in Australia. Queensland applies a comparable rate of motor vehicle stamp duty to the Territory but offers a concessional rate for hybrid vehicles (such as the comparison car).

Chart 6.5: Stamp duty on purchase of a medium-sized passenger vehicle[1]

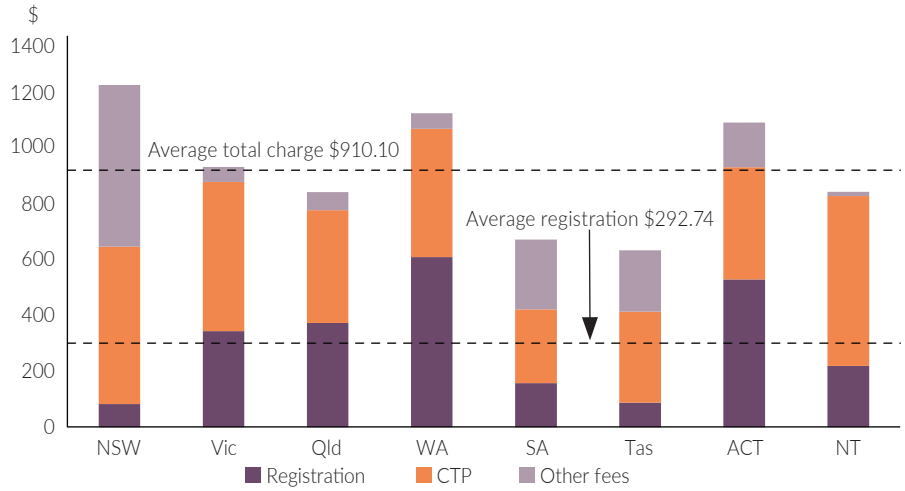


1 Based on a 4-cylinder 2026 Toyota Camry SL sedan 2.5L automatic with carbon dioxide emissions of 91g/km.
Source: State legislation and information available at 2 March 2026

Motor vehicle registration

Motor vehicle registration fees comprise registration, compulsory third-party or similar insurance and other fees, and vary significantly between jurisdictions. Chart 6.6 compares the costs of registering a 4-cylinder 2026 Toyota Camry SL sedan 2.5L automatic. A registration fee of $219 and a total registration cost of $841.25 indicate that the Territory's registration fee and total registration cost are below the national average.

Chart 6.6: Annual registration fees and charges for a medium-sized passenger vehicle[1]



CTP: compulsory third-party insurance or equivalent
1 Based on a 4-cylinder 2026 Toyota Camry SL sedan 2.5L automatic with carbon dioxide emissions of 91g/km.
Source: State legislation and information available at 3 March 2026

Higher than average MAC scheme insurance premiums in the Territory reflect higher costs associated with the Territory's small population and relatively high incidence of road accident casualties, and the no-fault nature of the Territory's compensation scheme. MAC scheme premiums aim to ensure likely compensation claims for the upcoming year can be met and the scheme maintains a prudent solvency margin.

Despite MAC premiums being higher than average compulsory third-party insurance premiums, total registration and administrative costs in the Territory remain below the national average due to relatively low registration fees, and because the Territory does not include ancillary taxes and levies in the cost of registration. Additional levies imposed in other jurisdictions include fire and emergency service levies, motor taxes, traffic improvement levies and road safety contributions.

Tax expenditure statement

The tax expenditure statement details revenue estimated to be forgone by the government or financial benefits obtained by taxpayers as a result of tax exemptions or concessions. Identifying this expenditure (or forgone revenue) assists in providing a more accurate picture of the government's contribution by way of taxation concessions to assist various groups or industries.

Tax concessions are often provided to benefit a specified activity or class of taxpayer. They are expenditures in the sense the impact on budget outcomes is similar to direct expenditure outlays and could be used to achieve similar goals to grant programs.

Tax expenditure can be provided in a variety of ways, including by way of tax exemption, waiver, deduction, rebate or a concessionary tax rate.

The tax expenditure identified in this statement relates to the major concessions available in the Territory. In accordance with section 10(1)(d) of the FITA, the tax expenditure statement provides an estimate of expenditure (or forgone revenue) in 2025-26, and estimates for 2026-27 and the following three financial years.

Table 6.10 details the total estimated tax expenditure across payroll tax, stamp duty and motor vehicle fees.

Table 6.10: Total tax expenditure[1]

	2025-26	2026-27	2027-28	2028-29	2029-30
Tax expenditure ($M)	235.2	245.7	257.8	271.6	286.3

1 Does not include forgone land tax.

Methodology

Tax expenditure has been estimated by applying a benchmark rate of taxation to forecast volume of activities or assets exempted by a particular concession. Only future events certain or highly likely to affect assumed tax bases or tax rates have been included when estimating future tax expenditure. Otherwise, existing taxation arrangements are assumed to apply for future years.

Measuring tax expenditure requires the identification of:

- a benchmark tax base
- concessionary taxed components of the benchmark tax base, such as specific activity or class of taxpayer
- a benchmark tax rate to apply to concessionary taxed components.

The establishment of a benchmark tax base provides a basis against which each tax concession can be evaluated. The aim of the benchmark is to determine which concessions are tax expenditures rather than structural elements of the tax.

By definition, tax expenditure comprises those tax concessions not included as part of the benchmark tax base.

Payroll tax

The benchmark tax base for payroll tax is assumed to be all wages (as defined under payroll tax legislation) paid in the Territory. The benchmark tax rate is 5.5%. From 2026-27 onwards, large employers with Australia-wide wages of $100 million or more will be subject to a tax rate of 6.5%. The higher tax rate for large employers is expected to have little impact on payroll tax expenditure as they are unable to receive a payroll tax deduction, and most of them are unlikely to be exempt from payroll tax.

Table 6.11: Payroll tax expenditure

	2025-26	2026-27	2027-28	2028-29	2029-30
Tax expenditure ($M)	186.9	194.9	204.3	214.3	224.8

As data is not generally collected by the Territory Revenue Office from employers with no payroll tax liability, tax expenditure in relation to payroll tax concessions must be estimated. The tax expenditure in Table 6.11 has been calculated by adding actual tax concessions to an estimate of concessions. The estimate is derived by comparing the average of Australian Taxation Office data reporting wages paid by employers in the Territory and ABS data on employment and wages in the Territory to data reported by employers registered for payroll tax in the Territory. The difference provides a reasonable estimate of wages paid by employers that are not subject to Territory payroll tax because of the small business exclusion (detailed below) or for being an exempt body.

Payroll tax expenditure estimates over the budget cycle have been revised upwards compared with the forecasts in the 2025-26 Budget. While growth in employment and average weekly earnings has increased the benchmark wage base, this has been partially offset by more businesses moving above the tax-free threshold. The reported estimated tax expenditure in relation to payroll tax mainly comprises the following exemptions.

Small business exclusion

Employers with total Australian wages below $2.5 million are not required to pay payroll tax, saving them up to $137,500 per annum. The payroll tax liability for employers with payrolls above $2.5 million a year is calculated on taxable wages less a deduction based on a sliding scale of up to $2.5 million. This exclusion covers the majority of estimated payroll tax revenue forgone.

Charities and other exempt bodies

Certain charitable and not-for-profit organisations receive payroll tax exemptions for wages paid to employees who engage in non-commercial activities that support the organisation's charitable purpose. In addition, employment agencies providing temporary staff to exempt organisations are able to claim payroll tax exemptions for these wages.

Stamp duty on conveyances

Tax expenditure estimates in Table 6.12 are based on notional stamp duty amounts.

Table 6.12: Stamp duty on conveyances expenditure

	2025-26	2026-27	2027-28	2028-29	2029-30
Tax expenditure ($M)	3.0	2.4	2.4	2.5	2.6

Forecast expenditure (forgone revenue) in 2026-27 is anticipated to decline from 2025-26 and return to steady growth over the forward estimates. This accords with the variation in stamp duty on conveyance revenue in 2026-27 and over the forward estimates.

The relative stability in total tax expenditure in this category over the forward estimates period partly reflects the absence of a broad-based homeowner stamp duty concession in the Territory, although targeted temporary concessions remain in place, including the house and land package exemption.

The tax expenditure estimates mainly comprise the following exemptions.

Corporate reconstructions exemption

Corporate groups formed by commonly owned corporations are able to reorganise ownership of assets without incurring a stamp duty liability. The estimated tax expenditure is a notional amount of stamp duty forgone for approved reconstruction exemptions.

Other conveyance duty exemptions

Several other conveyance stamp duty exemptions are provided that together result in significant revenue forgone by the Territory, the largest of these being exemptions for:

- property transferred to charitable organisations having a sole or dominant purpose that is charitable, benevolent, philanthropic or patriotic
- an exemption under the *Commonwealth Family Law Act 1975* for instruments made pursuant to a court order that alter the interests of the parties to a marriage or de facto partnership
- the conveyance of property between partners of a de facto relationship on the breakdown of the relationship
- certain conveyances involving the administration of deceased estates

- conveyances from trustees to beneficiaries and to give effect to a change in trustees
- certain conveyances that are exempt under other Commonwealth legislation, such as the *Aboriginal and Torres Strait Islander Act 2005*.

The estimated tax expenditure for these concessions is a notional amount attributed to the various exemptions granted.

Stamp duty on motor vehicles

From 1 July 2022 until 30 June 2027, the Territory is providing stamp duty concessions of up to $1,500 for eligible plug-in electric vehicles. Tax expenditure in Table 6.13 is based on actual stamp duty data with the scheme forecast to cost $3.2 million over its life.

Table 6.13: Stamp duty on motor vehicles

	2025-26	2026-27	2027-28	2028-29	2029-30
Tax expenditure ($M)	0.8	0.8	0.0	0.0	0.0

Stamp duty on general insurance policies

The benchmark tax base is all classes of general insurance policies, excluding life insurance policies, which are treated differently for stamp duty purposes. The benchmark tax rate is 10% of the premium.

Table 6.14: Stamp duty on general insurance

	2025-26	2026-27	2027-28	2028-29	2029-30
Tax expenditure ($M)	42.4	45.5	49.0	52.7	56.8

The Territory provides stamp duty concessions on certain insurance products to reduce the costs of such insurance, namely workers compensation insurance and private health insurance. Tax expenditure reported in Table 6.14 has been estimated using total workers compensation insurance policy premiums paid during past years compared to total payroll data of employers in the Territory and data on private health insurance premiums obtained from the Australian Prudential Regulatory Authority.

Forecast tax expenditure over the budget cycle has increased compared with the forecasts in the 2025-26 Budget. This is due to an upward revision in expected workers compensation insurance and private health insurance premiums over the forward estimates, which corresponds with overall higher than expected revenue from taxes on insurance over that period.

Motor vehicle registration fees

Motor vehicle registration concessions are available under the Northern Territory Concession Scheme and Northern Territory Seniors Recognition Scheme. Table 6.15 shows motor vehicle registration fees expenditure is expected to remain stable at $2.1 million per annum over the budget cycle. Actual registration fee data has been used to estimate this item of tax expenditure.

Table 6.15: Motor vehicle registration fees expenditure

	2025-26	2026-27	2027-28	2028-29	2029-30
Tax expenditure ($M)	2.1	2.1	2.1	2.1	2.1

Chapter 7

Risks and contingent liabilities

Section 10(1)(e) of the FITA requires each fiscal outlook report to contain a statement of risks, quantified as far as practicable, that could materially affect updated financial projections, including any contingent liabilities and related agreements yet to be finalised.

This section meets the FITA requirements by outlining potential risks to the 2026-27 Budget due to changes in factors underpinning revenue and expenditure estimates, and the likelihood of contingent liabilities becoming actual liabilities.

Risks to the Territory are assessed and categorised in accordance with those identified in section 5(2) of the FITA, which requires government to prudently manage financial risks faced by the Territory (having regard to economic circumstances). The categories comprise risks from excessive debt, ownership of trading entities, erosion of the Territory's revenue base, managing assets and liabilities, and other risks.

More information on the Territory's risks and contingent liabilities can be found in the 2024-25 Treasurer's Annual Financial Report, Note 40 *Contingent assets and liabilities*.

Sound fiscal management of risks

Risks from excessive debt

Excessive debt levels could affect the Territory's ability to raise funds when required, or at a cost substantially higher than could be achieved under more sustainable debt levels, limiting government's capacity to maintain appropriate levels of service. Excessive debt could also impact investor and consumer confidence, resulting in negative effects on the broader Territory economy.

Risks associated with excessive debt are mitigated through government's fiscal strategy, which has been formulated with an emphasis on debt management and reduction. The objectives and targets represent what would need to be achieved to return the Territory to a financially sustainable position, with regard to the current fiscal and economic conditions and comparable jurisdictional performance.

One of government's fiscal strategy objectives is to maintain or improve the Territory's credit rating. Credit ratings reflect an independent assessment of a government's credit worthiness and ability to fulfil its financial commitments and repay debt. A higher rating indicates a strong fiscal and economic position, and results in the ability to borrow at lower interest rates, while a lower rating indicates credit challenges and results in higher interest rates on borrowings.

The Territory's credit rating was last reviewed in April 2026 by Moody's on the 2025-26 Mid-Year Report, resulting in an unchanged credit rating for the Territory at Aa3 with a stable outlook. Since this assessment, all budgeted fiscal aggregates have improved in the 2026-27 Budget.

Risks from ownership of trading entities

Poor financial performance of commercial entities can pose risks to government in the form of lower returns and dividend payments to government, or increased requirements for financial support, with the potential to materially affect the Territory's debt levels and fiscal targets.

The Territory's fiscal strategy includes an objective and target specifically aimed at strengthening government owned corporations' commercial sustainability, increasing accountability for financial performance and reducing reliance on government support.

Risks are also mitigated through the government owned corporations operating and accountability framework, comprising the Corporate Governance and Reporting Framework, *Government Owned Corporations Act 2001*, enabling legislation for each government owned corporation and the Territory's Policy Statement on Competitive Neutrality. The Corporate Governance and Reporting Framework sets out processes in line with best practice for strategic planning, monitoring and reporting performance targets, and accountability for performance set in the SCI.

The Territory's government owned corporations are the Power and Water Corporation, Territory Generation and Jacana Energy. Each corporation has an SCI, which is an annual performance agreement between the board and shareholding minister, tabled in parliament and examined by the Estimates Committee. Each SCI details key financial and non-financial targets for the corporation, and provides updated financial projections for the budget year and forward estimates period.

Each corporation is expected to include future efficiencies through operational and business improvements as part of their respective SCIs, and ensure proposed major capital investments are supported by a detailed business case and deliver an appropriate rate of return. Failure to achieve SCI targets presents a risk to the budget and forward estimates through reduced dividends and tax equivalent payments, and worsening of the Territory's fiscal outcomes.

Power and Water Corporation's gas business has significant market-related risks arising from long-term gas purchase, sales and transportation agreements. The corporation's board oversees a gas sales strategy to address future market opportunities and position the corporation to ensure costs are covered by revenue, and any risks are appropriately mitigated.

Further, strengthened oversight of the Territory's strategic energy security is provided through government's Energy Sub-Committee of Cabinet, Standing Committee on Rebuilding the Economy and related time-limited taskforces, including overseeing measures to mitigate immediate to long-term risks around gas supply.

Risks from erosion of the Territory's revenue base

Erosion of revenue refers to an ongoing decline in or inability to generate sufficient revenue to fund expenditure, and can occur as a result of policy and non-policy changes to Territory revenue streams.

Policy changes are the result of government decisions to implement new or revised Territory taxes and own-source revenues that can result in either increases or decreases in revenue, depending on whether government is increasing taxes or providing tax cuts or concessions.

Non-policy changes to revenue streams are those outside of government's control and include changes to Commonwealth funding, external economic and market conditions or weather events that may affect the operations of taxpayers.

Reliance on Commonwealth funding

Australia's federal system is characterised by a high degree of vertical fiscal imbalance, where the expenditure requirements of states under the Australian Constitution far outweigh their capacity to raise revenue. This imbalance is addressed through intergovernmental payments from the Commonwealth to the states to facilitate delivery of essential services.

In comparison to all other states, the Territory is more reliant on Commonwealth payments due to greater expenditure needs and a lower ability to fund expenditure through own-source revenue. In 2026-27, Commonwealth funding to the Territory is expected to account for 72% of the Territory's total revenue, with GST revenue and tied funding payments accounting for 48% and 24% of total revenue in the non financial public sector, respectively.

Due to the Territory's reliance on GST revenue and tied funding payments, any changes will have a significant effect on Territory revenue. Risks include variations in national GST collections and changes to tied Commonwealth funding agreements, such as their amount, timing, deliverables and duration.

GST revenue volatility

Volatility in GST revenue represents the largest revenue risk for the Territory and is dependent on four parameters:

- national GST collections pool
- Territory's share of the national population
- Territory's GST relativity
- impact of GST distribution reforms that commenced in 2021-22.

There are variables that influence each of these parameters, adding to the complexity of forecasting GST revenue over the budget and forward estimates, as discussed in Chapter 5 *Commonwealth revenue*. The following analysis examines the isolated effect of variations in each parameter. However, as parameters interact, variations can have a compounding or offsetting effect on GST revenue estimates.

GST collections pool

The Territory's GST revenue is directly affected by variations in the national GST collections pool, with growth in the pool representing the second largest driver of change to the Territory's GST revenue forecasts over the budget and forward estimates after population, since the 2025-26 Budget.

Risks to the national GST collections pool forecasts relate to the outlook for national nominal consumption of goods and services subject to GST and private dwelling investment. Results may vary from forecasts if nominal prices or real economic activity materially differs from expectations.

There are growing risks to the GST collections pool. On the upside, national economic activity has been stronger than expected, with stronger than expected demand pressures driving inflation, which contributes to nominal pool growth. Recent geopolitical developments in the Middle East are further adding to inflation as disruptions to the oil supply push up fuel prices and in turn, increase the cost of producing goods and services in the economy. These price rises flow into higher nominal values for GST-taxable consumption, supporting a higher GST pool. On the downside, the RBA has adopted a more restrictive monetary policy stance, increasing interest rates in February and March 2026. Market expectations incorporate further interest rate increases in 2026.

Overall risks to the GST pool are weighted to the downside, as consumer and business confidence declines in response to higher inflation and higher interest rates. There remains significant uncertainty around the impact of the conflict in the Middle East and the risks of prolonged disruptions to global oil supply. In addition, if the size or timing of monetary policy decisions differ from expectations, changes to the GST pool outcome may occur.

A ±1 percentage point change in national GST collections growth is estimated to have a ±$49 million impact on the Territory's GST revenue in 2026-27, all else being equal. If a variation of ±1 percentage point was applied to national GST collections growth in each of the budget and forward estimate years, the cumulative impact on Territory GST revenue would be around ±$527 million.

Territory's share of the national population

Estimates of each state and territory's population growth relative to the national rate influence the Territory's share of the national population, affecting forecasts of the Territory's GST revenue.

The Territory uses its own estimates of Territory population growth, given its knowledge of local factors. Estimates of other states' populations are based on Commonwealth population projections. Accordingly, the Territory's GST revenue projections are sensitive to the Territory's forecasts of Territory population growth, as well as Commonwealth forecasts of interstate population growth. The Territory's population is expected to grow at a slightly slower rate than the national population over 2026-27 and forward estimates. A discussion on Territory population forecasts is provided at Chapter 3 *Economic outlook*.

In June 2025, the ABS changed its method for estimating state and territory populations, with the largest proportionate revisions being to the Territory's population. This was the largest driver of change in GST revenue since the 2025-26 Budget. Broadly, this represents a one-off revision to population data rather than an ongoing risk. However, the new methodology may increase Territory population volatility due to greater reliance on and less smoothing of administrative data, which could amplify the effect of future interstate migration flows.

The effect of a ±1,000 person variation in the Territory's population forecast is expected to have a ±$18 million impact in 2026-27, all else being equal. If a variation of ±1,000 persons is applied to population growth in each of the budget and forward estimate years, the cumulative impact on Territory GST would be around ±$190 million.

The effect of a ±0.01 percentage point movement in the Territory's share of the national population is expected to have a ±$50 million impact in 2026-27, all else being equal. If a variation of ±0.01 percentage points were applied to the Territory's forecast share of the national population in each of the budget and forward estimate years, the cumulative impact on Territory GST would be around ±$213 million.

GST relativity

The distribution of GST revenue is based on the principles of horizontal fiscal equalisation that aim to equip all states and territories with the capacity to provide similar levels of services and infrastructure.

The CGC recommends GST relativities annually, reflecting new data and changes in state fiscal capacities. In the 2026 Update, the CGC recommended an increase in the Territory's GST relativity to 5.24149 for 2026-27, from 5.15112 in 2025-26.

Relativities are subject to calculations based on the financial and demographic circumstances of all states and territories over a rolling three-year assessment period. The Territory generally forecasts relativities on a three-year average basis, held constant over the forward estimates period, adjusted for GST distribution reforms. In any relativity update, the Territory's GST relativity will be sensitive to changes in all jurisdictions' relativities, reflecting the fixed sum nature of the GST distribution process.

Risks to the Territory forecasts arise if any state's relativity circumstances vary significantly from its three-year average over the forecast period. Recent relativities have varied substantially due to changes in interstate circumstances, particularly coal prices impacting mining revenues and relativities in Queensland and New South Wales. Accordingly, the Territory's forecasts include an adjustment from 2027-28 to reflect historically high coal mining outcomes unwinding from GST assessments from the 2027 Update, based on known differences between 2022-23 and 2024-25 data used in the 2026 Update. Should future mining outcomes differ significantly from historical trends, the actual relativity impact may differ.

The impact of a ±0.1 variation in the Territory's GST relativity is about ±$90 million in 2026-27, all else being equal. A ±0.1 variation in the Territory's GST relativity in each of the budget and forward estimate years would have a cumulative effect of about ±$388 million.

GST distribution changes

The Commonwealth legislated changes to the GST distribution system through the *Treasury Laws Amendment (Making Sure Every State and Territory Gets Their Fair Share of GST) Act 2018*.

The changes include a Commonwealth temporary no-worse-off guarantee that operates as a time-limited safety net for jurisdictions. This ensures jurisdictions receive, at a minimum, the cumulative amount of GST they would have received under the previous methodology. This guarantee temporarily mitigates the risks of GST distribution reforms to the Territory's GST.

The Territory expects to receive no-worse-off guarantee payments totalling $212 million over 2025-26 to 2029-30. Any change to relativities or GST collections pool growth may affect no-worse-off guarantee payments. The guarantee has been extended to the end of 2029-30, with any further policy changes posing a risk to forecasts.

The Commonwealth has committed to a Productivity Commission review of the GST distribution reforms by the end of 2026.

Tied Commonwealth funding

Tied Commonwealth funding is provided under the IGA FFR through national federation funding agreements and schedules. Tied funding can also be provided outside IGA FFR payment arrangements through COPE arrangements.

Key risks to the Territory budget associated with tied Commonwealth funding include uncertainty as to the amount, timing, deliverables and duration of new and renegotiated funding agreements, expiry of agreements and increasing inclusion of financial input controls.

Agreements that are short term in nature and subject to repeated short-term extensions upon expiry inhibit the ability of governments and other providers to plan for ongoing, reliable service delivery in key areas. Short-term funding arrangements can lead to heightened community expectations without providing associated Commonwealth funding certainty in the long run.

The Commonwealth is also increasingly including financial input controls in funding arrangements such as matched funding and maintenance of effort provisions. Input controls pose a significant risk to the Territory budget by reducing the Territory's autonomy and ability to efficiently allocate resources in a manner that best suits community needs.

Further risks may arise from the expiry of tied Commonwealth funding agreements including ceasing public services or assuming financial responsibility to continue the services previously funded by the Commonwealth.

Territory taxes and royalties

Territory taxes and royalty revenues mainly comprise revenue from mining and petroleum royalties, as well as payroll tax, and conveyance and related duties. For 2026-27, Territory taxes and royalties are expected to account for about 12% of total non financial public sector revenue and 43% of total own-source revenue.

Forecasting tax and royalty revenue involves judgements and assumptions about the performance of various economic factors and indicators, such as growth in wages, employment, business investment, commodity prices, market conditions and activity, and exchange rates.

Mining royalty revenue has historically been the largest single contributor to Territory taxes and royalties, and forecasts are sensitive to mineral price outlooks, production levels, mine expansions or disruptions, as well as exchange rates and global trade conditions. Mining revenue forecasts are informed by independent assessments of commodity prices and market conditions, and advice from mining companies about their expectations of production, prices, and royalty obligations over the budget and forward estimates period. Changes in commodity prices, mine end of life estimates, and production or exchange rates can materially impact these forecasts.

The Middle East conflict has resulted in sharp increases in some commodity prices such as oil and petroleum products including LNG due to shipping disruptions in the Strait of Hormuz, damage to infrastructure and halted production in several Persian Gulf countries. The ongoing conflict is also expected to contribute to significant upward pressure on other key commodity prices such as gold, silver and aluminium. The conflict is unfolding simultaneously with the increasing use of tariffs in global trade policy by key market actors, which constitutes an emerging risk to mineral and petroleum production. The imposition of tariffs in key markets can compound inflationary pressures on operating costs for mines, affecting profitability, which will flow through to mineral and petroleum royalty forecasts over the forward estimates.

There is however, potential upside over the forward estimates with petroleum being sold under an exploration permit (appraisal gas) in the Beetaloo Sub-basin. Final investment decision was reached for two major proponents in the basin, Beetaloo Energy Australia (formerly Empire Energy Group Limited) and Tamboran Resources Corporation. Both are expected to commence selling appraisal gas over the forward estimates period.

Payroll tax is the Territory's largest source of tax revenue in 2026-27. It is imposed at a rate of 5.5% on businesses with total payroll above the tax-free threshold of $2.5 million per annum. From 1 July 2026, the payroll tax rate will be increased to 6.5% for employers and payroll tax groups paying Australia-wide wages of $100 million or greater. Payroll tax forecasts are influenced by employment, wages and business investment projections.

The Territory's conveyance and related duties arise from both direct and indirect conveyances of property in the Territory. Forecasts for conveyance duty are closely tied to the conditions in the property market, with commercial transactions particularly sensitive to broader economic factors and market sentiment. Because property prices and transaction volumes can shift rapidly, often without clear warning, conveyance duty collections can be highly volatile.

The size and composition of the Territory's conveyance duty base also plays a central role in shaping forecast outcomes. High-value commercial assets, including pastoral holdings, mining projects and major commercial precincts influence duty conveyance forecasts. The duty collected from large commercial transactions can create significant fluctuations in overall conveyance duty collections.

Unlike tax revenue from property transactions or employment, gambling tax revenue is not as closely correlated with the economic or business cycle. On this basis, gaming activity in community venues and casinos is expected to remain steady over the forward estimates.

In total, a variation of ±1% to the forecast of Territory taxes and royalties would affect revenue by about ±$12.9 million in 2026-27.

An emerging risk to state and territory taxes has arisen following the case of *Vanderstock & Anor versus the state of Victoria*. The High Court of Australia found a road-user charge imposed by the state of Victoria, on registered owners of particular vehicles, was unconstitutional. The basis for the High Court decision has cast doubt on the validity of some other state and territory taxes, with at least two states currently facing legal challenges. In the event similar legal challenges are upheld in relation to other state and territory taxes, levies or duties, Australian states and territories are at risk of further erosion of own-source revenue, with potential increased reliance on Commonwealth funding.

Risks arising from managing assets and liabilities

Assets and liabilities of the Territory are each subject to inherent risks. The most significant risks to assets and liabilities include:

Financial assets

- Interest rate and price risks – the Territory's financial investments are exposed to fluctuations due to changes in equity and bond markets and investor sentiment. Volatility is driven by economic cycles, geopolitical events or financial shocks, and pose a risk to the valuation of investments.
- Equity investments – the Territory has entered into several arrangements that represent ownership in private sector projects, entities and enterprises. To date, these equity investments are in the form of shares and result in no significant influence or control over the entity or project. Accordingly, the Territory is not exposed to financial loss beyond the amount invested.
- Loans and concessional loans – the Territory has issued loans and concessional loans with the aim of funding particular enterprises or householders. These include amounts paid for assistance to farmers, businesses under the Territory Growth Initiative and home ownership products. A number of these loans are on concessional terms, including low interest or interest-free terms. Default risks are considered small, and periodic reviews of issued loans have not resulted in a shift in levels of assessed risk.

Non financial (physical) assets

- Environmental and climate-related risks – severe weather including floods, cyclones, fires and extreme heat could result in damage or accelerate deterioration to public infrastructure, buildings and housing. These risks may result in disruption to government service delivery and or increased costs associated with unplanned repairs or replacement.
- Valuation accuracy – the valuation of non financial assets rely on significant judgement-based assumptions used to determine replacement costs, including assumptions on construction costs and material prices, market values and remaining useful life. Volatility in construction markets and supply chains, such as the current oil supply shocks, and interest rate changes that influence housing prices increase estimation uncertainty.

Liabilities

- Employee-related liabilities – the Territory's most significant employee-related liabilities relate to long service leave, workers compensation and superannuation. The valuation of these liabilities relies on significant assumptions regarding wage growth, discount rates, inflation and utilisation patterns. Volatility in financial markets and economic environments may also increase estimation uncertainty.
- Debt liabilities – the funds raised through domestic and international borrowings including fixed interest securities and bonds by NTTC to fund the operations of government. The primary risks affecting debt liabilities include interest rate, liquidity and concentration risks, in addition to risks associated with excessive debt as detailed earlier in this chapter.

Risks to assets and liabilities are mitigated through the Territory's Financial Management and Accountability Framework that governs the financial management of government resources (assets and liabilities) and comprises legislation, supplementary legislation (including Treasurer's Directions and Treasury Circulars), Australian accounting standards, whole of government and agency-specific policies and procedures, and resource materials. This framework specifies the practices, including risk assessment, conditions, limitations and thresholds to be observed by agencies in the fiscal management of their resources.

Risks associated with investments and loans issued through the Territory Growth Initiative are further mitigated through a range of specific policies and governance statements, along with an expert investment committee to provide independent assessment and advice on investment proposals.

In addition to the framework, the Territory's financial investment assets and debt liabilities are administered by the NTTC, the central financing authority for the Territory Government. NTTC borrows, invests and lends on behalf of the Territory Government, and is governed by an extensive risk management framework.

Risks to expenses and payments

Estimates for expenses are based on known policy decisions, with adjustments for non-policy changes. The most significant risks to expense estimates in the 2026-27 Budget include:

- Adverse weather events and natural disasters – In 2025-26, the Territory experienced five severe weather events, including the effects of tropical cyclones Fina and Narelle and floods in Central Australia and Big Rivers regions. These events caused extensive damage to remote housing and infrastructure, and required the evacuation and temporary relocation of several remote communities. The Territory is assessing the damage and implementing a plan for recovery including restoration works to properties, critical infrastructure and essential services. These events pose a risk to the Territory's expense projections due to the uncertainty of costs and timing of restoration works, evacuation costs, and the costs associated with emergency and temporary accommodation for evacuees. Although the Territory may be eligible for partial reimbursement from the Commonwealth under Disaster Recovery Funding Arrangements, the extent and timing of such reimbursements are also uncertain.
- Inflationary pressures – recent disruptions to global oil supply and the resultant sharp increase in oil prices will likely impact governments capital works program and delivery of services. The increased price of diesel used for heavy machinery and freight of materials are likely to be passed on by contractors and increase the cost of remote power generation from diesel-powered stations. These risks have been heightened following the recent Fair Work Commission order requiring mandatory fuel cost recovery in road transport contracts commencing from 21 April 2026. This order ensures that increased diesel costs are passed down the supply chain, protecting drivers and operators from surging fuel prices. The quantum and timing of costs are not yet known.

- Northern Marine Complex, including the Darwin ship lift project – market and supply cost pressures are expected to further increase construction costs for the Darwin ship lift facility. The magnitude and timing of these impacts remain uncertain.
- New correctional infrastructure – the Territory Government is currently developing and reviewing business cases for new correctional infrastructure that will likely impact budget forecasts. The quantum and timing of costs are not yet known.
- Wages growth, number of employees and composition of the labour force – the Territory's public service employee expense accounts for about 41% of the general government sector's total expenses and represents the Territory's largest expense. Accordingly, risks affecting employee expenses can materially affect budget forecasts. Enterprise agreements contain terms and conditions of employment that are negotiated through an enterprise bargaining process and apply to groups of public sector employees. Enterprise agreements pose a risk to the Territory's expenses to the extent the outcome exceeds indexation factored into the budget and forward estimates.
- Increased demand for government services – higher than expected demand may lead to increased expenditure related to overtime or external service providers and may affect the ability to meet savings and efficiency measures factored into agency budgets. Persistent demand pressures may also require the expansion or construction of new public facilities.
- Skilled labour shortages – national shortages in skilled labour poses a risk to the delivery of government services, as labour shortages may require the use of higher cost external providers to ensure service delivery is not compromised. Furthermore, skill shortages may drive-up wage growth in high-demand occupations.

Emerging risks to expenses and payments are mitigated through the Territory's fiscal strategy objectives, and supported by budget accountability measures, agency performance monitoring and reporting obligations within the Territory's Financial Management and Accountability Framework, enabling early identification and remediation of budget pressures where necessary.

Risks to economic forecasts

The fiscal estimates are influenced by economic conditions in the Territory as well as the national and global economies. Changes in economic conditions and assumptions to those presented in Chapter 3 *Economic outlook* can have wide-ranging impacts on the Territory's fiscal outlook, from its revenue-raising capacity, expenditure requirements and debt servicing costs.

The major risk to the economic forecast relates to the course of the Middle East conflict and the impact on oil and fuel prices. The budget's economic forecast assumes the price of oil will average US$100 per barrel from April to September 2026, before trending down over a two-year period. The forecasts will be negatively impacted if oil prices are materially higher than assumed or stay high for longer. Brent crude oil increased by around 109% from an average of US$69 per barrel in 2025 to US$144 per barrel in early April 2026. The International Energy Agency estimates the conflict has led to around a 10% reduction in global daily oil supply. Energy markets are likely to continue to be volatile as production resumes and ramps up, and tanker security and logistics stabilise. The current Brent price is close to the budget assumption, but responses to political, military and logistic developments are highly uncertain. Overall, it is considered there is downside risk to the budget's economic forecasts from global factors over the next two years, with the potential for increased investor interest in progressing domestic energy projects presenting some upside investment opportunities beyond that.

Related to the global factors is domestic interest rate risk. The RBA is already in a tightening cycle and higher fuel prices will be factored into near-term cash rate decision-making. For the forecast period, additional cash rate increases to address fuel price inflation could have broader impacts on consumption and investment across the national and Territory economies, household and business confidence, and expenditure. On balance, national factors represent downside risk to the forecast.

Locally, the Territory was affected by cyclones and widespread flooding in 2025-26. These events are factored into the forecast based on available information regarding the extent of damage, and estimates of the cost and time to recover and rebuild communities and infrastructure. There is short-term risk to the forecast if local economies take longer than expected to recover, and potential improvement if public investment increases.

Uncertainty in economic forecasts is also driven by the reliance on data that is subject to reporting limitations, error and revisions, and methodological changes. The impact of this uncertainty is generally more pronounced in smaller jurisdictions, such as the Territory.

Contingent liabilities

Contingent liabilities are potential future costs to government that may arise from guarantees, indemnities, and legal and contractual claims. Contingent liabilities pose a risk to the Territory's financial position and have the potential to materially affect the budget due to the likelihood of an actual liability arising, however most are considered low risk. The Territory continues to assess risks under these arrangements to determine if future disclosure is required and if there are any impacts on the Territory's financial position.

Details of significant contingent liabilities for the Territory are summarised below and have been classified as quantifiable (where the financial effect is estimated in excess of $5 million) or unquantifiable (where the financial effect cannot be reliably estimated, either due to the nature of the contingent liability or number of variables that could affect the financial estimates).

Where a transaction or event of a material nature has occurred and has crystallised a contingent liability reported in this section, additional commentary has been included in the respective section.

Quantifiable contingent liabilities

Public Trustee Common Fund 1

Under section 97 of the *Public Trustee Act 1979*, the Treasurer indemnifies the Public Trustee Common Fund 1 against any deficiencies in money available to meet claims. At 30 June 2025 (the latest information available) the Common Fund 1 had a reported total of $45.5 million (30 June 2024: $39.3 million), which is government guaranteed.

The Common Fund is a repository for all monies received by the Public Trustee on behalf of estates, trusts or persons, and earns interest. Money to the credit of the Common Fund is invested according to the directions issued by an investment board. Common Fund 1 is a single asset managed fund that invests only in cash, such as short-term money market deposits and short-dated debt securities. The board is responsible for acting prudently to obtain return on the investments of Common Fund monies commensurate with sound investment practices and to ensure estates and trusts receive commercial rates of return on their funds. Although a material contingent liability exists, the prospect of this contingent liability being called upon is low.

Darwin ship lift project

The Territory has entered into a loan facility agreement with the Northern Australia Infrastructure Facility (NAIF) to borrow $300 million for the Darwin ship lift project. The project will enable maintenance and servicing of defence and Australian Border Force vessels, along with commercial and private vessels, including from the oil, gas and marine industries.

The Territory indemnifies NAIF and the Commonwealth against any loss related to the Territory's fulfilment of any condition precedent to the loan facility agreement. The conditions and obligations contained in the facility agreement are being monitored during development of the project to ensure the conditions are satisfied.

Unquantifiable contingent liabilities

Banking

The Territory's financial management framework is underpinned by centralised banking arrangements. The sole provider of banking-related services has been granted indemnities under the whole of government banking contract.

Correctional facilities

The Territory has contingent liabilities related to indemnities and guarantees provided in support of the construction and ongoing property management of the Darwin Correctional Precinct under a public private partnership agreement and has indemnified the project company for losses arising from any uninsurable risks.

East Point effluent rising main – environment protection and biodiversity conservation approval

The Territory has contingent liabilities relating to a potential breach of conditions associated with the East Point effluent rising main – *Environment Protection and Biodiversity Conservation Act 1999* approval. A formal determination in relation to the potential breach has not yet been received by the Environmental Regulator.

Economic-enabling projects

Adelaide to Darwin railway project

The Territory has contingent liabilities that relate to indemnities and guarantees provided in support of the Adelaide to Darwin railway. The AustralAsia Railway Corporation (AARC), and the Territory and South Australian governments entered into a concession arrangement for the Adelaide to Darwin railway on a build, own, operate and transfer-back basis.

Unquantifiable contingent liabilities of the Territory in relation to the Adelaide to Darwin railway comprise:

- joint guarantee of the obligations of AARC
- indemnities granted in relation to title over the railway corridor (title is secure but the indemnity continues).

AARC and the governments have comprehensive risk management procedures in place for all events that would give rise to liabilities.

As part of the long-term lease of the Darwin port, the railway corridor was transferred to the Territory and leased to the concession holder. There are contingent liabilities that arise out of any loss or claim incurred or suffered as a result of the Territory's failure to comply with its environmental obligations contained in the lease. The lease contains similar indemnities given by the lessee with respect to contamination caused by the lessee and a failure to comply with its environmental obligations.

East Arm Port

The Territory has assumed the former Darwin Port Corporation's indemnity in relation to certain works at East Arm Port. The indemnity covers third-party claims, loss, damage, cost and expenses that may be incurred or sustained by parties arising out of any breach of the Territory's obligations under relevant agreements and licences. Comprehensive risk management procedures are in place to minimise risk exposure to the Territory.

Jabiru electricity supply project

The Territory has entered into an agreement for the development and ongoing operation of the power station for the supply of electricity to Jabiru. The Territory has contingent liabilities that may arise if the agreement is terminated under specific circumstances.

Northern gas pipeline project

The Territory has contingent liabilities in relation to gas transport for indemnities contained in the Northern Gas Pipeline Project Development Agreement.

Strategic gas agreements

The Territory has entered into agreements to facilitate gas supply for the Territory. The agreements commit the Territory to pricing, volumes and timing of gas supply to meet forecast future requirements. The risks to the Territory are outweighed by the broader benefits of gas security and ability to mitigate risk by selling excess gas to the east coast gas market.

On 29 September 2025, the Territory entered into several agreements to facilitate new gas supply for the Territory from the Shenandoah South pilot project in the Beetaloo. The agreements include a guarantee from the Territory Government for up to $75 million of Tamboran's $90 million (50%) share of the $180 million debt financing for the Sturt Plateau compression facility. The Territory guarantees repayment of the loan to lenders if the project experiences default and the project and other guarantors are unable to repay.

Darwin convention centre hotel

The indemnity only applies to the loss or damage arising out of the development works (whether by the Territory or the external party) that is not caused or contributed by Darwin Cove Convention Centre Pty Limited. The Territory has corresponding indemnity from the external party under the project development agreement.

Government administration

Legal proceedings

Where the Territory is engaged in legal proceedings and disputes, due to the wide variety and nature of cases, and uncertainty of any potential liability, no value can be attributed to these cases. In addition, the attribution of a value to these cases has the potential to prejudice the outcome of the proceedings and disputes.

Sponsorship

Indemnities are granted to the Commonwealth and other entities involved in funding or sponsoring activities and programs initiated or undertaken by the Territory. Under these indemnities, the Territory generally accepts liability for damage or losses occurring as a result of the activities or programs, and acknowledges, while the Commonwealth or another party has contributed financially or provided in-kind support, the Territory is ultimately liable for the consequences of the activity or program.

Although the resulting contingent liability, depending on the activity undertaken, may not always be low risk, the Territory's financial exposure is no greater than would have been the case without funding or sponsorship assistance.

Territory appointed members of councils, boards and committees

Where the Territory has invited the participation of private sector persons and government officers on boards of government-owned or funded companies, the Territory may grant indemnities to the board members to cover them for any losses that may result from good faith actions.

These indemnities are generally consistent with cover available through directors' and officers' insurance and issuing an indemnity rather than purchasing commercial insurance is in line with government's self-insurance arrangements.

In relation to corporations established in accordance with the *Government Owned Corporations Act 2001*, an indemnity given by the Territory to board members is limited to actions arising from compliance with a direction issued by the shareholding minister or portfolio minister.

The resulting contingent liabilities are considered low risk as board members are professionals, selected based on their expertise and knowledge. Further, the indemnities are restricted to good faith actions only.

Workers compensation

Government has indemnified private sector insurers that provide workers compensation insurance in the Territory for losses arising as a result of acts of terrorism.

Health and community services

The Territory has granted a series of health-related indemnities for various purposes including indemnities to specialist medical practitioners employed or undertaking work in public hospitals, indemnities provided to medical professionals requested to give expert advice on inquiries before the Medical Board and indemnities to midwives.

Although risks associated with health indemnities are potentially high, the beneficiaries of the indemnities are highly trained and qualified professionals. The indemnities generally cannot be called upon where there is wilful or gross misconduct on the part of the beneficiary.

Land development

The Territory has contingent liabilities that relate to guarantees provided by the Land Development Corporation in order to facilitate specific land release projects.

National Disability Insurance Scheme Review

In October 2023, the final report of the Independent Review of the NDIS was released and provided 26 recommendations and 139 key actions to change the system that supports people with disability. A key recommendation was to include 'foundational supports' for people aged under 65 with a disability to reduce inequity between people who are in the NDIS and those who are not.

In January 2026, the Commonwealth and all states and territories concluded negotiations on a suite of health and disability reforms that included NDIS sustainability reforms and the staged commencement of foundational supports from October 2026. The 2026-27 Budget incorporates budget capacity to meet costs associated with increased indexation of payments and Foundational Supports co-contributions, subject to developing of implementation plans from 2026. Accordingly, this no longer represents a contingent liability for the Territory.

Native title

The Territory has a contingent liability under the *Native Title Act 1993* relating to an obligation to pay compensation to native title holders where the Territory commits an action that extinguishes or impairs a native title holder's rights. There have been a number of claims filed with the Federal Court under the *Native Title Act 1993*, however, it is not possible to reliably estimate the Territory's liability in respect of these and any future claims.

In February 2026, the Federal Court of Australia found the Northern Territory Government liable to pay native title holders compensation of approximately $55 million in relation to the McArthur River compensation claim. This liability has been recognised within the 2026-27 Budget and no longer represents a contingent liability for the Territory.

Property and business services

Agreements for leases or licences of property, plant or equipment generally contain standard indemnity provisions, similar to those commonly found in commercial leases, covering the lessor or licensor for any losses suffered as a result of the lease or licence arrangement.

The granting of a concession to Darwin Cove Convention Centre Pty Ltd gives rise to contingent liabilities associated with:

- discriminatory changes in law
- environmental clean-up costs
- incentive payments to the operator if performance targets established for the centre are exceeded
- negotiated payments to the operator during the centre's operation
- works being undertaken to facilitate a hotel and integration with the Darwin Convention Centre.

For the categories listed above, neither the probability nor the amount the Territory might be called upon to pay at some future date can be determined reliably. As a result, these items are regarded as contingent liabilities.

A contingent asset also arises as a consequence of the concession arrangement. The Territory Availability Payment is recognised as a liability on the general government sector and whole of government balance sheets. However, the Territory has the right to recover up to 75% of that liability should the operator not achieve certain performance criteria. Because neither the probability of such a recovery nor the amount that might be recovered can be determined reliably, the part of the Territory Availability Payment that may be subject to abatement is classified as a contingent asset.

Royal Commission into Violence, Abuse, Neglect and Exploitation of People with Disability

In November 2023, the Disability Royal Commission released an updated final report of the *Royal Commission into Violence, Abuse, Neglect and Exploitation of People with Disability*. The report includes 222 recommendations to improve laws, policies, structures and practices to enhance the support, care and independence of people living with a disability. In August 2024, the Commonwealth accepted or accepted in principle 130 of the recommendations in its initial response to the Final Report and work is being undertaken to determine the additional funding implications to the Territory, which are not yet quantifiable.

Chapter 8

Consolidated financial statements

The financial statements in this chapter meet the requirements of the FITA, and have been prepared in accordance with relevant Australian accounting standards, including AASB 1049 *Whole of Government and General Government Sector Financial Reporting*, and the UPF.

The UPF mandates that all Commonwealth, state and territory governments must comply with AASB 1049, and publish financial information in budget papers and fiscal outcome reports in a standard format, allowing for greater transparency and comparison of fiscal data between jurisdictions.

Each set of financial statements includes a comprehensive operating statement, balance sheet and cash flow statement for the following government sectors:

- general government sector
- public non financial corporation sector
- non financial public sector
- public financial corporation sector
- total public sector.

The financial statements for the general government, public non financial corporation and non financial public sectors include the 2025-26 revised budget, 2026-27 budget and 2027-28 to 2029-30 forward estimates. The statements for the public financial corporation and total public sectors present the 2025-26 revised budget only.

Also included in this chapter are supplementary tables, which present the 2025-26 revised budget and 2026-27 budget for the following items:

- taxes
- grant revenue and expenses
- dividend and income tax equivalent income
- operating expenses by function
- purchases of non financial assets by function
- total expenditure by function.

Details on changes to the revised projections since the 2025-26 Budget can be found in Chapter 2 *Fiscal outlook*. For a list of entities included in each sector of government, refer to Appendix A *Classification of entities in the Northern Territory*.

General government sector comprehensive operating statement

		2025-26	2026-27	2027-28	2028-29	2029-30
		Revised	Budget	Forward estimate		
		$000	$000	$000	$000	$000
	REVENUE					
	Taxation revenue	911 875	842 207	872 230	904 698	939 627
	Current grants	6 981 569	7 204 764	7 088 533	7 327 694	7 566 101
	Capital grants	489 105	519 618	599 981	522 787	516 547
	Sales of goods and services	480 684	460 837	450 047	454 952	460 382
	Interest income	148 661	144 230	148 103	152 738	156 864
	Dividend and income tax equivalent income	87 809	98 704	176 014	207 416	156 545
	Other revenue	497 754	516 885	472 639	494 602	505 954
	TOTAL REVENUE	**9 597 457**	**9 787 245**	**9 807 547**	**10 064 887**	**10 302 020**
less	**EXPENSES**					
	Employee benefits expense	3 504 457	3 577 750	3 614 962	3 716 438	3 840 021
	Superannuation expenses					
	Superannuation interest cost	125 800	122 592	118 932	114 913	110 745
	Other superannuation expenses	397 539	405 266	410 825	422 624	436 591
	Depreciation and amortisation	811 887	804 617	778 835	756 285	743 508
	Other operating expenses	2 169 841	2 285 260	2 200 366	2 242 009	2 262 154
	Interest expenses	544 521	611 725	676 211	720 952	764 493
	Other property expenses					
	Current grants	1 326 009	1 402 603	1 382 442	1 419 158	1 376 212
	Capital grants	360 243	313 126	91 487	64 318	54 961
	Subsidies and personal benefit payments	261 925	306 443	334 466	335 270	340 924
	TOTAL EXPENSES	**9 502 222**	**9 829 382**	**9 608 526**	**9 791 967**	**9 929 609**
equals	**NET OPERATING BALANCE**	**95 235**	**- 42 137**	**199 021**	**272 920**	**372 411**
plus	Other economic flows – included in operating result	- 13 060	77 004	86 625	96 864	105 637
equals	**OPERATING RESULT**	**82 175**	**34 867**	**285 646**	**369 784**	**478 048**
plus	Other economic flows – other comprehensive income	- 38 405	6 848	138 363	- 26 751	9 031
equals	**COMPREHENSIVE RESULT – total change in net worth before transactions with owners in their capacity as owners**	**43 770**	**41 715**	**424 009**	**343 033**	**487 079**
	NET OPERATING BALANCE	**95 235**	**- 42 137**	**199 021**	**272 920**	**372 411**
less	**Net acquisition of non financial assets**					
	Purchases of non financial assets	1 283 862	1 579 231	1 304 248	1 134 241	1 116 559
	Sales of non financial assets	- 27 064	- 28 349	- 28 849	- 28 849	- 28 849
	less Depreciation	811 887	804 617	778 835	756 285	743 508
	plus Change in inventories					
	plus Other movements in non financial assets	- 17 245	33 365	58 034	58 491	20 142
	equals **Total net acquisition of non financial assets**	**427 666**	**779 630**	**554 598**	**407 598**	**364 344**
equals	**FISCAL BALANCE**	**- 332 431**	**- 821 767**	**- 355 577**	**- 134 678**	**8 067**

General government sector balance sheet

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$000	$000	$000	$000	$000
ASSETS					
Financial assets					
Cash and deposits	1 110 341	1 032 248	917 577	974 113	988 296
Advances paid	150 535	149 535	148 535	147 535	146 535
Investments, loans and placements	3 129 298	3 347 244	3 588 541	3 820 189	4 066 872
Receivables	573 339	602 992	656 699	613 471	613 342
Equity investments					
Investments in other public sector entities	2 556 866	2 563 714	2 702 077	2 675 326	2 684 357
Equity accounted investments					
Investments – shares	14 398	14 398	14 398	14 398	14 398
Other financial assets	84 431	83 367	82 296	81 221	80 145
Total financial assets	**7 619 208**	**7 793 498**	**8 110 123**	**8 326 253**	**8 593 945**
Non financial assets					
Inventories	22 368	22 368	22 368	22 368	22 368
Property, plant and equipment	22 250 774	23 009 082	23 581 675	24 008 473	24 391 582
Investment property	27 897	23 897	19 897	15 897	11 897
Other non financial assets	553 847	586 486	579 745	571 959	564 183
Total non financial assets	**22 854 886**	**23 641 833**	**24 203 685**	**24 618 697**	**24 990 030**
TOTAL ASSETS	**30 474 094**	**31 435 331**	**32 313 808**	**32 944 950**	**33 583 975**
LIABILITIES					
Deposits held	467 027	462 215	431 940	402 302	377 122
Advances received	103 462	92 262	83 664	74 649	65 197
Borrowing	12 818 006	13 919 191	14 481 350	14 874 218	15 075 850
Superannuation	2 770 700	2 702 842	2 633 549	2 562 069	2 489 397
Other employee benefits	1 005 184	1 005 184	1 005 184	1 005 184	1 005 184
Payables	362 266	364 668	367 065	369 530	369 485
Other liabilities	1 440 667	1 340 472	1 338 550	1 341 459	1 399 122
TOTAL LIABILITIES	**18 967 312**	**19 886 834**	**20 341 302**	**20 629 411**	**20 781 357**
NET ASSETS/LIABILITIES (-)	**11 506 782**	**11 548 497**	**11 972 506**	**12 315 539**	**12 802 618**
NET WORTH	**11 506 782**	**11 548 497**	**11 972 506**	**12 315 539**	**12 802 618**
NET FINANCIAL WORTH[1]	- 11 348 104	- 12 093 336	- 12 231 179	- 12 303 158	- 12 187 412
NET FINANCIAL LIABILITIES[2]	13 904 970	14 657 050	14 933 256	14 978 484	14 871 769
NET DEBT[3]	**8 998 321**	**9 944 641**	**10 342 301**	**10 409 332**	**10 316 466**

1 Net financial worth equals total financial assets minus total liabilities.
2 Net financial liabilities equals the sum of total liabilities less total financial assets excluding investments in other public sector entities.
3 Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid and investments, loans and placements.

General government sector cash flow statement

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$000	$000	$000	$000	$000
Cash receipts from operating activities					
Taxes received	911 875	842 207	872 230	904 698	939 627
Receipts from sales of goods and services	517 811	473 306	463 325	468 230	473 660
Grants and subsidies received	7 563 610	7 670 850	7 641 275	7 803 558	8 082 648
Interest receipts	149 363	144 230	148 103	152 738	156 864
Dividends and income tax equivalents	81 238	58 175	100 306	251 538	156 674
Other receipts	453 293	509 753	466 903	489 653	499 443
Total operating receipts	**9 677 190**	**9 698 521**	**9 692 142**	**10 070 415**	**10 308 916**
Cash payments for operating activities					
Payments for employees	- 4 113 112	- 4 173 466	- 4 214 012	- 4 325 455	- 4 460 029
Payment for goods and services	- 1 886 886	- 1 905 774	- 1 808 591	- 1 869 008	- 1 880 508
Grants and subsidies paid	- 1 894 083	- 2 111 591	- 1 808 395	- 1 818 746	- 1 772 097
Interest paid	- 544 037	- 609 462	- 674 691	- 719 913	- 763 896
Other payments	- 352 757	- 352 307	- 352 307	- 352 307	- 352 307
Total operating payments	**- 8 790 875**	**- 9 152 600**	**- 8 857 996**	**- 9 085 429**	**- 9 228 837**
NET CASH FLOWS FROM OPERATING ACTIVITIES	**886 315**	**545 921**	**834 146**	**984 986**	**1 080 079**
Cash flows from investments in non financial assets					
Sales of non financial assets	27 064	28 349	28 849	28 849	28 849
Purchases of non financial assets	- 1 316 075	- 1 579 231	- 1 304 248	- 1 134 241	- 1 116 559
Net cash flows from investments in non financial assets	**- 1 289 011**	**- 1 550 882**	**- 1 275 399**	**- 1 105 392**	**- 1 087 710**
NET CASH FROM OPERATING ACTIVITIES AND INVESTMENTS IN NON FINANCIAL ASSETS	**- 402 696**	**- 1 004 961**	**- 441 253**	**- 120 406**	**- 7 631**
Net cash flows from investments in financial assets for policy purposes[1]	- 17 688	- 1 239	- 1 396	- 1 564	- 1 744
Net cash flows from investments in financial assets for liquidity purposes	- 108 029	- 123 701	- 137 274	- 117 218	- 123 300
NET CASH FLOWS FROM INVESTING ACTIVITIES	- 1 414 728	- 1 675 822	- 1 414 069	- 1 224 174	- 1 212 754
Net cash flows from financing activities					
Advances received (net)	- 7 821	- 11 200	- 8 598	- 9 015	- 9 452
Borrowing (net)	865 665	1 067 820	504 125	334 377	181 490
Deposits received (net)	- 215 215	- 4 812	- 30 275	- 29 638	- 25 180
Other financing (net)					
NET CASH FLOWS FROM FINANCING ACTIVITIES	642 629	1 051 808	465 252	295 724	146 858
NET INCREASE/DECREASE (-) IN CASH HELD	114 216	- 78 093	- 114 671	56 536	14 183
Net cash flows from operating activities	886 315	545 921	834 146	984 986	1 080 079
Net cash flows from investments in non financial assets	- 1 289 011	- 1 550 882	- 1 275 399	- 1 105 392	- 1 087 710
CASH SURPLUS/DEFICIT (-)	**- 402 696**	**- 1 004 961**	**- 441 253**	**- 120 406**	**- 7 631**
Future infrastructure and superannuation contributions/earnings[2]	- 63 256	- 61 215	- 64 888	- 68 781	- 72 907
UNDERLYING SURPLUS/DEFICIT (-)	**- 465 952**	**- 1 066 176**	**- 506 141**	**- 189 187**	**- 80 538**

1 Includes equity acquisitions and disposals (net).
2 Contributions for future infrastructure and superannuation requirements.

Public non financial corporation sector comprehensive operating statement

		2025-26	2026-27	2027-28	2028-29	2029-30
		Revised	Budget	Forward estimate		
		$000	$000	$000	$000	$000
	REVENUE					
	Current grants	260 242	293 824	324 073	324 407	330 521
	Capital grants	128 051	129 831	85 323	68 028	69 074
	Sales of goods and services	847 164	964 800	1 253 565	1 088 611	1 069 568
	Interest income	8 894	7 549	7 355	7 468	6 917
	Other revenue	34 227	34 529	33 984	37 459	37 909
	TOTAL REVENUE	**1 278 578**	**1 430 533**	**1 704 300**	**1 525 973**	**1 513 989**
less	**EXPENSES**					
	Employee benefits expense	122 488	116 888	128 813	129 458	132 822
	Superannuation expenses	15 484	16 202	17 418	17 165	17 340
	Depreciation and amortisation	248 741	251 437	260 529	272 187	281 930
	Other operating expenses	717 798	803 328	869 040	816 859	788 459
	Interest expenses	135 462	161 945	186 124	194 235	195 206
	Other property expenses	11 536	14 033	77 760	41 043	44 195
	Current grants					
	Capital grants					
	Subsidies and personal benefit payments	1 345	1 378	1 491	1 426	1 461
	TOTAL EXPENSES	**1 252 854**	**1 365 211**	**1 541 175**	**1 472 373**	**1 461 413**
equals	**NET OPERATING BALANCE**	**25 724**	**65 322**	**163 125**	**53 600**	**52 576**
plus	Other economic flows – included in operating result	- 77 350	- 47 118	- 46 192	- 32 247	- 41 162
equals	**OPERATING RESULT**	**- 51 626**	**18 204**	**116 933**	**21 353**	**11 414**
plus	Other economic flows – other comprehensive income	31 227	23 836	24 156	19 642	22 283
equals	**COMPREHENSIVE RESULT – total change in net worth before transactions with owners in their capacity as owners**	**- 20 399**	**42 040**	**141 089**	**40 995**	**33 697**
	NET OPERATING BALANCE	**25 724**	**65 322**	**163 125**	**53 600**	**52 576**
less	**Net acquisition of non financial assets**					
	Purchases of non financial assets	489 531	541 265	468 984	354 767	314 126
	Sales of non financial assets	- 3 188	- 24 400			
	less Depreciation	248 741	251 437	260 529	272 187	281 930
	plus Change in inventories	4 174	149	2 414	6 736	7 566
	plus Other movements in non financial assets					
	equals **Total net acquisition of non financial assets**	**241 776**	**265 577**	**210 869**	**89 316**	**39 762**
equals	**FISCAL BALANCE**	**- 216 052**	**- 200 255**	**- 47 744**	**- 35 716**	**12 814**

Public non financial corporation sector balance sheet

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$000	$000	$000	$000	$000
ASSETS					
Financial assets					
Cash and deposits	221 716	212 942	182 442	153 611	127 390
Advances paid					
Investments, loans and placements					
Receivables	153 932	176 373	425 385	172 963	168 414
Equity investments					
Investments in other public sector entities					
Equity accounted investments					
Investments – shares					
Other financial assets	6 016	4 699	3 378	540	2 636
Total financial assets	**381 664**	**394 014**	**611 205**	**327 114**	**298 440**
Non financial assets					
Inventories	218 267	218 416	220 830	227 566	235 132
Property, plant and equipment	4 782 018	5 059 300	5 267 440	5 396 238	5 448 591
Investment property					
Other non financial assets	73 711	72 249	71 973	71 922	71 900
Total non financial assets	**5 073 996**	**5 349 965**	**5 560 243**	**5 695 726**	**5 755 623**
TOTAL ASSETS	**5 455 660**	**5 743 979**	**6 171 448**	**6 022 840**	**6 054 063**
LIABILITIES					
Deposits held	2 223	1 952	1 952	1 952	1 952
Advances received					
Borrowing	2 595 172	2 844 690	3 060 057	2 972 204	3 000 482
Superannuation					
Other employee benefits	85 546	87 780	89 646	90 063	85 132
Payables	104 863	125 099	137 890	133 492	134 974
Other liabilities	114 375	97 877	168 393	157 312	163 309
TOTAL LIABILITIES	**2 902 179**	**3 157 398**	**3 457 938**	**3 355 023**	**3 385 849**
NET ASSETS/LIABILITIES (-)	**2 553 481**	**2 586 581**	**2 713 510**	**2 667 817**	**2 668 214**
NET WORTH	**2 553 481**	**2 586 581**	**2 713 510**	**2 667 817**	**2 668 214**
NET FINANCIAL WORTH[1]	- 2 520 515	- 2 763 384	- 2 846 733	- 3 027 909	- 3 087 409
NET DEBT[2]	**2 375 679**	**2 633 700**	**2 879 567**	**2 820 545**	**2 875 044**

1 Net financial worth equals total financial assets minus total liabilities.
2 Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid and investments, loans and placements.

Public non financial corporation sector cash flow statement

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$000	$000	$000	$000	$000
Cash receipts from operating activities					
Receipts from sales of goods and services	853 989	935 214	997 859	1 333 085	1 068 532
Grants and subsidies received	337 935	391 394	405 064	415 941	394 446
Interest receipts	8 894	7 549	7 355	7 468	6 917
Dividends and income tax equivalents					
Other receipts	37 823	31 614	33 984	35 306	37 909
Total operating receipts	**1 238 641**	**1 365 771**	**1 444 262**	**1 791 800**	**1 507 804**
Cash payments for operating activities					
Income tax equivalents paid	- 19 011	1 286	- 11 142	- 82 026	- 42 271
Payments for employees	- 142 498	- 140 149	- 153 815	- 155 285	- 164 289
Payment for goods and services	- 767 307	- 771 968	- 845 125	- 848 180	- 795 450
Grants and subsidies paid	- 1 345	- 1 378	- 1 491	- 1 426	- 1 461
Interest paid	- 133 093	- 160 974	- 185 265	- 194 491	- 195 868
Other payments		- 358	- 397	- 214	- 228
Total operating payments	**- 1 063 254**	**- 1 073 541**	**- 1 197 235**	**- 1 281 622**	**- 1 199 567**
NET CASH FLOWS FROM OPERATING ACTIVITIES	**175 387**	**292 230**	**247 027**	**510 178**	**308 237**
Cash flows from investments in non financial assets					
Sales of non financial assets	3 188	24 400			
Purchases of non financial assets	- 489 531	- 541 265	- 468 984	- 354 767	- 314 126
Net cash flows from investments in non financial assets	**- 486 343**	**- 516 865**	**- 468 984**	**- 354 767**	**- 314 126**
NET CASH FROM OPERATING ACTIVITIES AND INVESTMENTS IN NON FINANCIAL ASSETS	**- 310 956**	**- 224 635**	**- 221 957**	**155 411**	**- 5 889**
Net cash flows from investments in financial assets for policy purposes[1]	- 3 101	- 204	1 048	3 069	- 2 001
Net cash flows from investments in financial assets for liquidity purposes	1 197	1 521	273	- 231	- 95
NET CASH FLOWS FROM INVESTING ACTIVITIES	- 488 247	- 515 548	- 467 663	- 351 929	- 316 222
Net cash flows from financing activities					
Advances received (net)					
Borrowing (net)	337 670	225 271	203 477	- 101 613	16 463
Deposits received (net)	- 273	- 271			
Dividends paid	- 28 118	- 10 456	- 13 341	- 85 467	- 34 699
Other financing (net)					
NET CASH FLOWS FROM FINANCING ACTIVITIES	309 279	214 544	190 136	- 187 080	- 18 236
NET INCREASE/DECREASE (-) IN CASH HELD	- 3 581	- 8 774	- 30 500	- 28 831	- 26 221
Net cash flows from operating activities	175 387	292 230	247 027	510 178	308 237
Net cash flows from investments in non financial assets	- 486 343	- 516 865	- 468 984	- 354 767	- 314 126
Dividends paid	- 28 118	- 10 456	- 13 341	- 85 467	- 34 699
CASH SURPLUS/DEFICIT (-)	**- 339 074**	**- 235 091**	**- 235 298**	**69 944**	**- 40 588**

1 Includes equity acquisitions and disposals (net).

Non financial public sector comprehensive operating statement

		2025-26	2026-27	2027-28	2028-29	2029-30
		Revised	Budget	Forward estimate		
		$000	$000	$000	$000	$000
	REVENUE					
	Taxation revenue	903 121	833 298	862 816	895 592	930 442
	Current grants	6 939 448	7 157 578	7 075 833	7 319 302	7 566 101
	Capital grants	574 889	585 469	673 965	585 729	571 182
	Sales of goods and services	1 255 523	1 353 064	1 631 024	1 470 976	1 458 356
	Interest income	156 496	150 918	154 735	159 565	163 480
	Dividend and income tax equivalent income	48 288	75 731	84 094	79 685	79 050
	Other revenue	525 675	545 451	500 764	526 199	539 464
	TOTAL REVENUE	**10 403 440**	**10 701 509**	**10 983 231**	**11 037 048**	**11 308 075**
less	**EXPENSES**					
	Employee benefits expense	3 626 945	3 694 638	3 743 775	3 845 896	3 972 843
	Superannuation expenses					
	Superannuation interest cost	125 800	122 592	118 932	114 913	110 745
	Other superannuation expenses	409 856	418 301	425 076	436 622	450 764
	Depreciation and amortisation	1 059 382	1 054 808	1 038 118	1 027 226	1 024 192
	Other operating expenses	2 804 731	3 005 620	2 986 022	2 975 790	2 969 912
	Interest expenses	678 826	772 711	861 514	914 448	959 300
	Other property expenses					
	Current grants	1 258 512	1 333 189	1 311 144	1 346 725	1 302 372
	Capital grants	253 886	228 246	56 048	31 932	31 922
	Subsidies and personal benefit payments	70 525	83 411	83 182	84 722	85 704
	TOTAL EXPENSES	**10 288 463**	**10 713 516**	**10 623 811**	**10 778 274**	**10 907 754**
equals	**NET OPERATING BALANCE**	**114 977**	**- 12 007**	**359 420**	**258 774**	**400 321**
plus	Other economic flows – included in operating result	- 90 410	29 886	40 433	64 617	64 475
equals	**OPERATING RESULT**	**24 567**	**17 879**	**399 853**	**323 391**	**464 796**
plus	Other economic flows – other comprehensive income	19 203	23 836	24 156	19 642	22 283
equals	**COMPREHENSIVE RESULT – total change in net worth before transactions with owners in their capacity as owners**	**43 770**	**41 715**	**424 009**	**343 033**	**487 079**
	NET OPERATING BALANCE	**114 977**	**- 12 007**	**359 420**	**258 774**	**400 321**
less	**Net acquisition of non financial assets**					
	Purchases of non financial assets	1 773 393	2 120 496	1 773 232	1 489 008	1 430 685
	Sales of non financial assets	- 30 252	- 52 749	- 28 849	- 28 849	- 28 849
	less Depreciation	1 059 382	1 054 808	1 038 118	1 027 226	1 024 192
	plus Change in inventories	4 174	149	2 414	6 736	7 566
	plus Other movements in non financial assets	10 381	33 365	58 034	58 491	20 142
	equals **Total net acquisition of non financial assets**	**698 314**	**1 046 453**	**766 713**	**498 160**	**405 352**
equals	**FISCAL BALANCE**	**- 583 337**	**- 1 058 460**	**- 407 293**	**- 239 386**	**- 5 031**

Non financial public sector balance sheet

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$000	$000	$000	$000	$000
ASSETS					
Financial assets					
Cash and deposits	1 129 167	1 051 074	936 403	992 939	1 007 122
Advances paid	150 535	149 535	148 535	147 535	146 535
Investments, loans and placements	3 129 298	3 347 244	3 588 541	3 820 189	4 066 872
Receivables	710 189	749 197	984 571	728 634	723 450
Equity					
Investments in other public sector entities	21 630	21 630	21 630	21 630	21 630
Equity accounted investments					
Investments – shares	14 398	14 398	14 398	14 398	14 398
Other financial assets	90 447	88 066	85 674	81 761	82 781
Total financial assets	**5 245 664**	**5 421 144**	**5 779 752**	**5 807 086**	**6 062 788**
Non financial assets					
Inventories	240 635	240 784	243 198	249 934	257 500
Property, plant and equipment	27 008 156	28 044 992	28 826 971	29 383 813	29 820 521
Investment property	27 897	23 897	19 897	15 897	11 897
Other non financial assets	627 558	658 735	651 718	643 881	636 083
Total non financial assets	**27 904 246**	**28 968 408**	**29 741 784**	**30 293 525**	**30 726 001**
TOTAL ASSETS	**33 149 910**	**34 389 552**	**35 521 536**	**36 100 611**	**36 788 789**
LIABILITIES					
Deposits held	266 360	270 051	270 276	269 469	270 510
Advances received	103 462	92 262	83 664	74 649	65 197
Borrowing	15 388 678	16 740 593	17 519 331	17 825 558	18 056 680
Superannuation	2 770 700	2 702 842	2 633 549	2 562 069	2 489 397
Other employee benefits	1 090 730	1 092 964	1 094 830	1 095 247	1 090 316
Payables	458 580	481 551	496 795	494 840	496 285
Other liabilities	1 564 618	1 460 792	1 450 585	1 463 240	1 517 786
TOTAL LIABILITIES	**21 643 128**	**22 841 055**	**23 549 030**	**23 785 072**	**23 986 171**
NET ASSETS/LIABILITIES (-)	**11 506 782**	**11 548 497**	**11 972 506**	**12 315 539**	**12 802 618**
NET WORTH	**11 506 782**	**11 548 497**	**11 972 506**	**12 315 539**	**12 802 618**
NET FINANCIAL WORTH[1]	- 16 397 464	- 17 419 911	- 17 769 278	- 17 977 986	- 17 923 383
NET FINANCIAL LIABILITIES[2]	16 419 094	17 441 541	17 790 908	17 999 616	17 945 013
NET DEBT[3]	**11 349 500**	**12 555 053**	**13 199 792**	**13 209 013**	**13 171 858**

1 Net financial worth equals total financial assets minus total liabilities.
2 Net financial liabilities equals the sum of total liabilities less total financial assets excluding investments in other public sector entities.
3 Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid and investments, loans and placements.

Non financial public sector cash flow statement

	2025-26	2026-27	2027-28	2028-29	2029-30
	Revised	Budget	Forward estimate		
	$000	$000	$000	$000	$000
Cash receipts from operating activities					
Taxes received	903 121	833 298	862 816	895 592	930 442
Receipts from sales of goods and services	1 277 878	1 335 947	1 388 596	1 728 728	1 470 598
Grants and subsidies received	7 562 572	7 683 540	7 686 827	7 862 706	8 123 534
Interest receipts	157 198	150 918	154 735	159 565	163 480
Dividends and income tax equivalents	34 051	48 288	75 731	84 094	79 685
Other receipts	484 810	535 404	495 028	519 097	532 953
Total operating receipts	**10 419 630**	**10 587 395**	**10 663 733**	**11 249 782**	**11 300 692**
Cash payments for operating activities					
Payments for employees	- 4 244 036	- 4 301 155	- 4 355 210	- 4 468 494	- 4 611 955
Payment for goods and services	- 2 558 037	- 2 603 350	- 2 579 690	- 2 643 238	- 2 604 434
Grants and subsidies paid	- 1 556 455	- 1 734 265	- 1 450 374	- 1 463 379	- 1 419 998
Interest paid	- 675 973	- 769 477	- 859 135	- 913 665	- 959 365
Other payments	- 352 757	- 352 665	- 352 704	- 352 521	- 352 535
Total operating payments	**- 9 387 258**	**- 9 760 912**	**- 9 597 113**	**- 9 841 297**	**- 9 948 287**
NET CASH FLOWS FROM OPERATING ACTIVITIES	**1 032 372**	**826 483**	**1 066 620**	**1 408 485**	**1 352 405**
Cash flows from investments in non financial assets					
Sales of non financial assets	30 252	52 749	28 849	28 849	28 849
Purchases of non financial assets	- 1 805 606	- 2 120 496	- 1 773 232	- 1 489 008	- 1 430 685
Net cash flows from investments in non financial assets	**- 1 775 354**	**- 2 067 747**	**- 1 744 383**	**- 1 460 159**	**- 1 401 836**
NET CASH FROM OPERATING ACTIVITIES AND INVESTMENTS IN NON FINANCIAL ASSETS	**- 742 982**	**- 1 241 264**	**- 677 763**	**- 51 674**	**- 49 431**
Net cash flows from investments in financial assets for policy purposes[1]	- 20 789	- 1 443	- 348	1 505	- 3 745
Net cash flows from investments in financial assets for liquidity purposes	- 106 832	- 122 180	- 137 001	- 117 449	- 123 395
NET CASH FLOWS FROM INVESTING ACTIVITIES	- 1 902 975	- 2 191 370	- 1 881 732	- 1 576 103	- 1 528 976
Net cash flows from financing activities					
Advances received (net)	- 7 821	- 11 200	- 8 598	- 9 015	- 9 452
Borrowing (net)	1 204 547	1 294 303	708 814	233 976	199 165
Deposits received (net)	- 211 907	3 691	225	- 807	1 041
Other financing (net)					
NET CASH FLOWS FROM FINANCING ACTIVITIES	984 819	1 286 794	700 441	224 154	190 754
NET INCREASE/DECREASE (-) IN CASH HELD	114 216	- 78 093	- 114 671	56 536	14 183
Net cash flows from operating activities	1 032 372	826 483	1 066 620	1 408 485	1 352 405
Net cash flows from investments in non financial assets	- 1 775 354	- 2 067 747	- 1 744 383	- 1 460 159	- 1 401 836
CASH SURPLUS/DEFICIT (-)	**- 742 982**	**- 1 241 264**	**- 677 763**	**- 51 674**	**- 49 431**
Future infrastructure and superannuation contributions/earnings[2]	- 63 256	- 61 215	- 64 888	- 68 781	- 72 907
UNDERLYING SURPLUS/DEFICIT (-)	**- 806 238**	**- 1 302 479**	**- 742 651**	**- 120 455**	**- 122 338**

1 Includes equity acquisitions and disposals (net).
2 Contributions for future infrastructure and superannuation requirements.

Public financial corporation sector comprehensive operating statement

		2025-26 Revised
		$000
	REVENUE	
	Current grants	
	Capital grants	
	Sales of goods and services	987
	Interest income	586 617
	Other revenue	
	TOTAL REVENUE	587 604
less	EXPENSES	
	Employee benefits expense	711
	Superannuation expenses	84
	Depreciation and amortisation	
	Other operating expenses	1 930
	Interest expenses	536 592
	Other property expenses	14 486
	Current grants	
	Capital grants	
	Subsidies and personal benefit payments	
	TOTAL EXPENSES	553 803
equals	NET OPERATING BALANCE	33 801
plus	Other economic flows – included in operating result	
equals	OPERATING RESULT	33 801
plus	Other economic flows – other comprehensive income	
equals	COMPREHENSIVE RESULT – total change in net worth before transactions with owners in their capacity as owners	33 801
	NET OPERATING BALANCE	33 801
less	Net acquisition of non financial assets	
	Purchases of non financial assets	
	Sales of non financial assets	
	less Depreciation	
	plus Change in inventories	
	plus Other movements in non financial assets	
	equals Total net acquisition of non financial assets	
equals	FISCAL BALANCE	33 801

Public financial corporation sector balance sheet

	2025-26 Revised
	$000
ASSETS	
Financial assets	
Cash and deposits	48 627
Advances paid	
Investments, loans and placements	13 601 899
Receivables	9 690
Equity investments	
Investments in other public sector entities	
Equity accounted investments	
Investments – shares	
Other financial assets	
Total financial assets	**13 660 216**
Non financial assets	
Inventories	
Property, plant and equipment	
Investment property	
Other non financial assets	
Total non financial assets	
TOTAL ASSETS	**13 660 216**
LIABILITIES	
Deposits held	454
Advances received	147 015
Borrowing	13 326 845
Superannuation	
Other employee benefits	122
Payables	115 860
Other liabilities	48 290
TOTAL LIABILITIES	**13 638 586**
NET ASSETS/LIABILITIES (-)	**21 630**
NET WORTH	**21 630**
NET FINANCIAL WORTH[1]	21 630
NET DEBT[2]	**- 176 212**

1 Net financial worth equals total financial assets minus total liabilities.
2 Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid and investments, loans and placements.

Public financial corporation sector cash flow statement

	2025-26 Revised
	$000
Cash receipts from operating activities	
Receipts from sales of goods and services	987
Grants and subsidies received	
Interest receipts	583 059
Other receipts	
Total operating receipts	**584 046**
Cash payments for operating activities	
Income tax equivalents paid	- 10 215
Payments for employees	- 795
Payment for goods and services	- 1 930
Grants and subsidies paid	
Interest paid	- 516 005
Other payments	
Total operating payments	**- 528 945**
NET CASH FLOWS FROM OPERATING ACTIVITIES	**55 101**
Cash flows from investments in non financial assets	
Sales of non financial assets	
Purchases of non financial assets	
Net cash flows from investments in non financial assets	
NET CASH FROM OPERATING ACTIVITIES AND INVESTMENTS IN NON FINANCIAL ASSETS	**55 101**
Net cash flows from investments in financial assets for policy purposes[1]	
Net cash flows from investments in financial assets for liquidity purposes	- 1 380 901
NET CASH FLOWS FROM INVESTING ACTIVITIES	- 1 380 901
Net cash flows from financing activities	
Advances received (net)	
Borrowing (net)	1 138 002
Deposits received (net)	
Dividends paid	- 23 836
Other financing (net)	
NET CASH FLOWS FROM FINANCING ACTIVITIES	1 114 166
NET INCREASE/DECREASE (-) IN CASH HELD	- 211 634
Net cash flows from operating activities	55 101
Net cash flows from investments in non financial assets	
Distributions paid	- 23 836
CASH SURPLUS/DEFICIT (-)	**31 265**

1 Includes equity acquisitions and disposals (net).

Total public sector comprehensive operating statement

		2025-26 Revised
		$000
	REVENUE	
	Taxation revenue	903 121
	Current grants	6 939 448
	Capital grants	574 889
	Sales of goods and services	1 254 784
	Interest income	156 996
	Dividend and income tax equivalent income	
	Other revenue	525 674
	TOTAL REVENUE	**10 354 912**
less	EXPENSES	
	Employee benefits expense	3 627 656
	Superannuation expenses	
	Superannuation interest cost	125 800
	Other superannuation expenses	409 940
	Depreciation and amortisation	1 059 382
	Other operating expenses	2 804 934
	Interest expenses	629 301
	Other property expenses	
	Current grants	1 258 512
	Capital grants	253 886
	Subsidies and personal benefit payments	70 525
	TOTAL EXPENSES	**10 239 936**
equals	NET OPERATING BALANCE	114 976
plus	Other economic flows – included in operating result	- 90 410
equals	OPERATING RESULT	**24 566**
plus	Other economic flows – other comprehensive income	19 204
equals	COMPREHENSIVE RESULT – total change in net worth before transactions with owners in their capacity as owners	**43 770**
	NET OPERATING BALANCE	**114 976**
less	Net acquisition of non financial assets	
	Purchases of non financial assets	1 773 393
	Sales of non financial assets	- 30 252
	less Depreciation	1 059 382
	plus Change in inventories	4 174
	plus Other movements in non financial assets	10 381
	equals Total net acquisition of non financial assets	**698 314**
equals	FISCAL BALANCE	- 583 338

Total public sector balance sheet

	2025-26 Revised
	$000
ASSETS	
Financial assets	
Cash and deposits	1 129 167
Advances paid	150 535
Investments, loans and placements	3 129 298
Receivables	662 049
Equity investments	
Investments in other public sector entities	
Equity accounted investments	
Investments – shares	14 398
Other financial assets	90 447
Total financial assets	**5 175 894**
Non financial assets	
Inventories	240 635
Property, plant and equipment	27 008 156
Investment property	27 897
Other non financial assets	627 558
Total non financial assets	**27 904 246**
TOTAL ASSETS	**33 080 140**
LIABILITIES	
Deposits held	218 187
Advances received	172 301
Borrowing	15 191 800
Superannuation	2 770 700
Other employee benefits	1 090 852
Payables	564 898
Other liabilities	1 564 620
TOTAL LIABILITIES	**21 573 358**
NET ASSETS/LIABILITIES (-)	**11 506 782**
NET WORTH	**11 506 782**
NET FINANCIAL WORTH[1]	- 16 397 464
NET DEBT[2]	**11 173 288**

1 Net financial worth equals total financial assets minus total liabilities.
2 Net debt equals the sum of deposits held, advances received and borrowing, minus the sum of cash and deposits, advances paid and investments, loans and placements.

Total public sector cash flow statement

	2025-26 Revised
	$000
Cash receipts from operating activities	
Taxes received	903 121
Receipts from sales of goods and services	1 277 139
Grants and subsidies received	7 562 572
Interest receipts	157 198
Other receipts	484 809
Total operating receipts	**10 384 839**
Cash payments for operating activities	
Payments for employees	- 4 244 831
Payment for goods and services	- 2 558 240
Grants and subsidies paid	- 1 556 455
Interest paid	- 608 919
Other payments	- 352 757
Total operating payments	**- 9 321 202**
NET CASH FLOWS FROM OPERATING ACTIVITIES	**1 063 637**
Cash flows from investments in non financial assets	
Sales of non financial assets	30 252
Purchases of non financial assets	- 1 805 606
Net cash flows from investments in non financial assets	**- 1 775 354**
NET CASH FROM OPERATING ACTIVITIES AND INVESTMENTS IN NON FINANCIAL ASSETS	**- 711 717**
Net cash flows from investments in financial assets for policy purposes[1]	- 20 789
Net cash flows from investments in financial assets for liquidity purposes	- 106 832
NET CASH FLOWS FROM INVESTING ACTIVITIES	- 1 902 975
Net cash flows from financing activities	
Advances received (net)	
Borrowing (net)	953 827
Deposits received (net)	- 273
Other financing (net)	
NET CASH FLOWS FROM FINANCING ACTIVITIES	953 554
NET INCREASE/DECREASE (-) IN CASH HELD	114 216
Net cash flows from operating activities	1 063 637
Net cash flows from investments in non financial assets	- 1 775 354
CASH SURPLUS/DEFICIT (-)	**- 711 717**
Future infrastructure and superannuation contributions/earnings[2]	- 63 256
UNDERLYING SURPLUS/DEFICIT (-)	**- 774 973**

1 Includes equity acquisitions and disposals (net).
2 Contributions for future infrastructure and superannuation requirements.

General government sector taxes

	2025-26 Revised	2026-27 Budget
	$M	$M
Taxes on employers' payroll and labour force	**332**	**351**
Payroll taxes	332	351
Taxes on property	**245**	**144**
Stamp duties on financial and capital transactions	245	144
Taxes on the provision of goods and services	**227**	**235**
Taxes on gambling	149	153
Taxes on insurance	78	83
Taxes on the use of goods and performance of activities	**108**	**112**
Motor vehicle registration fees	105	109
Other	3	3
TOTAL TAXATION REVENUE	912	842

General government sector grant revenue

	2025-26 Revised	2026-27 Budget
	$M	$M
Current grant revenue		
Current grants from the Commonwealth (including for on-passing)	6 934	7 180
Untied revenue	4 967	5 102
Tied revenue	1 967	2 078
Other non-Commonwealth contributions and grants	48	25
Total current grant revenue	**6 982**	**7 205**
Capital grant revenue		
Capital grants from the Commonwealth (including for on-passing)	484	518
Tied revenue	484	518
Other non-Commonwealth contributions and grants	6	2
Total capital grant revenue	**489**	**520**
TOTAL GRANTS REVENUE	7 471	7 724

General government sector grant expenses

	2025-26 Revised	2026-27 Budget
	$M	$M
Current grant expense including subsidies and personal benefit payments		
Local government	80	80
Private and not-for-profit sector	1 113	1 183
Grants to other sectors of government	88	69
Other[1]	307	377
Total current grant expenses including subsidies and personal benefit payments	**1 588**	**1 709**
Capital grant expense		
Local government	113	63
Private and not-for-profit sector	140	165
Grants to other sectors of government	107	85
Other		
Total capital grant expenses	**360**	**313**
TOTAL GRANT EXPENSES	1 948	2 022

1 Comprises grants to government schools and Charles Darwin University.

General government sector dividend and income tax equivalent income

	2025-26 Revised	2026-27 Budget
	$M	$M
Dividend and income tax equivalent income from public non financial corporations sector	40	23
Dividend and income tax equivalent income from public financial corporations sector	48	76
TOTAL DIVIDEND AND INCOME TAX EQUIVALENT INCOME	88	99

General government sector operating expenses by function

	2025-26 Revised	2026-27 Budget
	$M	$M
General public services	816	896
Public order and safety	1 410	1 467
Economic affairs	636	662
Environmental protection	140	136
Housing and community amenities	1 084	1 036
Health	2 462	2 521
Recreation, culture and religion	215	229
Education	1 572	1 628
Social protection	716	819
Transport	451	435
TOTAL OPERATING EXPENSES	**9 502**	**9 829**

Reported by Classifications of Functions of Government – Australia.

General government sector purchases of non financial assets by function

	2025-26 Revised	2026-27 Budget
	$M	$M
General public services	16	9
Public order and safety	129	261
Economic affairs	229	239
Environmental protection	27	21
Housing and community amenities	420	396
Health	102	94
Recreation, culture and religion	63	37
Education	41	101
Social protection	8	13
Transport	249	408
TOTAL PURCHASES OF NON FINANCIAL ASSETS	**1 284**	**1 579**

Reported by Classifications of Functions of Government – Australia.

Non financial public sector total expenditure by function

	2025-26 Revised	2026-27 Budget
	$M	$M
General public services	843	917
Public order and safety	1 539	1 728
Economic affairs	1 704	1 819
Environmental protection	217	213
Housing and community amenities	1 823	1 789
Health	2 565	2 617
Recreation, culture and religion	278	266
Education	1 613	1 729
Social protection	724	832
Transport	726	871
TOTAL EXPENDITURE[1]	**12 031**	**12 782**

1 Total expenditure comprises operating expenses and net capital investment.
Reported by Classifications of Functions of Government – Australia.

Appendices

Appendix A

Classification of entities in the Northern Territory

Total public sector

Non financial public sector

General government sector

Aboriginal Areas Protection Authority
Attorney-General's Department
Auditor-General's Office
AustralAsia Railway Corporation[1]
Batchelor Institute of Indigenous Tertiary Education[1]
Central Holding Authority
Darwin Waterfront Corporation[1]
Data Centre Services[2]
Department of Agriculture and Fisheries
Department of the Chief Minister and Cabinet
Department of Children and Families
Department of Corporate and Digital Development
Department of Corrections
Department of Education and Training
Department of Health
Department of Housing, Local Government and Community Development
Department of Lands, Planning and Environment
Department of the Legislative Assembly
Department of Logistics and Infrastructure
Department of Mining and Energy
Department of People, Sport and Culture
Department of Tourism and Hospitality
Department of Trade, Business and Asian Relations
Department of Treasury and Finance
Desert Knowledge Australia[1]
Motor Accidents (Compensation) Commission[1]
Museums and Art Galleries Board of the Northern Territory[1]
Nominal Insurer's Fund[1]
Northern Territory Electoral Commission
Northern Territory Fire and Emergency Service
Northern Territory Legal Aid Commission[1]
Northern Territory Major Events Company Pty Ltd[1]
Northern Territory Police Force
NT Build[1]
NT Fleet[2]
NT Home Ownership[2]
Office of the Independent Commissioner Against Corruption
Office of the Integrity and Ethics Commissioner[4]
Ombudsman's Office
Territory Wildlife Parks[2]

Public non financial corporations sector

Indigenous Essential Services Pty Ltd[1]

Jacana Energy[1, 3]

Land Development Corporation[2]

Power and Water Corporation[1, 3]

Territory Generation[1, 3]

Public financial corporation sector

Northern Territory Treasury Corporation[2]

1 Non-budget sector entity.
2 Government business division.
3 Government owned corporation.
4 Reflects the merge of the Independent Commissioner Against Corruption, Ombudsman, Information Commissioner, and Health and Community Services Complaints Commissioner from 1 July 2026.

Appendix B

Abbreviations and acronyms

AARC	AustralAsia Railway Corporation
AASB	Australian Accounting Standards Board
ABS	Australian Bureau of Statistics
b	budget
B	billion
BFSA	Better and Fairer Schools Agreement
CGC	Commonwealth Grants Commission
COPE	Commonwealth own-purpose expenses
CPI	consumer price index
CT	computed tomography
e	estimate
f	forecast
FFA	Federation Funding Agreement
FITA	*Fiscal Integrity and Transparency Act 2001*
GFC	global financial crisis
GSP	gross state product
GST	goods and services tax
HFE	horizontal fiscal equalisation
ICT	information and communications technology
IGA FFR	Intergovernmental Agreement on Federal Financial Relations
IHACPA	Independent Health and Aged Care Pricing Authority
LHS	left-hand side
LNG	liquefied natural gas
M	million
MAC	Motor Accidents Compensation
Moody's	Moody's Investors Service
n/a	not applicable
NAIF	Northern Australia Infrastructure Facility
NAJP	National Access to Justice Partnership Agreement
NDIS	National Disability Insurance Scheme
NHRA	National Health Reform Agreement
NTTC	Northern Territory Treasury Corporation
OECD	Organisation for Economic Co-operation and Development
ppt	percentage points
r	revised
RBA	Reserve Bank of Australia
RHS	right-hand side
SCI	statement of corporate intent
SFD	state final demand
SPP	specific purpose payment
TAFE	Technical and Further Education
UPF	Uniform Presentation Framework
US	United States (of America)

Appendix C

Explanation of terms

Australian Bureau of Statistics

A Commonwealth entity that coordinates statistical activities and collaborates with official bodies in collecting, compiling, analysing and distributing statistics.

Balancing item

The balancing item is the residual of gross state product less state final demand and net international trade in goods and services. It comprises the change in inventories at a jurisdictional level plus net interstate trade.

Borrowings

Receipt of money, property or other value with an obligation to repay, regardless of whether or not the repayment is of equal value. It includes loans, the issue of debentures, bonds or stock, discounted securities, promissory notes, the lease of real or personal property, or any other arrangement where there is an obligation to repay.

Budget cycle

Financial years reported in the budget, comprising of the revised budget, budget year and three forward estimate years.

Capital works

Infrastructure projects involving building and engineering works that create or improve government owned assets, as well as constructing or installing facilities and fixtures associated with and forming an integral part of those works.

Classifications of functions of government – Australia

A framework to classify government outlays or expenditure by the purpose served, for example, health or education, which is based on classifications set by the Australian Bureau of Statistics in the government finance statistics manual.

Commonwealth Grants Commission

A Commonwealth statutory body that makes recommendations to the Commonwealth Treasurer on how revenues raised from GST should be distributed to states and territories.

Commonwealth own-purpose expenses

Payments by the Commonwealth directly to an agency for provision of specific services or for onpassing to non-government and local government organisations.

Consumer price index

A measure of the price of a representative basket of goods and services for each Australian capital city over time.

The consumer price index's basket of goods has 11 categories of goods and services (food and non-alcoholic beverages; alcohol and tobacco; clothing and footwear; housing; furnishings, household equipment and services; health; transport; communication; recreation and culture; education; and insurance and financial services). These categories are weighted to reflect household consumption patterns in each city. Weights for each capital city are updated on an annual basis to reflect changing household consumption patterns over time.

Contingent liability

A potential financial obligation arising out of a condition, situation, guarantee or indemnity, the ultimate effect of which will be confirmed only on the occurrence or non-occurrence of one or more uncertain future events not wholly in control of the Territory. It also includes present liabilities that arise from past events where it is not probable the Territory will be required to settle the liability, or the amount of the obligation cannot be reliably estimated.

Depreciation and amortisation

An expense that represents the cost of assets (both tangible and intangible) over their useful life, to account for declines in value over time due to usage, wear and tear, and obsolescence.

Employed

Persons 15 years and older who worked for one hour or more in the week as measured by the labour force survey. Persons are measured as being employed in the jurisdiction in which they reside, regardless of the location of their employment.

Employee benefits expense

Consists of all uncapitalised compensation of employees except for superannuation. It includes payments in cash or in-kind.

Federation funding agreement schedules

Fixed-term agreements between the Commonwealth and states and territories, with defined objectives, outcomes, outputs and performance measures for the delivery of specific projects, services or to facilitate reforms. These are arranged under five sectoral federation funding agreements covering health, education and skills, infrastructure, environment, and affordable housing, community services and other.

Financial asset

A non physical asset that gets its value from a contractual or ownership claim with a counterparty. Includes cash and deposits, advances paid, investments, loans and placements, receivables, equity investments and other contractual rights to receive future economic benefits.

Fiscal aggregate

Financial indicators used for macro-economic analysis purposes, including assessing the impact of a government and its sectors on the economy. AASB 1049 *Whole of Government and General Government Sector Financial Reporting* prescribes net operating balance, net lending/borrowing (fiscal balance), change in net worth (comprehensive result), net worth and cash surplus/deficit. The Uniform Presentation Framework prescribes additional fiscal aggregates not included in AASB 1049. These are net debt, net financial worth, net financial liabilities and cash surplus/deficit.

Fiscal balance (net lending/borrowing)

An operating statement measure, also referred to as net lending/borrowing, that differs from net operating balance as it includes spending on capital items but excludes depreciation. A net lending (or fiscal surplus) balance indicates government is saving more than enough to finance all its investment spending. A net borrowing (or fiscal deficit) balance indicates a government's level of investment is greater than its level of savings. The fiscal balance equals the net operating balance less the net acquisition of non financial assets.

General government sector

Agencies and other entities controlled by government mainly engaged in the production of goods and or services outside the normal market mechanism, where goods and services are provided free of charge or at nominal charge well below costs of production. This sector is generally funded by taxation revenues (directly or indirectly) and Commonwealth grants.

Government finance statistics

Statistics that measure the financial transactions of governments and reflect the impact of those transactions on other sectors of the economy. Government finance statistics in Australia are developed by the Australian Bureau of Statistics in conjunction with all governments and are mainly based on international statistical standards, developed in consultation with member countries by the International Monetary Fund.

Government owned corporation

An entity governed by the *Government Owned Corporations Act 2001*. Operating under a shareholder model of corporate government, its objectives are to function as efficiently as any corporate business and maximise sustainable returns to government.

The Territory has three government owned corporations: Power and Water Corporation, Territory Generation and Jacana Energy.

Grants

Transactions in which one unit provides goods, services, assets (or extinguishes a liability) or labour to another unit without receiving equal value in return. Grants can be either current or capital in nature.

Grants can be paid as general purpose grants, which refer to grants not subject to conditions regarding their use. Alternatively, they may be paid as specific purpose grants, which are paid for a particular purpose and or have conditions attached regarding their use.

Gross domestic product

The total value of goods and services produced in Australia over the period for final consumption. Intermediate goods, or those used in the production of other goods, are excluded. Gross domestic product can be calculated by summing total output, total income or total expenditure.

Gross state product

Measures the total value of goods and services produced in a state or territory. It can be calculated by measuring expenditure, where it is the sum of state final demand and international and interstate trade, changes in the level of stocks, and a balancing item.

Horizontal fiscal equalisation

A distribution of GST revenue to state and territory governments that, after accounting differences in revenue raising and expenditure needs, enables each state to provide services and associated infrastructure at comparable standards.

Household consumption

Expenditure by resident households on goods and services that will not be resold or used in production. The purchase of dwellings is excluded from household consumption as dwellings are goods used by owners to produce housing services for those owners and is therefore captured in private investment.

Inflation

Annual change in the consumer price index. For the purpose of adjusting agency budgets and government fees, the Territory Government generally uses the year-on-year change in the consumer price index.

Interest expense

Costs incurred in connection with the borrowing of funds. It includes interest on advances, loans, overdrafts, bonds and bills, deposits, interest components of lease repayments and amortisation of discounts or premiums on borrowings.

Intergovernmental Agreement on Federal Financial Relations

An agreement outlining the objectives, principles and institutional arrangements governing financial relations between the Commonwealth and state and territory governments, including Commonwealth funding to states and territories through general revenue assistance, specific purpose payments and national partnership payments.

Key fiscal indicators

Key financial measures that must be specified by government in accordance with the *Fiscal Integrity and Transparency Act 2001*, against which fiscal policy is set and assessed. The fiscal indicators determined by government are generally derived from fiscal aggregates reported in the Uniform Presentation Framework and AASB 1049.

Labour force

Persons 15 years and over who are available for work, that is, employed plus unemployed persons actively seeking work. Labour force excludes Australian Defence Force personnel and non residents.

Leases

Rights conveyed in a contract or part of a contract to use an asset (the underlying asset) for a period of time in exchange for consideration.

National funding agreements

Agreements between the Commonwealth and states and territories that contain significant policy content and act as sources of longer-term funding.

National partnership payments

Tied payments from Commonwealth Treasury to state and territory treasuries, and appropriated to government agencies to deliver outcomes and outputs under federation funding agreement schedules, national partnership agreements, and some national funding agreements.

Net capital investment

Purchases of non financial assets (incorporating the construction of assets) less sales of non financial assets as reported in the operating statement.

Net debt

A government's net stock of selected gross financial liabilities less financial assets. A key fiscal aggregate reported in the balance sheet, it equals the sum of deposits held, advances received, loans and other borrowings, less the sum of cash and deposits, advances paid and investments, loans and placements.

Net debt to revenue

Fiscal measure that assesses net debt as a proportion of total revenue. It assesses a government's ability to repay borrowings, with a high ratio indicating a lower ability to repay debt and a low ratio indicating a stronger ability to repay debt.

Net exports (also known as trade balance)

The trade balance is the difference between the value of a jurisdiction's exports and imports. When exports exceed imports, the jurisdiction has a trade surplus, and conversely, when imports exceed exports, the jurisdiction has a trade deficit.

Net operating balance

Key fiscal aggregate reported in the operating statement, measuring the ongoing sustainability of a government's operations. It excludes gains and losses resulting from changes in price levels and other changes in the volume of assets, and is the component of the change in net worth that is due to transactions attributable to government policies. It equals total revenue less total expenses.

Non financial assets

Assets that are not financial assets, predominantly comprising land and other fixed assets.

Non financial public sector

The sector formed through a consolidation of the general government and public non financial corporation sectors.

Non-policy variations

Changes in key fiscal indicators as a result of factors outside government's control, such as the timing of payments or changes in external economic conditions.

Other operating expenses

Expenses that generally represent day-to-day running costs incurred in normal operations. They also include total value of goods and services used in production and use of goods acquired for resale.

Own-source revenue

Revenue raised by the Territory, mainly through Territory administered legislation, largely comprising taxes, mining and petroleum royalties, fees and charges, rent and tenancy income, interest and dividend revenue, and profit and loss on the disposal of assets.

Parameters

Used to adjust agency budgets. Also referred to as inflators and deflators.

Policy variations

Changes to key fiscal indicators that arise from government decisions to implement new or expand existing agency programs and savings, revenue and contingency measures.

Private investment

Expenditure by producers on fixed assets that are used in the process of production and used repeatedly or continuously for longer than one year. It comprises dwelling investment, ownership transfer costs (fees incurred by the buyer or seller of real estate), non-dwelling construction (industrial, commercial and non-dwelling buildings and other structures such as pipelines and bridges), machinery and equipment, cultivated biological resources (natural resources used repeatedly to produce products such as milk or orchards) and intellectual property products (products as a result of creative activity, research and development and mineral exploration).

Public consumption

Government expenditure on goods and services (including wages and rents). National consumption is a combination of Commonwealth consumption, defence consumption and consumption by universities. State and local government consumption includes all other public consumption.

Public financial corporations

Government-controlled entity that performs a central bank function and has the authority to incur liabilities and acquire financial assets in the market on its own behalf.

Public investment

Expenditure by all levels of government on the purchase of fixed assets that are used over a long time period. Most data for public investment is sourced from state and territory government financial reports. Adjustments are made by the Australian Bureau of Statistics to deduct expenditure that is classified as consumption, rather than investment. The Australian Bureau of Statistics' statistical treatment of public investment does not always reconcile with the Territory Government's reporting of investment expenditure and, as a result, is not directly comparable.

Public non financial corporations

Government owned and controlled entities that provide goods and services to consumers on a commercial basis and are funded largely by the sale of these goods and services with the aim to maximise sustainable returns to government. These entities are legally distinguishable from the government that owns them.

Sales of goods and services

Revenue from the direct provision of goods and services, including fees and charges for services rendered, sales of goods and services, fees from regulatory services and work done as an agent for private enterprises. It also includes rental income under operating leases and on assets such as buildings and equipment, but excludes rental income from the use of non-produced assets such as land.

Specific purpose payments

A Commonwealth financial contribution to support delivery of services in a particular sector. Payments are made from Commonwealth Treasury to state and territory treasuries and are appropriated to the relevant government agency.

State final demand

A major component of gross state product, and a measure of the demand for goods and services in an economy. While state final demand includes consumption and investment expenditure, it does not include the contribution of trade or changes in inventories to economic growth and therefore is not a comprehensive measure of economic growth.

Territory-funded expenses

Expenses funded by the Territory from appropriation and payments made from the Central Holding Authority including interest and employee entitlements.

Tied revenue

Revenue received by the Territory that must be used for specific purposes, predominantly through national funding agreements, federation funding agreement schedules, national partnership agreements and specific purpose payments, which are tied with a sector.

Total public sector

The sector formed through a consolidation of the non financial public and public financial corporation sectors.

Unemployment rate

Number of unemployed persons expressed as a percentage of the labour force.

Uniform Presentation Framework

A framework agreed by the Council on Federal Financial Relations to incorporate AASB 1049. The Uniform Presentation Framework requires Commonwealth, state and territory governments to present a minimum set of budget and financial outcome information based on the government finance statistics, according to an agreed format and specified reporting arrangements. This enables users of the information to make valid comparisons between jurisdictions.

Untied revenue

Revenue received by the Territory that can be used for discretionary purposes. It comprises GST revenue.

Wage price index

A measure of hourly rates of pay over time for a fixed range of jobs. The Australian Bureau of Statistics measures the wage price index at the state and territory level (as well as nationally) and for both the public and private sectors. It excludes non-wage costs such as superannuation, payroll tax and workers compensation.